Towards a Christian Sociology

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I. Socialism and Christianity

If the position be granted that is assumed by nearly all reformers, that the salvation of society involves among other things its reorganisation on some corporate or co-operative basis, there are two ways in which the problem of reconstruction may be approached. The first of these is the Christian one which, taking its stand on the permanent needs of human nature, assumes the existence of a type of society which may be designated as the normal, because it most perfectly satisfies human needs, and therefore directs its policy towards the recovery and strengthening of everything in life and society that is to be regarded as normal. The other, which is the Socialist one, is altogether destitute of any conception of normality, since, apart from the elementary needs of food, clothing, and shelter, it treats other human needs as non-essentials, subject to change and flux. It takes its stand on the supposed truth of a theory of social evolution according to which all social phenomena are to be regarded as relative, and human nature capable of infinite adaptation to changing circumstances. Its policy is therefore not directed towards a return to the normal, but towards the stabilisation of the abnormal. All thought on social questions moves between these opposed conceptions, which have their roots finally in the teachings of Christ and of Marx, and the reason why there is so much confusion of thought on social questions is that most people, whether they be Socialists, Labourists or Christians, fail to discriminate between the categories, vainly imagining they can compromise between the two.

This, however, is finally impossible, as all sooner or later must find out; for all such compromises are in the long run rendered untenable by the course of events, and one conception must eventually triumph over the other. As to which it will be, there should nowadays be no room for doubt; for if experience of attempts at social reconstruction can be held to prove anything, it is the inadequacy of the Socialist approach. Before the War, Socialist legislation on Collectivist lines was enacted under the auspices of the Liberal Government, the most notable example being that of the Insurance Act, which produced very different results from what was expected. For instead of bringing to the workers a larger measure of freedom, it resulted in their regimentation. It was seen that in so far as it increased the security of the workers it was at the expense of their liberty; for the tendency of all such legislation is towards a condition of

things which Mr. Belloc aptly described as the "servile state." Yet so far as the majority of Socialists were concerned, this experience of the working of their theories was either entirely wasted on them or it resulted in a reaction against the moderation of Fabian policy—towards the more revolutionary attitude of Marx, syndicalism, and direct action—it being maintained by the extremists that the failure of all such legislation was due to the mistake of attempting to introduce Socialist legislation before capitalism was overthrown and abolished.

The Russian Revolution afforded an opportunity of testing the truth of this assertion. But far from succeeding in their efforts to abolish capitalism and establish Socialism or communism in its place, the Bolsheviks found themselves finally compelled by the force of circumstances to open the door for the re-entry of foreign capitalists into Russia, without whose aid Lenin had to confess they could not get along. And this failure, it is to be observed, can in no sense be ascribed to the opposition of foreign powers, to which Socialists in this country like to ascribe it, but was inherent in their policy from the start. For when the Bolsheviks abolished private property they committed economic suicide, because henceforth it was impossible for them to raise revenue by taxation, and as their Government had to have money to keep going it was driven to support its existence by means of the printing press. The wholesale issue of paper money which resulted had the effect of depreciating the currency to an extent hitherto undreamed of, for the paper money they issued fell and fell in value until finally notes were worth no more than the value of the paper they were printed on. It was the opinion of Lenin at that time that by such means currency could be abolished, private trading and profiteering brought to an end, and communism established. But it did not work out as expected, since in proportion as currency lost its value the result was not communism but stagnation, to combat which the Bolsheviks were driven to resort to labour conscription, in fact to introduce that very regimentation which Socialists had maintained was the consequence of attempting to introduce Socialism before capitalism was abolished. We see therefore that it matters not whether Socialist measures are promoted by moderates or extremists, under a capitalist Government or by a Socialist one, they result in the enslavement of the industrial workers; while paradoxically it has happened that the only class who promise to benefit by the revolution in Russia is the peasantry, for the only reform introduced by the Bolsheviks that appears likely to remain is the nationalisation of the land.

The experience of Germany and Italy is not more reassuring. After the Revolution in Germany the Socialists found themselves in power. But when they got it they did not know what to do with it. All their lives they had talked about the nationalisation of land, capital, and the means of production and exchange, but their accession to power revealed their impotence. After fifty years of general oratory they had no constructive scheme to give practical effect to their theories, and so it came about that they were driven to make terms with the capitalists to carry on. In Italy, the Socialists took possession of the factories and the peasants of the land, while the Government adopted a neutral attitude, acting as arbitrator between the workers and the capitalists. But the unemployed prob-

lem which had led to the piecemeal revolution not only remained but increased under the new regime, and it was not long before the Socialists were prepared to allow the capitalists to resume possession of the factories, though the peasants have kept hold of the land. Meanwhile the Revolution created a nationalist reaction, giving rise to Fascism, which, after having by its violent methods reduced the Socialist elements to silence and taken possession of the Government, has changed its attitude, adopting a friendly attitude towards Labour, setting its face against profiteers, and, under the influence of d'Annunzio, whose prestige in Italy is unprecedented, gone a long way towards adopting a Guild platform.

One would have thought that such a series of reverses would have shaken the faith of the most ardent Socialist in the sufficiency of his creed. Yet if the utterances of the official leaders in this country can be taken as an index of the mind of the movement, no change at all has taken place. In their latest book[1] Mr. and Mrs. Sidney Webb still believe in the old nostrums. Mr. Philip Snowden's great speech in the House of Commons on the "Failure of Capitalist Civilisation"[2] was orthodox collectivism. It threw not a particle of light on any practical problem confronting the country. For while it is undoubtedly true that capitalist civilisation has failed, it is equally true that the Socialist remedy has failed; for Socialist measures fail entirely to get at grips with the actual situation, which doubtless explains the fact that Sir Alfred Mond was able to make out about as good a case for the retention of capitalism as Mr. Philip Snowden was for its abolition.

The immediate reason for this failure is doubtless to be found in the fact that in attempting to abolish the institutions of private management and property, except in regard to land and natural monopolies, the Socialist movement is at war with the very nature of things. I shall have something to say about the practical failure of Socialist theories in later chapters. But for the present I am only concerned with the more general and philosophic cause of failure, which I submit is to be found in this: that there is no correspondence between the moral impulse of the Socialist movement and its official economic theories; nay, so far from there being any correspondence, they are actually contradictory, and to this fact the practical failure of Socialist measures is to be ascribed. To understand the Socialist movement, it must be realised that it is primarily a moral revolt. The movement draws its recruits from among those who are outraged by the corruption and injustices of our industrial system, and if we are to see the movement in its proper perspective this fact must never be forgotten. Its great achievement is to have given to the world a social conscience. If we compare the state of mind a hundred years ago, portrayed so vividly in the books of the Hammonds on the period covered by the Industrial Revolution, the callous, inhuman, and hypocritical attitude of the rich towards the sufferings and misfortunes of the poor, and the prevailing hard, mechanical outlook on life and society with the attitude which obtains to-day, the change of outlook and feeling

[1] *The Decay of Capitalist Civilisation*, by Sidney and Beatrice Webb (London: George Allen & Unwin, Ltd.).

[2] March 20, 1923.

is astonishing, amounting to no less than a revolution. And though we must not forget the many writers—Carlyle, Ruskin, Disraeli, Dickens, Charles Reade, Kingsley—who by their writings directed public attention to the great injustices of our social system, I yet think the great change that has taken place is in the main due to the activities of Socialists, whose absolute devotion and untiring energy in the cause of the oppressed has made the social problem a living issue in politics. An indirect consequence of their activity has been that the need of social change, of replacing our existing competitive society by one based upon the principles of brotherhood, mutual aid, and co-operation, has become widely accepted by people entirely unaffected by Socialist theories, thus providing us with a foundation upon which it is possible to build. But the official economic theories of Socialism have no connection whatsoever with any reaction or revolt against capitalism, nor with the principles of brotherhood and co-operation. On the contrary, they accept capitalism as a stage in social and economic evolution in the hope of superimposing over it a communal organisation, failing entirely to understand that Socialist figs cannot be made to grow on capitalist thistles. It is this discrepancy, not to say contradiction, between the head and the heart of Socialism, between its economic theories and moral intention, that brings to naught all their efforts at reconstruction, for their theories when translated into practice produce results not intended by their authors.

Recognising then that the failure of Socialist measures is to be found in the fact that the economic theories of the movement do not correspond with its moral intention, the problem which confronts us is how to replace the existing economic theory of Socialism by one that does correspond. This carries us into very deep waters, for it involves finally nothing less than the repudiation of the materialist philosophy that lies at the back of the movement and a frank acceptance of the principles of Christianity; for all the great sociological principles are implicit in the Gospels and to them we must return if we are to build on a safe and sure foundation. Yet great as is the change that is demanded, it is one that is in harmony with the trend of modern thought on social questions, the centre of gravity of which is being gradually shifted from economics to psychology, and as such is favourable to a renewal of belief in Christianity, for it is a change from an external to an internal approach. It was inevitable, perhaps, that the first awakening of the social conscience should have been associated with the external approach of Socialist theory: for the growth of understanding of the true inwardness of the social problem has taken time to develop. Before a true conception of anything comes to be accepted, the mind of the world must be prepared for its reception; that is to say, there must exist predisposing causes and influences leading men in the direction of the new conception and tending to develop in them the faculties which shall recognise it. In this sense the Socialist theory and agitation may be regarded as a necessary preparation for the acceptance of the social gospel of Christianity, since but for the concentration of thought on social questions to which it has given rise and the failure of Socialist experiments in social reconstruction, the Christian ideal would have remained unacceptable.

But we are not out of the wood yet. When we have travelled thus far there is a danger of falling into another pitfall, into an error the exact opposite of that of the Socialists. When people become aware of the inadequacy of the Socialist position and begin to realise the sociological implications of Christianity—when they see that the social problem is not only material and economic but spiritual and psychological, and learn that spiritual values must come first—they are very liable to fall into the error of withdrawing from practical activity on the assumption that economic evils may not be attacked direct. Such an interpretation of the message of Christianity I believe to be entirely mistaken and to be Manichaean rather than Christian, for the Christian injunction to put spiritual things first clearly does not mean that we are to concentrate all our thought and energy upon the spiritual to the neglect of the material, but that material evils can only be remedied when they are attacked in the light of a spiritual idea, because unless material evils are approached from a spiritual standpoint we shall be mistaken as to the nature of the material problem. It is difficult to make people understand exactly what is meant by this, but an illustration will perhaps convey my meaning in a way that abstract argument is powerless to do. When an architect designs a house, say, he will (if he knows his job) begin by making a plan of the roof, for he knows that the design of the roof governs both the elevation and the internal arrangements. But the builder starts work at the other end, and builds, not from the roof, but from the foundations. In the same way it is necessary for us in our efforts to create a new social order to design from the roof (spiritual values) and build from the foundations (material problems). Unfortunately, however, very few people understand this paradoxical nature of the position; for the world is full of spiritually minded people who understand that it is necessary to design from the roof but imagine they can build from the top downwards, and practically minded people who realise that they must build from the foundations but imagine it is possible to design from the bottom upwards. And because of these misunderstandings most of our discussion is at cross purposes and most of our energies run to waste, for with such notions true co-operation is impossible. Seen in this light the problem before us is how to dispel these illusions in the minds of both the spiritual and the practical—how to make Christians understand what is true in Socialism, and Socialists to understand the truth of Christianity.

II. Socialism and the Idea of Progress

The underlying cause of the discrepancy between the moral impulse of the Socialist movement and its official economic theories is to be found in the idea of Progress, which it is necessary to understand if we are to understand the Socialist movement or, for that matter, the modern world. For if it be true, as Professor Bury asserts, that "the success of the idea of Progress has been promoted by its association with Socialism,"[3] it is equally true to say that the success of Socialism has been promoted by its association with the idea of Progress. For

[3] *The Idea of Progress*, by J. B. Bury (Macmillem & Co.), p. 65.

Socialism grew up in the atmosphere of the idea of Progress, which determined its main economic conceptions.

Now on first acquaintance, Progress presents itself as the vaguest of ideas; for it is associated with the most contradictory things. Thus it is invoked in support of the ideal of democracy, of liberty, equality, and fraternity, while it undoubtedly does lend support to the reaction towards slavery. It is used in some quarters to support the idea that the majority is always right and in others that the minority is always right; while there are people who somehow manage to believe in both ideas at one and the same time. It was defined by John Stuart Mill "as the preservation of all kinds and amounts of good which already exist and the increase of them," which presents an idea to which no Mediaevalist could possibly object; while in affirming that "all progress is differentiation," Herbert Spencer enunciated an idea to which every Mediaevalist would very much object. And so we are left wondering whether Progress is really an idea at all or whether it is not entirely a superstition to which all who intend to take part in practical activities must subscribe –a catchword which can be twisted to mean almost anything, but which yet somehow manages to get in the way of most things that are worth doing.

On the face of things such undoubtedly is the case. Yet, in spite of the fact that the word Progress may mean almost anything, it is nevertheless an idea with a very definite historical connotation, and a very important one too. For its essence is to be found in this—the assumption that the new thing is to be preferred to the old. It took shape in the seventeenth century, and can be traced back to Francis Bacon, who urged the necessity of a break with the past. Until the time of Bacon, the main preoccupation of men who wished to improve the world was the problem of how to change men. No man in the Middle Ages ever entertained the idea that the arrival of an ideal social system could precede the arrival of ideal men. But Bacon (who incidentally was a bit of a rascal), living at the time of the Reformation, when the unity of Christendom was destroyed, sought to promote the idea that as religion and morals had failed, social salvation was not to be found in any internal change of spirit but in external change of circumstances, and to this end he wrote a scientific Utopia called the *New Atlantis*, in which he looked for the happiness of mankind chiefly to applied natural philosophy and the scientific organisation of production. Yet it was due to the influence of Descartes rather than to Bacon that the idea of Progress became accepted. Bacon had taken his stand on the broad issue of science versus religion. But Descartes was more diplomatic. He did not make the issue one between science and religion, but between the future and the past. This attitude would have been impossible for Bacon, since he had a certain reverence for classical literature which would for him have made such an issue unreal. But Descartes was not hampered by any such considerations. He was modernist in spirit. He was proud of having forgotten the Greek he learned as a boy and he looked entirely to the future. "The inspiration of his work was the idea of breaking sharply and completely with the past, and constructing

a system that borrows nothing from the dead,"[4] which suggests that the idea of Progress owed its origin as much to a reaction against the pedantry of the Renaissance as to reform by external means, which in the excessive consideration it gave to the opinions of the Ancients, operated to strangle all vitality out of thought.

Now, in rebelling against this pedantry, there can be no doubt that Descartes and his followers were entirely in the right; for we know only too well the disastrous effect that the pedantry of the Renaissance had upon literature, architecture, and the crafts and arts generally—it strangled every bit of life out of them. The confusion in which the arts find themselves to-day is to be traced to the destruction of aesthetic perception and power of design by these selfsame academic influences. But, on the other hand, it is equally certain that the idea of Progress has been followed by results no less disastrous; for by undermining respect for the achievements of the past it has destroyed the mental balance and breadth of outlook necessary to real achievement. These considerations lead us to the conclusion that the idea of Progress and the pedantic influences of the Renaissance are but two aspects of the same disease, inasmuch as they have combined to undermine right feeling and attitude towards things, making it impossible for the modern man to enter sympathetically into the great heritage of the past or to face realistically the problems of the present.

While Descartes claimed the right to break sharply and completely with the past, his claim was only made in respect to the sciences; for in religion he was orthodox. But it so happened that the method which he advocated in connection with the sciences was given a wider application by his followers. And it was thus currents of thought were set in motion that had far-reaching effects, proving themselves to be fatal to all clear thinking about religion, philosophy, art, and sociology which are not to be separated from their roots in history. The Cartesian doubt—the resolution provisionally to doubt everything—is a necessary condition of intellectual advance. Its defect, says the Spanish philosopher Unamuno, is to be found " in the resolution of Descartes to begin by emptying himself of himself, of Descartes, of the real man, the man of flesh and bone, the man who does not want to die, in order that he might be a mere thinker—that is an abstraction";[5] for to proceed on such a method is to introduce a logic that operates to divorce the subjective from the objective side of thought and life. On the contrary, the right method of reasoning is not to begin with external phenomenon but with ourselves. What we can know and feel of the world is finally what we can know and feel in ourselves. It is only by penetrating deep into our own interior nature that we can discover those strands that bind us to others and the world. For what is the property of each is the property of all. The macrocosm can only be studied in the microcosm. And therefore it is necessary if we are, so to say, to feel our feet in the world of thought, to have the liberty if need be to break with the past—that is, to doubt what other men have said in order to

[4] *The Idea of Progress*, p. 67.

[5] *The Tragic Sense of Life*, by Miguel de Unamuno (Macmillan & Co.). p. 34.

prove it to ourselves. But men who go exploring are apt to get lost. And they can lose them- selves more easily in the depths of their own nature than in the exterior universe. Hence it is if men who seek after wisdom are to retain their balance and sanity, it is essential for them to be for ever seeking to correct their own judgments and intuitions by comparing them with the general experience of mankind. For men in the mass are in some respects wiser than any single individual, however much error and stupidity may be mixed with the wisdom. And therefore the more a man finds reason to differ with his own generation, the more important it is for him to study the past; for only when he is familiar with what men thought and felt in other ages can he see the thought of his day in a proper perspective. Hence the conclusion that truth is finally neither subjective nor objective, but resides at a point midway between the two.

To reason clearly on this issue is of fundamental importance, because under the influence of the idea of Progress the subjective and objective sides of life have become fatally divided, and all manner of evil has followed the division. After Descartes, men could say with Protagoras, "My thought is the measure of things." Thus an idea was set in motion that operated slowly to disintegrate the common mind, and with it the possibility of collective activity for any useful purpose. People who are accustomed to underrate the importance and influence of ideas would do well to reflect on the tragic consequences of this one, which has led men everywhere to deny the existence of any absolute right, whilst affirming that truth is entirely a matter of opinion. Is it not apparent that in making the departure he did, Descartes knocked the bottom out of the mind, breaking down the bridge that makes brotherhood possible, by bringing into existence an atmosphere of credulity and intellectual instability in which the false prophet is always sure of a hearing and the prize goes to the man who can tell the tallest story.

Faith in Progress was until yesterday the faith of the modern world. But it cannot be said to be so any longer; for the events of the last eight years have led to widespread scepticism in regard to the future. But if we are to see the most consummate expression of the idea of Progress we must go to the Socialist movement, which has based its activities upon it without any reservation or qualification. Generally speaking, those who accepted the idea of Progress did not cut themselves off entirely from the past. They accepted the idea in a vague way as meaning that in the gradual ascent of man the same interplay of forces which they supposed had conducted him so far would, with the increase of liberty, lead him towards conditions of increasing happiness and prosperity, for in their universe catastrophe did not exist. But with Socialists it was different. They took their stand on what was central in the idea of Progress—that it was necessary to break sharply and completely with the past, and proposed to reconstruct society on a basis that borrowed nothing from the social organisation or experience of former times. At least that was their idea at the outset, for when they settled down to work they found themselves unable to get as far away from reality as they had hoped. But to this extent it is true. They had an *a priori* prejudice against all forms of social organisation which had existed in

the past and had since disappeared; for they took it for granted that all such organisations belonged to a lower stage of social evolution and therefore could have no relevance to the problems of to-day. All who have fought for the Guild idea know this notion only too well. This prejudice has much to do with the perplexity of the Socialist movement to-day; for, having denied the experience of the past, it has nothing to fall back upon now that modern things are to be seen everywhere collapsing.

But it is not only in their desire to break sharply and completely with the past that Socialists followed in the path of Descartes. Their philosophy exhibits the same fatal division between the subjective and objective sides of life. The Guild, which was the type and exemplar of Mediaeval organisation, postulated in its organisation the essential unity of life; for it touched the subjective and objective sides of life at one and the same time. Socialist organisation, however, is entirely objective in the sense that it bears no relation whatsoever to the subjective life of man, as is recognised in the popular criticism which says it leaves human nature out of account. But while Socialist organisation is objective, Socialist thought is subjective. This is another source of the difficulties of the movement. For if there is no ultimate standard of right and wrong, if truth is entirely a matter of opinion, as the subjective philosophy postulates, then no real basis of co-operation between individuals exists. Men can only unite with one another on the assumption that they share common beliefs and work for common ends. And therefore co-operation becomes impossible wherever men have become individualised in their beliefs. Thus we see that the subjective philosophy is antipathetic to collective activity. And it is because of this that the Socialist movement has throughout its history been perplexed by internal dissensions; for in attempting to organise for communal ends people whose standards of thought are entirely subjective it attempts the impossible; it seeks to organise the unorganisable. And, because it attempts the impossible, it can have no future apart from such a change in spirit as would revolutionize its thought. The future is with those who are united in positive and fundamental beliefs, not with those who are united only in their detestation of the existing social order.

III. The Kingdom of God

Once it is realised that belief in the sufficiency of that automatic movement of social and economic development which before the War was known by the name of Progress is nothing more than a superstition, inasmuch as, so far from laying a foundation upon which a new social order could be built, experience has revealed it to be a movement towards the disintegration of everything that was hard and permanent in the world, it follows that our only hope of social salvation is to take our stand on something that has within itself the elements of permanence and stability. Over against the world of movement and flux, of progress and relativity, we must set up a standard of unchanging reality, of

absolute and immutable values which are unaffected by the fluid elements on the changing surface of things. Such values are to be found in the traditions of Christianity, and to them we must return. For only principles that rest upon supernatural sanction are invested with sufficient authority to secure for them popular acceptance.

But comes the objection: the problem confronting the workers is a material one, it is a bread-and-butter question, and therefore Christianity has no relevance; for it is not primarily concerned with the affairs of this world but the next. Considering the way Christianity has for long been presented in the Churches, such a view is excusable. For until yesterday, the Churches since the Reformation treated Christianity entirely as a gospel of personal salvation that had nothing to say about the social question. Yet such a presentation is not the Gospel as it was taught by Christ and as it was believed in by the Early Christians, to whom Christianity was as much an affair of the redemption of this world as of salvation in the next. And what is more, this attitude of the Early Christians became embodied in the dogmas of the Church; for as Señor de Maeztu pointed out in a recent article,[6] it is the Resurrection of the Body and the Life Everlasting upon which the Christian Creeds insist, while it is equally significant that no mention is made in them of the Immortality of the Soul. And there is a reason for this; for the doctrine of the Resurrection of the Body is just as much a symbol of the Early Christians' belief in the redemption of this world as the Immortality of the Soul is the symbol of the fatalistic attitude which until yesterday the Churches assumed towards the social question.

Let us consider this matter further. Not only is the significance of the doctrine of the Resurrection of the Body rarely understood, but ignorance as to its meaning is one of the stumbling-blocks in the path of the revival of Christianity; for the doctrine does not relate to our existing physical bodies, as is popularly supposed, but to the fact that in any final consummation the bodily life of man must find a place no less than the spiritual."[7] As such, the doctrine was formulated to combat the Manichaean heresy which, in divorcing spirit from matter, led men to place all their hopes in the next world to the neglect of the claims of this. According to Christian doctrine, there is no such divorce between spirit and matter; for Christianity is both spiritual and material. There are good spirits and evil spirits, while the bodily life of man might be good or bad according to the spirit in which men lived. The Manichaeans, on the contrary, taught a doctrine which cuts right across the Christian conception. They identified good and evil with spirit and matter. According to them spirit was good and matter was evil. And it was in order to combat the evils arising from this perverted attitude of mind that the Christian Fathers were led to formulate the doctrine of the Resurrection of the Body; for the practical consequences that followed the acceptance of the one conception or the other cannot easily be exaggerated. The

[6] *The Reconciliation*, by Ramiro de Maeztu. El Sol, Madrid. Translation in *The Crusader*, September 29, 1922.

[7] *Essays in Orthodoxy*, by Oliver Chase Quick.

Manichaean conception of life and the universe leads directly to contempt of the body and indifference towards the secular order of society, which it regards as beyond redemption on the one hand, or to pure worldliness on the other. The Christian conception, on the contrary, leads directly to a frank acceptance of the bodily life of man and a belief in the possibility of social redemption. For if the body is important, then the life of man on earth is important. The life of this world may be transient, yet it is an essential part of the next. If we neglect to take measures to make truth and justice prevail in this world, what reason is there to suppose we shall be equipped to make them prevail in the next?"The other world is this world in the fulness of its consequences." Hence the Kingdom of God around which the social teaching of Jesus moves. The phrase or its equivalent, the Kingdom of Heaven, occurs more than a hundred times in the first three Gospels. Its purpose was the establishment of the Kingdom upon this earth, and not its postponement to a life hereafter—a subtle evasion of the problems of the secular world as it has come to mean.

Though the reality of the Kingdom has been neglected by Christians in modern times, there can be little doubt that it was a central idea in the teaching of Christ. By the Kingdom Jesus undoubtedly meant a new social order which it is God's purpose to establish in this world, and of which He is the head. The phrase had long been familiar to His hearers. It was the term in which the pious Jews expressed their anticipation of a time when the national ideal of Israel should at last be realised and the prophet's vision of a just and prosperous society be fulfilled. Jesus took this earlier association for granted while seeking to give the idea a richer and larger content. It was not to be merely a new social system of man's devising, but something extending beyond this world into the next; while its approach was not to be primarily through political activity but through moral regeneration, through the redemption of the individual. The entire social order was to be Christianised. The world as a whole was the subject of redemption.

If it can be affirmed that it was the intention of Jesus to establish the Kingdom upon earth, with even greater confidence it can be affirmed that such was the meaning given to His words by His hearers, for how else is the communism of the Early Church at Jerusalem to be explained? This first attempt to realise the Kingdom clearly demonstrates that to them the new life which Jesus proclaimed not only involved an inward change of heart but an outward change of circumstance, since for the sake of the Kingdom they were prepared to give up everything. The attempt failed because it was premature. It was premature because the inward change of spirit necessary to the establishment of a new social order had not proceeded sufficiently far to make such a complete break with the traditions of society a practicable proposition. Nevertheless, the spirit of communism remained in the Church. But it remained as an ideal rather than as a method, expressing itself in care for the poor, attacks upon wealth, the condemnation of luxury, and insistence upon the duty of honest labour. Thus in one way or another very powerful solvents were brought to bear upon the established social order, operating to remove the barriers that stood in the way of brotherhood and destined in time so completely to undermine the foundations

on which Pagan civilisation rested as to prepare the way for far-reaching social and political changes. It gradually modified the attitude towards slavery, which by the fourth century was a doomed institution, though it lingered on in places for centuries.

That faith in the early establishment of the Kingdom, the dreams and hopes that it raised, materially contributed to the success of the Gospel and remained a force in the Church for centuries is admitted. Its disappearance would, in the first place, appear to be due to the fact that as on the sociological side of Christianity no systematic body of doctrine was built up corresponding to its carefully formulated theology, the enthusiasm of the millennialists was allowed to spend its force in wild dreams about the Kingdom instead of being directed into channels where it would have borne fruit; and in the next place to the disillusionment that came over the Roman world after the year 410, when Rome was sacked by the Goths. Rome had long ceased to be more than a symbol of Empire, but as such it was so entirely identified with every conception of orderly government that its fall had a tremendous effect on the imagination of men; for in being generally recognised as heralding the collapse of the old world, it not only dispelled millennial dreams but raised the question as to whether the Church itself was also destined to perish with the secular order. It was answered by St. Augustine, who, in the succeeding years, wrote his great treatise on Christian political philosophy, *De Civitate Dei*—The City of God—to restore Faith to the world. In it he completely identified the Church with the Kingdom. The old Roman Empire was tottering to its fall ; the Church stood fast, ready to step into its inheritance. Others before him may have taken the same view. Yet he was the first who ventured to teach that the Visible Church was the Kingdom of God, that the millennial kingdom commenced with the appearance of Christ on earth, and was therefore an accomplished fact. By this doctrine Augustine gave a new direction to Western theology, carrying it clear of millennialism, which very soon became a thing of the past, while certain elements of it became branded as heretical. But though perhaps it saved the Church at the moment, it did it by perverting the purpose of Christianity, for in identifying the Church with the Kingdom it destroyed for ever the possibility of the redemption of the secular order of society. According to Augustine's view, the human race is to be divided into two parts, "the one consisting of those who live according to man, the other of those who live according to God," which he mystically calls the two cities, one of which was predestined to reign eternally with God, and the other to suffer eternal punishment with the devil. While the City of God is concerned with spiritual values, the City of Satan is of the earth earthly, though to the question of the relation in which the two cities stand to one another according to God's purpose he can find no answer.

The implications of St. Augustine's position are enormous; for this division of the human race into two parts involves a terrible degradation of earthly duties with which the majority of men must of necessity be primarily concerned. Yet though Augustine attacks the dualism of Manichaeanism, it is apparent that his own central idea of the two cities is Manichaean rather than Christian, for

it postulates the divorce of the spiritual from the temporal, while it naturally led him to identify the Kingdom with the Church. These perversions of the teaching of Christianity are important because, as the influence of St. Augustine on the Middle Ages was decisive, they are to be held accountable for much—perhaps for the defeat of Christianity itself; for there are some who see the whole Hildebrandine policy, the controversies between Popes and Emperors, as indeed the "dominion of grace" of Wycliffe and the predestination of Calvin, which between them have alienated the world from Christianity, implicit in the pages of *De Civitate Dei*.[8]

In affirming, therefore, the centrality of the doctrine of the Kingdom, we are not only recalling the Church to its original purpose, but we are doing something towards purging the Church of its Manichaean tendencies, which stand between the modern world and the acceptance of the principles of Christianity. It is important to insist upon these things, because the world is faced to-day with a situation in many ways analogous to that which confronted the Roman world in the early part of the fifth century. The shock of the world-catastrophe has produced an effect on the minds of men to-day very similar, it is to be imagined, to the effect that the sack of Rome by Alaric had on Roman society; while since the War we become daily more conscious that the fabric of society has been shattered beyond repair^ And becoming increasingly conscious of the fleeting nature of the circumstances of life, of the instability of our material environment, we look round for something that possesses within itself the elements of permanence, and like St. Augustine we find it in Christian doctrine. For just as he felt in the crisis through which the Roman world was passing, that with the collapse of the old order leadership devolved upon the Church, so we, facing a parallel situation, are equally convinced that in Christianity is to be found the key. But its activities will have to be of a fundamentally different nature; for the problem confronting the world to-day is not how to save civilisation from an external enemy, but how to save it from internal corruption and disintegration, while so far from the teachings of St. Augustine being of any service to us in this task, it is from the very consequences of his teaching that we need to be saved. For the great evil to-day is dualism—the consequence of the Manichaeanism with which he infected Christianity. The separation of the material from the spiritual has proceeded so far that not only have our politics and industry become so corrupt that it often seems impossible to bring any moral influence to bear upon them, but we are caught in the toils of an economic and industrial

[8]Writing on this issue in *The Return of Christendom*, Father P. E. T. Widdrington says: "There is an excusable tendency to exaggerate the great achievements of the Middle Ages, and to see in Mediaeval civilisation a Christendom as near perfection as is possible in this imperfect world. But why did Mediaeval civilisation collapse? There are reasons and reasons. I hold the true one to be because at the root of that civilisation there was a lie. Mediaeval civilisation identified the Church with the Kingdom of God. The Church, instead of promoting the Kingdom, replaced it. The usurpation of the Church and its disparagement of the other modes through which the Kingdom is built, brought with it the inevitable consequence. Catholicism degenerated in the slavish worship of its own organisation, and that organisation became a tyranny from which men at length revolted. The danger is not altogether a thing of the past. It has assumed a different form…"

system that has made us all its slaves, and therefore a solution of our problems is not to be found in exalting the Church as a sanctuary, in providing a refuge to enable men to escape from the world, but by recalling the Church to its original purpose, as the instrument for the establishment of the Kingdom of God. Apart from spiritual influences, it would appear that the normal trend of things is downwards. For the evidence is only too conclusive that, left to themselves, men tend so to degenerate that spiritual things are entirely crowded out of their lives. Circumstances, self-interests, considerations of expediency all conspire to this end. For it is only when men are in possession of fixed principles which challenge this tendency that they have the courage to resist. It is for this reason that not until men are in possession of a sociology that will define the Christian attitude towards political and economic questions that they will be able to make a stand for principles and assert again the claims of the spirit that the steady process of demoralisation that has overtaken the modern world will be stopped. Not until then will the tide be turned, for against economic expediency nothing less than such principles can stand.

IV. The Life in the Kingdom

It is evident that the condition of society contemplated by Jesus in His Kingdom was one in which a balance was maintained between the spiritual and material sides of life. But as it so happens that left to themselves men tend to degenerate into materialism, and undue concentration upon the material side of things tends to choke the spiritual life, it is necessary, if a balance is to be preserved between the spiritual and material sides of life, to be for ever insisting upon the importance of the spiritual life. Spiritual things must come first. "Take ye no thought saying, what shall we eat, or what shall we drink, and wherewithal shall we be clothed (for after all these things do the Gentiles seek) for your heavenly Father knoweth that ye have need of these things. But seek ye first the Kingdom of God and His righteousness, and all these things shall be added unto you." This is the true political economy; it was the political economy of Christendom; and it is the political economy to which we must return; for it was precisely because the Mediaevalists, within certain limits, pursued this ideal that they were not troubled with the problem of riches and poverty that perplexes us to-day. Jesus did not, like modern economists, begin with any detailed analysis of external conditions, with the relation of man to his environment, but with the relation of man to God, confident in the knowledge that if men only believed in and worshipped the things of the spirit they would not find the ordering of their economic life a problem of insuperable difficulty.

What we understand by industrialism is the organisation of life and society upon the opposite assumption. It says in so many words, "Seek ye first material prosperity, and all other things shall be added unto you." But somehow or other the promise is not fulfilled. The other things are not added, while experience is proving that in the long run the pursuit of riches does not even bring mate-

rial prosperity. And there is a reason for this. The concentration of all effort and mental energy upon material achievement upsets the spiritual equilibrium of society. It awakens the spirit of avarice which operates to disintegrate the common life, and brings in its train great contrasts of wealth and poverty. Out of these contrasts come pride, envy, jealousy, national and class hatreds, economic and military warfare, and finally the destruction of the wealth that has been so laboriously created. For no civilisation built on a lie can endure. That, ultimately, is the reason why our civilisation is breaking down. The pursuit of materialism defeats its own ends by bringing into existence such a monstrous disproportion between the material and spiritual sides of life that the spiritual is incapable of shaping the material to human and social ends.

Spiritual values must come first because the first thing to be considered in the arrangements of any social order is the quality of life which men live. In Socialist theory and propaganda this is considered a matter of no relevance. Every individual is to be at liberty to live just as he likes, to do whatever takes his fancy, to live a life of luxury, to acknowledge no restraints except of the grosser kind which delivers him into the hands of the policeman; for according to the Socialist point of view all such questions are entirely personal ones which each individual can decide for himself, and have nothing whatsoever to do with the economic problem, which is to be solved as a separate and detached issue in the domains of politics and industry. But Jesus thought differently. He did not approach life and society as a series of separate problems of religion, morality, politics, art, economics, etc., but as one problem with many aspects. Further, He did not consider all the aspects of equal importance. On the contrary. He gave precedence to the spiritual side of the problem. It was what men believed and did and worshipped that finally mattered, and must be attended to first; for spiritual truth was the leaven that kept life pure and wholesome. The solution of the economic problem which confronted society in our Lord's time, much as it does in ours, would be easy if men could be persuaded to give to spiritual values the first place in their lives.

The important thing was the life lived, but the right life was impossible so long as men were absorbed in material pursuits and ends. Men had to be born again. The social problem was something more than a problem of economics. Rightly considered, it was but the more obtrusive symptom of an internal spiritual disease that had followed the triumph of materialism. It was for this reason that He insisted that "No man can serve two masters: he cannot serve God and Mammon."

Looked at from this point of view, the problem confronting modern society is the problem of how to restore the balance between the spiritual and material sides of life that have been so completely upset by a century and a half of industrialism. There are still, I suppose, in spite of the War, and the Peace, and the social, economic, and political confusion that has followed and involved us all, some cheerful and optimistic people who believe that the present confusion is but incidental to a state of transition in which our industrial system will be

conquered and redeemed and man become as much the master of things as he was in the pre-machine age. But industry becomes daily more complex, and as it becomes more complex the chances of any such redemption become more and more remote; for as it increases in complexity it makes demands on our alertness and many-sidedness to which our wits and sympathies are unable to respond. If ever the human spirit is to come again to its own, if it is to emancipate itself from the tyranny of things, we shall have no option but to return to simpler conditions of life and society, such as would reduce the complexity of our relationships to terms commensurate with the human understanding. Any idea of subordinating our industrial system to moral, aesthetic, and religious ends by "spiritualising the machine," as some define their aim, is vain and impossible. You might as well try to spiritualise a crocodile.

Industrialism came into existence for material and not for spiritual ends, and will obey the laws of its own being to the finish; for as it proceeds it excludes from its ranks all who serve other ends. Fifty years ago, before industrialism finally conquered, it might have been redeemed if men had been persuaded of the necessity. But fifty years ago men were too much hypnotised by machinery; they were too much enthralled by the unexplored possibilities of mechanical production to listen to the words of warning Ruskin and others so plainly uttered.

In such circumstances, if the balance between the spiritual and material sides of life is to be restored, we must be prepared to renounce mechanical methods of production wherever they are found to stand in the way of the spiritual life; for it is only by putting spiritual things first that society may be reconstructed. All my reasoning on the social problem brings me to this conclusion, and I am strengthened in my conviction that such is the case by the knowledge that Jesus Christ insisted always on the primacy of spiritual things. It is not through revolutionary upheavals but through an awakened spiritual consciousness that mankind will grope its way out of chaos. But I fear that it may prove difficult to persuade the working class, who are the principal sufferers in our social confusion, that the social problem is primarily a spiritual one. They are confronted in their lives by hard material facts. Their crying need is for the opportunity of self-development which poverty has denied them. It is not surprising, therefore, that they should come to the conclusion that the problem is primarily a material one and should view with suspicion all who affirm the contrary, as people who seek to betray them. All the same, it is an illusion, for, as Mr. Tawney recently put it, "to say that poverty is the greatest evil is to give sanction to the idea that riches is the greatest good," and therefore to misdirect reform activities by urging them towards a goal that is not only false but positively vicious. It is for this reason that it is no accident that all efforts to secure reform on a purely material basis should have failed; for nothing militates against clear thinking on social questions and really effective action so much as the desire to be immediately practical, for in practice it means that short-sighted views come to be preferred to long ones; and that is the curse from which we should pray to be delivered.

But it will be said the Labour movement is a spiritual revival, inasmuch as it is an attempt to express the spirit of Jesus in everyday life. This is true up to a certain point; for it is not to be denied that with an altruism that gives the lie to their theory that material factors have finally determined the course of history, the Labour movement has been a source of real inspiration to thousands, leading them to throw their energies into the attempt to secure for others those opportunities which have been denied themselves. Yet it cannot but appear as an anomaly that a movement of such spiritual potentiality should subscribe to the tenets of a philosophy that rests upon material values, while there can be no doubt that this contradiction lies at the root of the failure of Labour, thwarting their every effort to achieve emancipation. It is a heresy, and like all heresies it leads to quarrels and dissensions; for in every crisis the Labour movement becomes a house divided against itself.

V. The Great Commandment of the Law

We saw that in the mind of Jesus the most fundamental requisite for social salvation was a willingness on the part of men to acknowledge the primacy of spiritual things, since only on this assumption could a balance be maintained between the spiritual and material sides of life. But it is necessary for another reason. Unless men consent to put spiritual things first, they cannot finally unite among one another; for in that case the cement will be lacking to bind men together in the bonds of brotherhood. Hence it was that in answer to a lawyer who asked what was the great commandment of the law Jesus replied, "Thou shalt love the Lord thy God with all thy heart, with all thy soul, with all thy mind, and with all thy strength. And the second is like unto it. Thou shalt love thy neighbour as thyself. On these two commandments hang all the law and the prophets," thereby affirming the primacy of spiritual values as the only possible basis for a common or corporate life.

Let me quote in this connection the words of Señor de Maeztu: "The commandment," he says, "which compels me to love my neighbour as myself, does not tell me how to love my neighbour, for it does not tell me how I ought to love myself. There are happy moments when I love for myself truth, justice and the tragic and supreme beauty of sacrifice. There are other moments when I love for myself flattery, although it may be false; power, although it may be stolen; and pleasure, although it may degrade both my body and mind. And if 1 love my neighbour as myself, why should I not also love for my neighbour false flattery, usurped power, and degrading pleasures? And this supposition is not merely imaginative. The altruistic drunkard wants his neighbours to get drunk; and the voluptuary is usually an altruist in the sense that he wants the greatest possible diffusion of his vices…

"Love of one's neighbour does not acquire a positive value except when it depends upon the first and great commandment, which is the love of God. Non-religious persons may reply that they do not know what is being asked of them when

they are told to love God… What we assert is that love of cultural values is love of the Divine Substance, and therefore love of God.

"But to the first and great commandment Jesus added the second, 'Love thy neighbour as thyself,' and it was necessary to add this, for the men who have come to love God in His substance, or in His Person, have known the temptation of feeling a certain repugnance towards their neighbour and towards themselves. He who loves the good, easily falls into the sin of not loving man; for man is a sinner; he who loves truth feels more pity than love for this poor human reason, whose limitations are as familiar to him as they are painful. And he who loves the power that preserves and increases goodness and truth, easily yields to the temptation of despising his own weakness and the weakness of his neighbour. And yet we must love man, for the love of man is necessary for the preservation of truth in the world. With all his limitations, we hope that man is carrying out some function in the world; for otherwise we could find no meaning in his existence. The man who loves God must be commanded to love his neighbour and himself, for he is the one who realises better the faults of human kind… If a human society is a partnership in cultural values, its constitution is desirable, and then the fellowship of its members must be added to it to make it prosper."[9]

Perhaps now we may begin to understand upon what basis a Christian sociology must rest. It is upon the mutual dependence of the love of God and one's neighbour. Neither of these commandments can stand alone. A right relationship with God is necessary to a right relationship with men and *vice versa*. But it has been the error of Socialists to suppose that it is possible to build up a new social system upon the love of one's neighbour whilst ignoring the necessity for any love of God in his Person or in his Substance, giving to material values the primacy that belongs to the spiritual. And this has led to an inversion of the natural order of things, in which the will of the people takes the place of the will of God. *Vox populi, vox Dei*. There are times when the voice of the people is clearly the voice of God. When the people rebel against injustice we may be assured that God is with them. But the voice of the people is raised at times for other causes at the bidding of selfish interests. And Christians, at any rate, should not forget that it was raised to crucify their Lord. It is therefore necessary to discriminate.

If Christ came to-day, it may be assumed that the common people would hear Him gladly. But can we be sure they would follow Him to the end? A conflict between Him and the people would perhaps be inevitable. For the majority of people are short-sighted and are apt to become very impatient with those who take longer views. This is one of the difficulties connected with democracy. However much we may sympathise with the people in their sufferings, however much we may wish to see their grievances redressed, let us not lose sight of this fact. They are ready to listen to those who flatter them, who tell them that nothing can stand in the way of the consummation of their will, who hold out promises to them that they do not know how to fulfil, but they are by

[9] *New Age*, January 18, 1917.

no means so ready to listen to those who tell them the truth when it conflicts with their own immediate desires and interests. And it is because of this that evil is so powerful in the world. The whole power of evil rests ultimately upon its capacity to offer immediate advantages. It tempts men by pleasures that it may hold them in its grip. It builds up a power to enslave men in their capacity as producers by making itself subservient to their whims as consumers. It persuades men to sell their birthright for a mess of pottage. And so it is, unless people are willing to acknowledge and serve some higher principle than is dictated by their own appetites and desires, there can be for them no hope of social salvation. For so long as they remain the slaves of their own desires, capitalism will be able to devise some means of exploiting them.

Meanwhile the democratic movement suffers from a conflict of wills. This perplexity follows naturally from the fact that a power built up by an appeal to selfish interests cannot be used for the enforcement of unselfish principles, and disappointment with attempts to do so creates a spirit of resentment in the hearts of those who expected most. Democracy in its despair has come to repudiate its own leaders. This nemesis of democracy is the natural consequence of attempting to separate the love of one's neighbour from the love of God.' For when men cease to love God in His Person or in His Substance there no longer exists any common bond of sympathy and understanding between the people and their natural leaders. There is no cement to bind together men of different grades of intelligence, as was the case in the Middle Ages, when king and peasant, priest and craftsman were bound together by a common religious tradition which, however much they might disagree, was stronger than their differences. In the absence of this shared and common tradition, the wise are no longer understood of the people, and they tend to drift apart because they do not readily discover points of contact. And when the wise are gone the end is in sight. The people begin to follow the leadership of those who make themselves subservient to their every whim, who flatter their Vanity, and make promises that they do not know how to fulfil until the day of reckoning comes and rebellion against all leadership whatsoever manifests itself in the rank-and-file. This is the explanation of the democratic temper to-day. Rightly interpreted, the rebellion against leadership is not a rebellion against all leadership, but against false leadership. And as such, it is finally a rebellion against the very doctrines in which the workers profess to believe; against an ideal of democracy that would separate love of one's neighbour from the love of God.

VI. The Church and the Common Mind

We saw that the basis of a Christian sociology was to be found in the mutual dependence of the love of God and one's neighbour. But if ideas are to exercise a permanent influence on the world of affairs, it is essential for them to be embodied in institutions. Hence the Church, which our Lord founded and left behind Him to continue the work He had begun. It was, as we saw, not to be

regarded as an end in itself, such as it has come to be, but as an instrument for the establishment of the Kingdom of God.

But though Jesus meant that the Church was to be considered as a means rather than an end, He did not mean that a time would ever come when the Kingdom would be established once and for ever; because, as a matter of fact, in the sense of finality it never can be established. On the contrary, if it is to continue living, its life must be renewed daily; and it is for this reason that the Church as a visible and organised institution will always be necessary. It will always be necessary, moreover, because Christianity is the religion of the Incarnation. Spirit and form, soul and body cannot by the essential principle of faith be divided. To bring about harmony between them, between the inner and the outward life, between truth and its visible expression. between religion and civilisation is the task to which Christianity is committed. And as there can be no finality in these things, the Church will always be necessary to effect renewal and adjustment.

From a sociological point of view, the first function of the Church is to maintain in society the acceptance of common standards of thought and morals. This is a necessary condition of any stable social order, because if men are to share a common life they must share a common mind, for there must be a common mind if men are to act together. We have moved so far away from the thought and impulse of the Middle Ages that there are few to-day who recognise the fundamental importance of the common mind to any successful ordering of our social arrangements. Yet it is only necessary to reflect on the general social and political situation to-day to realise that in recognising its importance the Mediaevalists were right while the Modernists in failing to do so are wrong. What is the secret of the apathy of the present day The immediate cause is, doubtless, disillusionment. For centuries society has worshipped at the shrine of mammon, science, and mechanism. Men saw the immediate advantages which followed their surrender to them, while they concealed from themselves their evil side, which was tolerated, nay, justified, as incidental to the cause of progress. They refused to judge this development by any fixed standard of right and wrong, preferring to take their stand on the doctrine of evolution according to which any evil can be justified as a temporary phenomenon inevitable to a time of transition on the assumption that truth and justice will prevail in the end. But it has not worked out as expected. Experience has proved that figs do not grow on thistles, though the culture may be scientific. The pursuit of wealth has not resulted in a more equitable distribution, as Adam Smith prophesied, but has widened the gulf between rich and poor, while it is seen to end in widespread unemployment. It has corrupted business and politics, concentrated power, and built up irresponsible and impersonal tyrannies. Our industrial system has not liberated but enslaved men, while it uses up raw materials at such an alarming rate that the problem of securing new supplies has become a perpetual menace to peace. It is for such reasons that the feeling grows that modern civilisation is breaking up, while science, as detached as ever, invents poison-gas to ensure that the destruction shall be complete.

It is easy to understand why the awakening of the world to these perils should have led to some disillusionment. But the disillusionment would not have led to apathy but for another thing. The man of to-day has no idea how to stop the rot that threatens civilisation; and he has no idea how to stop it because there is no longer in existence a common mind; and because the common mind no longer exists it is impossible to secure any widespread agreement as to what requires to be done. For so long have men enjoyed freedom of thought and speech, for so long has such freedom been exalted as an end in itself, for so long has every false prophet who attacked the very foundations of right thinking and feeling enjoyed immunity, that the average mind to-day is in such a hopeless state of confusion about everything that it is impossible to get agreement about anything that really matters. And so it comes about that in the absence of any positive idea on which to unite, men to-day associate for negative purposes—not to promote what is right, but to denounce what is wrong; for after all, Socialist schemes of reconstruction are little more than organised negations, as the Labour Party's election manifesto bears witness. The desperate position in which, owing to the disappearance of a common mind, men find themselves to-day makes them attempt to co-operate by sinking their differences, on the assumption that the attainment of power is the first thing necessary to social salvation. But all such attempts avail nothing; for a power that is built up by sinking differences is not a real power but a sham one, that goes to pieces wherever it comes into collision with realities. It is for this reason that the Labour Party tends to lose effective strength in proportion as it grows in numbers. Its recent accession of strength[10] enables its voice to be heard, and will doubtless result in many things being done to mitigate existing evils that would not be done but for the fear of a Labour Government. To this extent the Party is doing useful work. Yet the voice it raises is finally the voice of protest and negation rather than of a prophetic and constructive vision. The members of the Party can unite in their protests against war, on behalf of the unemployed, to prevent the decontrol of rents and in their attacks upon capital. But their points of agreement are superficial, while their disagreements are fundamental, and so it is an open question as to how long they will be able to remain united; for having put their trust in numbers rather than in clear thinking, their faith has become an amorphous conglomeration of conflicting beliefs, and it needs but the shock of reality to expose its weakness.

In these circumstances not only do we see the urgency of re-creating the common mind, but we begin to understand why in former times heresy was suppressed. It was suppressed because when men had a firm grip of fundamental truth they realised that any idea that attacked the unity of the Faith threatened the existence of the common mind, and therefore the stability of society by undermining its capacity to resist evil influences. It was for this reason that in the Middle Ages the heretic was looked upon as a traitor to society, and why for centuries the suppression of heresy was a popular movement. We miss the significance of this suppression if we assume that it was undertaken solely for ecclesiastical reasons. On the contrary, it is to be observed that the suppression of heresy

[10]The General Election, November 15, 1922.

has, with exceptions, been undertaken from secular rather than religious motives, and by civil rather than ecclesiastical authorities, while there is nothing peculiarly Christian or Mediaeval about it. The Greeks condemned Socrates to death because it was held that his teaching undermined respect for the gods, while Plato finally came to the conclusion that to doubt the gods should be a crime punishable by death. The Roman Emperors persecuted the Christians for refusing observance of the gods, while it was the best Emperors who were opposed to the advance of Christianity and the worst ones who were indifferent to its encroachment—Marcus Aurelius himself being no exception to this rule. And what is more interesting, it was not until Christianity became the official religion of the Empire that there was any persecution of heretics in the interests of Christianity. Then the successors of Constantine, continuing in the persuasion of the Pagan Emperors that the first concern of the imperial authority was the protection of religion, persecuted men for not being Christians in the same spirit that their predecessors persecuted men because they were Christians. The same is true of the spirit in which heretics were persecuted by the Church. For it was not until the Papacy became a secular power that it began to persecute heretics, while the most active in their persecutions were the great Popes rather than the average ones, and all the great Popes, as Mr. McCabe points out,[11] were canonists rather than theologians. Such persecutions, however, did not necessarily involve the death penalty, which was reserved for the very exceptional and obstinate cases; for, generally speaking, the opinion prevailed among influential ecclesiastics that while the civil arm might be employed to deal with heretics by prohibiting assemblies and in other ways preventing them from spreading their views, the death penalty was contrary to the spirit of the Gospel. And this attitude continued until the close of the twelfth century, when, owing to the spread of the heresy of the Albigenses (which, owing to the support of the nobility of Southern France, presented the aspect of a powerful political party in addition to that of an heretical sect), the attitude of the Church changed. The Church was terribly afraid of this new spirit, which she considered not only menaced her own existence but the very foundations of society as well, and in the end she shrank from no cruelty that she might be rid of it for ever. The persecution of the Albigenses was the great crime of the Middle Ages, but it is interesting to observe that Innocent III, who instigated the persecution, was a canonist rather than a theologian.

Sufficient has now been said to demonstrate that the suppression of heresy was undertaken for social rather than religious reasons; because men felt that the promotion of ideas which destroyed the unity of the Faith was subversive of the social order. As to whether they were right in supposing that force was the remedy is quite another matter. But this much is certain: that men in the past were right in regarding the preservation of the common mind as a matter of supreme and fundamental importance to the stability of society; while it is equally certain that any solution of our difficulties at the present day involves its recovery; for if order is to be restored to the world, it will have to make its

[11] *Crises in the History of the Papacy*, by Joseph McCabe.

appearance first in the mind of man. And if order is to make its appearance in the mind of man, it will be because the world returns to Christianity. In the break-up of the modern world Christianity is the one thing that is left standing. Its principles are still vaguely accepted by an enormous mass of people to-day, and that is why it must become the new centre of order—a rallying point from which the traditions of society, of a common mind, can be re-created.

But it will be said: If we are to wait until a revival of Christianity is an accomplished fact we are lost, for the problem confronting society develops with such rapidity, and we cannot expect any wholesale conversions of men to Christianity. To which I answer that I am speaking of the ultimate solution, not of immediate measures. But it would clarify our thinking enormously about practical measures if we considered them in the light of Christianity instead of in the light of the materialist philosophy. It is for this reason that the formulation and popularisation of a definitely Christian sociology which would relate the principles and forms of social organisation to the principles of Christianity is a matter of urgency. For in this our immediate task of re-creating the common mind, we cannot rely upon any purely educational propaganda which would aim direct at the creation of common standards of thought and morals; for such a propaganda would lack the definiteness necessary to the crystallisation of thought. It is for this reason that there remains but one path of approach—to approach the spiritual through the material. We must meet the public half-way, bringing light to bear upon the problems in which they are interested, tackling the concrete realities of life and society. By such means the principles of Christianity would be brought into a close and definite relationship with the thought of to-day. And from the union would be born a common mind.

VII. The Church and Brotherhood

We saw that from a sociological point of view the first function of the Church is to maintain in society common standards of thought and morals; its second is to promote the brotherhood of mankind. These two functions necessary to the establishment of the Kingdom of God upon earth correspond respectively to the two great commandments of the law upon which Jesus asserted "hang all the law and the prophets."

The parallel is identical. For the common mind and the brotherhood of man are as mutually dependent upon each other as we saw the commandments to love God and to love one's neighbour are mutually dependent. They are mutually dependent because if men are to share a common life they must share a common mind, while if they are finally to share a common mind they must share a common life, for anything that is destructive of the one reacts to destroy the other. Heresies destroy the common life by destroying the common mind, while capitalism destroys the common mind by destroying the common life. Such considerations enforce the conclusion that neither of these ideas is intelligible apart from the other. We have considered what is meant by the common mind;

we must now proceed to consider what is meant by the common life or the brotherhood of man.

As at the present time popular ideas about brotherhood are so vague and nebulous, it will clear the air of a great deal of cant if we begin by saying what it is not. And in this connection it is to be observed that the brotherhood of man is not going to be promoted by crying " Peace, peace, where there is no peace." Brotherhood does not mean bringing all and sundry together, people who share different traditions, exploiters and exploited, and demanding that they shall live henceforth in peace and amity in the sloppy-minded sentimental way so many Christian bodies set to work. For brotherhood must be based upon justice, and attempts to evade the great fundamental injustices of our civilisation do not bring brotherhood nearer, but postpone it. To ask the poor to recognise their exploiters as brothers while they are still unrepentant is to insult them, for such advice, if followed, would rob them of what honour they have left. For there can be no forgiveness without repentance. Activity of this kind has done incalculable harm to the cause of Christianity, for we may be perfectly assured Jesus would have no sympathy with action of such an invertebrate character. If He commanded men to love another, He also said: "Think not I come to bring peace but a sword." If He did not preach class hatred, He did attack the ideal of wealth, not only because it involved injustice to the poor, but because of its evil effect on the character of the rich. Pride and avarice, the two sins associated with wealth, are the two great enemies of the brotherhood of man. They separate a man from his fellows, cutting him off from the great currents of love and fellowship, from the great primary realities of life, causing him to live an artificial life. If a man is whole hearted in his pursuit of wealth and sacrifices everything to it, he ends in becoming an empty husk from which all the sweetness has gone. And in this state he comes to crave sensation and becomes a prey to luxury, vice, and pleasure, which he pursues to relieve his boredom.

That is the great peril of wealth. And it was because Jesus saw that there were two sides of the question, inasmuch as it brought evil into the lives of both the rich and the poor, that He did not preach class hatred, but attacked the ideal of wealth. He did not preach class hatred because He saw that by increasing antagonisms it would postpone rather than hasten the arrival of human brotherhood. For hatred only breeds hatred; it does not bring fellowship and love. Jesus saw that the social problem was not merely a material question of redistributing wealth and property, but a spiritual one of changing the ideal of men. And it was necessary that the ideal be changed first, because any redistribution of wealth apart from it would not be permanent; since as long as men worshipped wealth in their hearts, the same social and economic evils would soon reappear if a new social order were established, were such a thing possible.

It was because Jesus saw that the evils of wealth had their roots in the hearts of men that He preached repentance. Repentance was the first step because it meant a change of spirit, and this was a precedent condition of material change.

If men come to love God in His Person or in His Substance, their lives would be filled with something that would make them indifferent to wealth. They would be lifted on to a higher plane. And on this higher plane they would see wealth for what it is. They could use it, and its use would be good. For being proof against its temptations it could not enslave them. Thus we see that Socialists, in concentrating entirely on the material side of the social problem whilst ignoring the spiritual, are mistaken. It is true that the existing system of industry gives rise to all manner of evils, that sweating, overcrowding, unemployment, shoddy work, adulteration, profiteering, lying, fraud, and a thousand and one other evils are promoted by it. And to this extent the average man to-day is very much the victim of circumstances. But it is not the whole truth. For on the other hand it is equally true to say that the present system, with all its vices, is the creation of man; that it is a manifestation of the evil in the heart of man; of the active pursuit of avarice by some men, and a passive acquiescence in it by most men. And it is for this reason that it is vain to suppose that the brotherhood of man can be promoted merely by a change of environment. Nay, it is because of this that it is impossible by means of external reform considered apart from a change of heart to change for the better the environment at all, as the failure of Socialist measures everywhere abundantly testifies.

Among the lessons that are to be learned from the Socialist failure, there are two which have an immediate bearing on the point we are discussing. The first of these is that capitalism will not yield to a frontal attack, and must therefore be undermined; and the other is that the realisation of brotherhood can only follow a change in the spirit of men. Brotherhood is fellowship, and fellowship has its basis in friendship. It has its origin in groups of friends who are united in common aims and sympathies; and the brotherhood of man can only follow the gradual expansion of such fellowships. It must begin with the details of life, with neighbourly actions. The Mediaeval Guilds were fellowships. The word "Guild" originally meant a festival or sacrificial feast, and was applied subsequently to the company who thus feasted together. And it would be well if some of our organisations would revive this Mediaeval custom, as has already been done by the Adult Schools with their Sunday morning breakfasts. Fellowship appears to be indissolubly connected with the taking of meals in common. For this reason it is necessary to insist that brotherhood is not primarily a method of organisation, but a way of life. It is true that as it develops it needs to be supported by organisation, nevertheless the fact remains that it is primarily a *life*, which aspect we must to-day be always insisting upon; for the fundamental importance of this aspect is almost completely lost sight of in Socialist economics.[12]

In the Middle Ages these things were understood because the brotherhood of man then reposed upon the Fatherhood of God. It was this association of the ideal of brotherhood with that of religion that kept its essentially human basis

[12]The Village Club movement which we connect with the name of Mr. J. Nugent Harris is another example of this kind of thing. By bringing people together on a basis of fraternity it should, as it spreads, tend to break down that individualism which is at the root of so many of the problems of rural life.

in the forefront of people's minds. But with the break-up of the Middle Ages, accompanied as it was with the decline in the power and influence of the Church, the defeat of the Guilds and the formation of great States, and the subsequent rise of rationalism, the essentially human and religious basis of brotherhood was lost sight of; and men came to think of society and social arrangements in the terms of politics rather than religion, in the belief that reform of the State rather than of the Church was the key to the situation. And so it came about that with the French Revolution the ideal of brotherhood became associated with political activity, and the State was called upon to re-create what it had assisted to destroy. And it has remained associated with political or industrial activity ever since, with the result that the very conception of brotherhood has been changed from an idea resting on a spiritual basis to an idea resting on a material one, from an idea which concerned itself primarily with the relation of man to man to an idea which concerns itself primarily with the relation of man to his environment. Not that the latter is unimportant, but that the Socialist in always stressing the need of a change in environment while ignoring the still more important need of a change in spirit, has in thought moved farther and farther away from the ideal of brotherhood, as the incessant quarrels and dissensions within the movement abundantly testify. Confronted by a common enemy in the renewed power of capitalism, these quarrels have perhaps for the moment somewhat abated. Yet we may be assured that the truce is but temporary, and that they will reappear with a change of fortune. For peace is impossible in a movement which no longer shares a common mind.

VIII. The Necessity of Law

The brotherhood of man, expressing itself in communist society, where all share and share alike and private property is unknown, is the Christian ideal of society. But such an ideal is not easy of attainment, for it is only capable of realisation on the assumption that its individual members will accept a discipline which the majority are not prepared to do. Hence, while throughout history it has been a tradition of the Church to uphold the ideal of pure communism as the best form of organisation for religious orders, a modified communism which we know by the names of the corporate or common life has been found to be a more practicable ideal for the life of the workaday world, experience having taught men that "private property and common use," rather than "common property and private use"—to adopt Father Jarrett's phrase[13]—was more adapted to the circumstances of secular society.

But the unwillingness of the average man to accept a discipline is not the only difficulty that stands in the way of the organisation of secular society on a basis of pure communism. A greater difficulty arises from the fact that in every society there is to be found a minority of men actuated by anti-social motives who spurn the ideal of brotherhood. There is a type of man whom Señor de

[13] *Mediaeval Socialism*, by Bede Jarrett.

Maeztu has designated the "man of prey," whose ruling passion is the love of wealth and power and who is always ready to sacrifice the welfare of others to the attainment of his ambition. In societies where law is weak, such men take to plunder and robbery. In modern societies where the law is strong, it is more usual for them to seek their ends by profiteering and other usurious dealings, by lying, deceit, and the countless forms of fraudulent gain whereby men are for ever seeking to gather the riches which will give them power over others.

It is because of the existence in every community of such anti-social types of men who cannot be persuaded to respect the claims of the common life, that law at all times is a necessity. It is necessary to protect peaceable and honest working citizens from the depredations of the men of prey ; for if the brotherhood of man is ever to be realised in fact it can only be on the assumption that laws exist to restrain such men. For just as bad money drives good out of the market if allowed free circulation, so high standards of social and commercial life can only be maintained on the assumption that laws exist to suppress lower ones. But in our day the State which administers the law has come very much under the domination of the men of prey, who use it as an instrument for their purposes; for exploiting the public and the workers or for the subjugation of other races, while they do not hesitate to plunge the country on occasion into war to protect their interests. And because this undoubted fact has in these days received a wide recognition, an increasing minority of people have come to regard the State as the very embodiment of evil; as a mere instrument of exploitation; as the enemy of society; and are busy promoting the idea that there can be no social salvation until the State as we understand it is abolished, while some have gone so far as to demand "an unarmed Commonwealth of Friends trained to live by reason, love and freedom."[14]

Now it does seem to me that at the present time, when all manner of evil deeds are being done behind our backs in the name of the State, when we can get no exact knowledge of what is going on, when we can no longer believe what the newspapers tell us, when, in fact, politics have become a mere puppet show, the strings of which are pulled by unscrupulous financiers who think only of deals, and when another war would probably end in the destruction of civilization, the only possible attitude is the pacifist one; for the only way to put a stop to such iniquities is to refuse to support those who commit them. But I do not think that we are justified in assuming because of the present iniquity of the State that the State should or could be abolished, or that armed defence in some form could be entirely dispensed with; for even if corruption was eradicated from politics and men of principle did come into power again, they would not be able to retain power for long unless they took measures to protect themselves against the men of prey by the enactment of laws in their restraint and were prepared to back them up if necessary with force; for all law rests ultimately upon force. And what is true for the maintenance of internal order, of protecting society against the enemy within the gates, is true for protecting it against enemies outside.

[14]See *Our Enemy the State*, by Gilbert T. Sadler (C. W. Daniel, Ltd.).

For no society, however well ordered it might be, however much it stands for righteousness, can be secure against invasion so long as any people in the world are under the domination of men of the predatory type. It may be true, as internationalists assert, that, taken in the mass, men are very much alike all over the world. But in practical affairs what makes the difference is the type of man that dominates a civilisation, for the dominating type gives the tone to a community, and it is that which in politics must be reckoned with.

But the feeling to-day against the State does not only rest on the pacifist objection to the use of force; for the Communists who believe in the use of force are equally opposed to it. Their objection is just as fundamental, for it rests upon the clear apprehension of the fact that the State has consistently upheld certain evils in society (which is true), though it should not be forgotten that good influences as well as bad have been -brought to bear upon the State. Yet, generally speaking, it is true to say that laws to-day are made *to enable rich men to live among poor*, instead of *to enable good men to live among bad*, as was the aim of the Mediaeval customary or common law.[15] And I think it would clear the air of a great deal of discussion at cross purposes and bring reformers into a definite relationship with reality if, instead of demanding the abolition of the State, which is impracticable, and affirming the natural perfection of mankind, which is untrue, they were to take their stand on the principle that the aim of all legislation should be to enable good men to live among bad. At any rate, such a position appears to me to be the only consistent one for Christians to adopt. Such a principle is the political expression of the doctrine of original sin; for the distinction it makes between good men and bad is the practical one which we make in the world of affairs, and is in no way inconsistent with an equal recognition of the theological position that all men are sinners.

The application of such a principle would be revolutionary; for it would put reformers in a position to steer a safe middle course between the impracticable and the undesirable, and at the present time the choice is generally between these alternatives. We miss the significance of the present intellectual reaction against Socialism if we assume that it is due to a desire to deny the rightful claims of Labour, since on the contrary it is due to the realisation of the fact that their actual proposals are in the larger sense impracticable, and therefore if applied could only make matters worse than they are at present. It is for this reason that the recent victory of Labour at the polls can only be the prelude to another disappointment, for until faith in the realisability of the confused notions of mid-Victorian Socialism has been destroyed absolutely root and branch, no sane and reasonable proposal will be listened to, because such proposals necessarily come

[15]This is the reason why the law was made, that the wickedness of men might be restrained through fear of it, and that good men could safely live among bad men; and that bad men should be punished and cease to do evil for fear of punishment." (From the preamble to the Fuero Juzgo, a collection of laws Gothic and Roman in origin, made by the Hispano-Gothic King Chindavinto, A.D. 640. In the National Library of Spain, Madrid.)

In a school catechism it was taught in England within living memory that the purpose of law was "to preserve the rich in their possessions and to restrain the vicious poor."—*Mediaeval Contributions to Modern Civilisation*, Essay by Rev. Claude Jenkins. (G. G. Harrap & Co.)

into collision with the dogmas of Socialism, which, approaching every problem of society from a purely material point of view, puts the emphasis on the wrong aspect, exalting questions of expediency into principles while treating other issues which should be determined on principle as matters of expediency.

In no direction has this wrong approach been followed by such confusions and contradictions as in the Socialist attitude towards the State. In the days of Collectivism the State was idealised. Always a necessity, the State was converted by Collectivists into The Good. This is no exaggeration; for with them the idea of the State acquired a kind of ethical value. For every social evil there was one and only one remedy—apply the magic formula of State control, and evil would be suddenly transformed into good. It was a pure illusion, and it could not stand the shock of reality. A few years of activity on a Collectivist basis led to disillusionment, and from being idealised the State fell into contempt; from being The Good it became The Bad. This change of attitude was in operation before the War. But the rapid and enormous extension of State activity during the War made reaction inevitable. It brought home to everybody the inadequacy of bureaucracy as a method of organisation, while the profiteering and corruption which were associated more particularly with war contracts, the incompetence and corruption of politicians, and the failure of the Peace has brought everything connected with the State into contempt. It is not my purpose to rescue the State from contempt; for in the main I share the opinions of its critics. But just as I found myself in opposition to those who a decade or so ago thought the State capable of doing everything much better than an individual or group of men could do it, so nowadays I feel myself equally opposed to those who can see nothing but evil in the State and demand its abolition. Each view appears to me to be equally irrational. The reaction against the State to-day is in no small measure due to the fact that Collectivists demanded that it should perform impossibilities. If the State is not capable of doing all things, it nevertheless remains the only power capable of doing some things. It is the only power capable of giving protection—the need of which first called it into existence. It is capable of securing some measure of internal order, though it should fail to live up to the ideal of justice. And the maintenance of order is a function not to be underrated, as we should soon find out if the State became incapable of performing it. In the rehabilitated Christendom to which we look forward, the maintenance of order will be the only function entrusted to the State. Instead of being the all-powerful Leviathan, the overwhelming and dominating power it is to-day, it will, stripped of its illegitimate functions, be reduced to the position it held in the Middle Ages, becoming one power among a plurality of powers. The old Liberals were right in maintaining that the less the State did the better ; where they were wrong was in assuming that for this reason as many activities as possible should be left to the unrestrained competition of individuals. For there is a middle course that they lost sight of—the restrained individualism which existed under the Mediaeval Guilds.

But Collectivists, obsessed with the idea of Progress and full of prejudices and ignorance in regard to the past, were blind to the possibilities of a Guild revival.

And so they were led to idealise the State, which they demanded should take over and administer land, capital, and the means of production and exchange; not understanding that the State of historical actuality, the highly centralised State of modern times, is itself a part of or symptom of the disease of society, and that the remedy is not to be found in the direction of increasing the already exaggerated abnormality and artificiality of society, but in the direction of a return to simpler, more normal and wholesome conditions of life and society, such as existed in the past when men were held together by personal and human ties and there was little need of the impersonal activity of the State.

IX. The Social Organisation of the Middle Ages

The conclusion at which we arrived in the last chapter—that a solution of the social problem is not to be found in the direction of an increase of artificiality but in the direction of a return to simpler and more wholesome conditions of life and society such as existed in the past—leads inevitably to a consideration of the social organisation of the Middle Ages. Moreover, as the institutions of the Middle Ages were in varying degrees expressions of the spirit of Christianity, they offer us a pattern that may be studied in the interests of a revival of Christendom.

However much room there may be for differences of opinion as to the precise measure of success that followed upon the application of Mediaeval principles of social organisation, there is no room for doubt as to what the exact nature of the principles really were. The central one was that of Function, to which the organisation of the Church, the monarchy, the feudal system, and the guilds alike conformed. The principle of Function was defined in the twelfth century by John of Salisbury as the principle "that a well-ordered constitution consists in the proper apportionment of functions to members and in the apt condition, strength and composition of each and every member; that all members must in their functions supplement and support each other, never losing sight of the weal of the others, and feeling pain in the harm that is done to another." In our day it has been defined by Señor de Maeztu as the principle which says "that rights ought only to be granted to men or associations of men in virtue of the function they fulfil, and not on any pretences of a subjective character," and as such he recommends it as an alternative to the principles of liberty and authority, between which the modern world oscillates. "The liberal principle," he asserts, "is no principle at all, because it does not bind the individual to any kind of solidarity; it leads to incoherence in the societies in which it prevails. It sanctions all desires, legitimate and illegitimate, and all opinion founded, and unfounded." The principle of authority, on the other hand, he regards as equally dangerous, because when " we try to found an order on the omnipotence of authority instead of deriving authority from the necessity of order, the result is disorder, because society abandons itself unconditionally to the ambition of individuals who assume the privileges of authority. And as ambition in its

essence is unlimited, it will not be satisfied with anything less than the world for a kingdom."[16]

It is because the Mediaevalists acknowledged neither the principles of authority nor of liberty as they are understood to-day, but this third principle of Function, which is neither yet partakes of the nature of both, that the modern mind which thinks in the terms of authority or liberty, as the case may be, finds it as a rule so difficult to understand the Middle Ages, and this is why the usual criticism of Mediaeval institutions is so futile. It is futile because it invariably postulates the existence of a standard which never did exist, and never can exist, because it is not in the nature of things to exist. Thus the institutions of the Middle Ages are maligned, because of the shortcomings of individuals—it never occurring to such critics that no kind of social machinery can avert those evils which arise from the pride, avarice, or quarrelsomeness of human nature. Socialists who imagine the contrary are living in a world of unrealities. Their search for a social system that shall be constructed so perfectly that the evil desires in man will balance and neutralise each other in an equilibrium of good is as vain as the search for perpetual motion. For laws cannot be made that will make men go straight in spite of themselves. On the cont^{ar3} the utmost we can demand is that laws and organisations shall discourage rather than encourage the evil elements of human nature. Forms of organisation may be designed to enable the good men to live among bad, but we cannot by means of social organisation ensure that the good shall prevail in society, for that depends on the proportion the good men bear to the bad and the amount of cohesion existing in each camp; while, if the bad are in a majority or are more united than the good, they will find means of turning the best of institutions to evil purposes. If, therefore, we praise the social organisations of the Middle Ages, it is not because we imagine that crime and dishonesty were absent from Mediaeval society, but because they existed in spite of the laws and social organisation, and not because of them. Mediaeval organisations based upon the principle of Function accepted the idea of reciprocal rights and duties. A man might enjoy rights, but only on condition that he fulfilled his obligations to the community, while if he failed in their fulfilment he might lose his rights. There were no rights in the Middle Ages that were absolute and unconditional, such as exist to-day.

These principles are common to all Mediaeval organisations. The idea of Function was central in the Guilds. The Guilds were privileged bodies, but their privileges were held conditional upon their performance of public duties. They were granted charters by the State which gave them a monopoly of a trade over a particular town or city. But it was not a monopoly which conferred upon them the privilege of exploiting the community, as is the case with limited liability companies, but a monopoly to enable the members of a craft to suppress trade

[16] *Authority, Liberty and Function*, by Ramiro de Maeztu.

Mr. Tawney has defined the principle of Function as "an activity which embodies and expresses the idea of social purpose. The essence of it is that the agent does not merely perform it for personal gain or to gratify himself, but recognises that he is responsible for its discharge to some higher authority."—*The Acquisitive Society*, by R. H. Tawney.

abuses. The guilds were required to uphold the traditions of their craft, to sell at a just and fixed price, to pay just and fixed wages, to train apprentices and suppress profiteering in its various forms of forestalling, regrating, engrossing and adulteration, while they performed the functions of mutual aid among their members. If a guildsman was sick, he was visited. If he fell into want, he was befriended. If he died, his widow and children were provided for out of the funds of the Guild. Thus in one way or another the Guild entered into all the details of life. It gave the craftsman security. It protected him against unscrupulous rivals, while it ensured there should be fair dealing between him and the public. And with a fine instinct of sociological truth, the Mediaevalists saw that such things were only possible on a basis of reciprocal rights and duties.

What was true of the Guilds was true of the Feudal System, for, like them, it was based upon the principles of Function, with its concomitant of reciprocal rights and duties. I am aware that this is not the popular notion, which, basing its ideas of what Feudalism was, upon the corrupted Feudalism against which the peasants rose in 1381, is entirely unaware that Feudalism stood for anything but exploitation. This is not the place to enter into the history of Feudalism, but this much can be said, that it had a popular origin, beginning as a local system of military defence to protect the people against the barbarian invasions of the ninth and tenth centuries, when central government collapsed. But partly through the crystallising tendency that overtakes all institutions and partly because it was extended by conquest, it came through the lapse of centuries to wear a different complexion, and hardened into a hereditary system of social, economic and military organisation which affected the life of every class in the community, from the villain to the king, not excluding the greater part of the clergy.

Though the romantic representation of Feudalism as dominated by the sentiment of chivalry may be exaggerated, there can be little doubt that its animating principle was that of personal loyalty and devotion, since apart from such sentiments the system could have neither come into existence, persisted for centuries, nor ended its life in the Crusades. Yet no society can rest entirely upon sentiment, since in the long run human relations are impossible apart from some reasonable recognition and fulfilment of mutual obligations. Thus we find that while the vassal was bound to discharge certain obligations to his lord, it was only on condition that the lord discharged his obligations to the vassal.

The principle of mutual obligation was carried into economic relationships. The serf had to give part of his labour to the lord; but the amount of labour the lord could exact was a legally defined and fixed quantity, in return for which the serf received military protection, which, in those turbulent times, was no small thing. And what is not generally recognised is that the right to strike was recognised in Feudal law, for if the lord failed in his duties, men were absolved from their feudal obligations towards him.

When we pass on to consider the institution of Monarchy, we find the same acknowledgement of the principle of Function; the same insistence upon reciprocal

rights and duties. The Mediaeval king was not, as popular opinion supposes, a capricious ruler possessing almost unlimited authority. On the contrary, he was subject to the law. He held his authority on the supposition that he would administer justice, while the right of rebellion against the ruler who abused his position was freely maintained by all political thinkers of the Middle Ages, and supported by the Church, which, in those days, was in a position to make things very unpleasant for any monarch who put himself above the law. Nay, so far from it being true that the king was a despot exercising unlimited authority, many of the troubles of the Middle Ages arose from the fact that he was not possessed of sufficient authority. For kings in those days did not possess any effective civil service or police to ensure the smooth working of the law; and here it is to be observed that law in the Middle Ages did not normally present itself as something to be made, but was primarily custom which owed its existence to the corporate sense of the community.

Any new law that was made was not the arbitrary act of the ruler, or even of an assembly, but in some more or less vague way required the acceptance of the whole community. On accession it was customary for the king to swear fidelity to all written and traditional customs, which henceforth he was empowered to administer. The formal treatises on kingship, of which there were many in the Middle Ages, were very largely made up of admonitions to the king to follow after justice and mercy, to seek wisdom and to fear God. He was to appoint fit persons to administer the laws under him. But they were not to lord it over the people or ill-treat them. For this reason the king should always be ready to hear the cause of the poor himself, lest any of his ministers should act unjustly or suffer the poor to be oppressed. Only by doing justice to the poor and the orphan could he hope for God to establish his throne.

Though it is true to say that the Church acknowledged the same principle of reciprocal rights and duties—its rights being temporal and its duties spiritual—yet there is another sense in which this is not true. The theory and claims of Papal absolutism which at first glance appear to be so genuinely Mediaeval, really made a breach with the Mediaeval mode of thought and conception of society, for, as Gierke insists, the Papacy was the first force to tread the road that leads away from the Mediaeval to the modern world. And the claims of Papal absolutism brought in their train other absolutisms—the absolutisms of States and the Empire and other conceptions of law, of society and the individual, which between them drew away all the vital nutriment that fed the Mediaeval social order.

X. Why the Middle Ages Failed

We saw that the principle behind the various forms of social organisation in the Middle Ages which gave to them their peculiar Christian character was that of Function—of reciprocal rights and duties; and that in the demands of Papal absolutism was to be found the beginning of the change which gradually

undermined Mediaeval society. It is necessary for a clear comprehension of the problems of our own times to consider this important development more in detail. For only when we know exactly how the modern world with all its evils came into being can there be any prospect of finding a remedy.

Prior to the quarrel over the Right of Investiture, in the eleventh century, the relations subsisting between the Papacy and the Empire and secular authorities had been friendly and sympathetic. But there was a crying scandal that demanded a remedy—the evil of simony, or the sale of ecclesiastical offices—which brought in its train worldliness, luxury and profligacy. It was an evil of long standing, but it was not until the end of the eleventh century that determined action was taken to find a remedy, and then it came about as a consequence of the far-reaching influence of a great spiritual revival that a century earlier had spread from the abbey of Cluny. In the minds of reformers the scandal of simony was primarily connected with the predominant influence of kings and emperors in the higher ecclesiastical appointments which resulted in such offices being bestowed as payment for secular services rather than upon men who were controlled by religious principles and devoted to the interests of the Church. To combat this evil the Papacy, under the inspiration of the archdeacon Hildebrand (the Pope, Gregory VII), began to develop the policy of limiting or prohibiting the intervention of secular authorities in ecclesiastical appointments—a policy which led immediately to the quarrel over the Right of Investiture, and eventually to the demand of the Church to control the secular state and make her counsels the guide of the world.

Around this quarrel there arose a great controversy to determine the respective spheres of influence of the Popes and the Emperors. In connection with it, historical investigations were undertaken, which indirectly had the result of effecting a revival of Roman law, which, as legal historians have rightly claimed, was an event of the first importance. "A history of civilisation," says Maitland, "would be miserably imperfect if it took no account of the first new birth of Roman law in the Bologna of Irnerius. Indeed, there are those who think that no later movement—not the Renaissance, not the Reformation—draws a stronger line across the annals of mankind than that which was drawn about the year 1100, when a human science won a place beside theology."[17] With the opinion of this distinguished scholar I entirely agree, though perhaps for a different reason. For the significance of the revival is to be found in the fact that Roman law is a very human science—very much more

human than many of its exponents are prepared to admit. The Mediaeval social order was Christian, and relatively stable because it acknowledged the principle of reciprocal rights and duties, making the enjoyment of rights dependent upon the fulfilment of duties. But the ideas associated with the revival of Roman law gradually changed all that, for Roman law was as emphatically individualist and capitalist in spirit as Mediaeval law was communal and corporate. The consequence was the revival of Roman law drove a wedge between the two aspects

[17] *English Law and the Renaissance*, by F. W. Maitland, p. 24.

of reciprocity of Mediaeval law, making rights absolute and duties optional, for under Roman law the rights of private property are the rights of use and abuse. The legalisation of a principle of such an anti-social character gradually undermined in the community the sense of corporate responsibility. It transformed feudalism into landlordism, justified and legalised usury, while by bringing the idea of the Just Price into discredit it operated to undermine the Guilds. It was thus that the revival of Roman law broke up the Middle Ages by opening a road for the growth of capitalism and individualism. Nor can this charge be met by pleading that law follows custom, because it so happens that the Mediaeval jurists who promoted the revival were not mere legalists who confined their attention to the technicalities of law, but propagandists who taught a system of morality which justified economic individualism, and was therefore antipathetic in spirit to everything that Christianity stood for. By justifying usury and maintaining individual rights, they undermined the moral sanctions on which the Mediaeval social order rested, which teaching in its turn, by its social and economic reactions, brought about a state of things that was favourable to the reception of Roman law. Nor again is the position tenable of those who maintain that it was the development of trade with the East which followed the Crusades that is responsible for the break-up of the Middle Ages. For if it be true that the development of trade corrupted Christendom, why, it may be asked, did it not corrupt Islam? There is only one answer that I can find. In Islam there was no revival of Roman law.

Had Roman law no other side to recommend it, the attempts of the Papacy to suppress its study would probably have been successful. But there was another side of Roman law which had a very direct appeal to the self-interest of monarchs, for it could be used as a weapon for resisting the encroachments of the Papacy. The Mediaeval king found himself placed between two kinds of law. There was on one side of him the Canon law of the Church, which had many things to say about the duties of kingship that were not always acceptable; while on the other side there was the Feudal law and the Common or Customary law of the land to which he had to swear fealty. Both of these systems of law were a source of annoyance to him. For while the former made him subject to the power of the Church, the latter placed him very much at the mercy of his barons. Remembering these things, it can occasion no surprise that a system of law which made law dependent upon the will of the sovereign, clothing him with unlimited power and supreme authority, should have had a very strong appeal for monarchs who were faced with the problem of building up an administrative system powerful enough to counteract the unruly elements in Feudalism on the one hand, and of maintaining their position against the absolutist demands of the Papacy on the other. It was the need of the latter especially that secured a foothold in affairs for Roman law; for it was first used by the Emperors as a weapon against the Canon law in ecclesiastical-politico disputes; while the fact that the study of Roman law brought into existence a trained body of laymen who were capable of taking office enabled kings to free themselves from their dependence on clerical advisers who, because of their monopoly of education,

had hitherto been able to monopolise the offices of State. This was an important factor in the situation at a time when the triumph of the Papacy had in turn brought into existence national movements to limit the power of the Popes because they had abused their privilege of patronage by placing foreigners in the higher ecclesiastical offices of all lands. It was immediate considerations of this kind that in the first instance led to the adoption of Roman law and allowed all the anti-social doctrines associated with it to grow up unobserved under the royal protection. The truth about Roman law is that it came into existence to hold together a Pagan society that had been honeycombed with corruption and rendered unstable by the growth of capitalism, and it was because Roman law presupposed the existence of a commercial community that its revival in the Middle Ages operated to introduce into Mediaeval society the elements of corruption with which it had been associated in Rome. This is true in spite of the fact that the Roman jurists of the Empire were men of wide and humane sympathies who did their best to humanise slavery and the other institutions with which they had to deal. Unable to conceive the practical possibility of realising the ideal of justice, they addressed themselves to the more immediately practical and less ambitious task of maintaining order, which they achieved by disregarding moral issues, by inculcating always the policy of following the line of least resistance, by giving legal sanction and security to private property (no matter by what means it had been obtained) as the easiest way of avoiding continual strife among neighbours, and by establishing a supreme power in order to enforce the fulfilment of contracts. It is this opportunist spirit of Roman law which for ever exalts considerations of expediency above those of principle that is at the same time the secret of its power and its corrupting influence, and explains why its revival proved itself so fatal to the Mediaeval social order.

But, it will be said, such an explanation of the break-up of the Mediaeval social order is irrelevant so far as England is concerned, because there is no Roman law in England. But is this so? It is true that there has not been in England any formal reception of Roman law such as happened on the Continent. English law is a continuous tradition since the Middle Ages. English jurists never fell into the error of attempting to appropriate the law of another race and to galvanise it into a semblance of life. Law has never been administered in this country out of Justinian's law books, as it was in Germany until the year 1900. But can we on this account say that there is no Roman law in England? Feudalism has been replaced by landlordism in which property rights are absolute and not conditional upon the fulfilment of duties; usury is legalised; speculation in prices is permitted; contracts are enforced; the highly centralised State exists among us while corporate bodies are still treated with suspicion and some hostility. How, we may ask, have all these things so different from what existed in the Middle Ages come about? What influence, may we ask, has been at work to bring about changes in the law of England which correspond so closely to the changes that followed the reception of Roman law in other countries, if there is no Roman law in England? For if the contention of the legal profession be correct, we are entitled to some explanation of this extraordinary phenomenon that has taken

place, and which admits of only one possible explanation: that though there has not been in this country any formal reception of Roman law, it is nevertheless a fact that the concepts of Roman law have taken possession of the Common law, gradually moulding it until it approximates substantially to the same thing. -At any rate, this is a reasonable explanation when considered in conjunction with the fact that Roman law has been taught at Oxford since the early part of the twelfth century. For it is impossible to believe that the legal profession has been entirely uninfluenced by its training. And further, I would submit that the reason why the legal profession enjoys the illusion that there is no Roman law in England is, on the one hand, due to the fact that the broad moral issue is for it obscured by considerations of technicalities, and on the other that it thinks of Roman law entirely in the terms of the Reception, which it identifies entirely with the issue of absolute monarchy. But if the movement for a reception and absolute monarchy was defeated in the seventeenth century, may it not be that something as bad, if not worse, has happened? Law in this country may not be dependent on the pleasure of the ruler, but for a long time it has been dependent on the pleasure of an oligarchy of landlords and capitalists, though the reality may be concealed under the forms of democracy. And though at times a despot may act disinterestedly, an oligarchy never does.

But it is not necessary for me to labour this point any longer, for nowadays it is admitted by at least one legal authority that such a transformation of English law has taken place. In the recent edition of *Stephen's Commentaries of the Laws of England*, the general editor, Professor Jenks, discusses the question, "How far is the Common law a native system?" suggesting that it is necessary for the legal profession to reconsider its commonly received opinion that there is no Roman law in England, in connection with which he says:—

"It is at least worthy to note that the plunder of the Guilds (sanctioned in the statute of 1547) coincided very closely, as a great legal historian has shown us, with the last systematic and determined attempt to seat Roman law openly and avowedly on the Common law.

"It may well be therefore that the final verdict of history will hold that, despite the ostentatious repudiation of the 'Romanists' by the founders of the Common law, there yet entered into the framework of that law much material indirectly derived from Roman law. Certainly nothing could in appearance and detail be much more remote from Roman principles than that system of feudal land-tenure which was the most striking and, in some ways, the most permanent result of the Norman Conquest. Nevertheless the system which converted the thegn or *land-rica* into the feudal landowner, whose villagers became his serfs and held their land 'at the will of the lord,' who could turn the village waste into a capitalist sheep-run, who could treat his land, by sale and mortgage, as an article of commerce, who could ultimately break up the whole system of communal farming by 'enclosures,' was far more in sympathy with the individual ownership and capitalist principles of the Roman law than with the strong

communal instincts of pre-Conquest agricultural customs."[18]

XI. The Civil Law and the Law of Nature[19]

Hitherto what we have said about Roman law has been about the *jus civile* or Civil law. But it is equally necessary to any comprehension of history or the social problem to understand the part played by the theory of the *jus naturale* or Law of Nature, which we must now proceed to consider. For, as Herr Beer rightly points out, "the influence exercised by that theory, or system of thought, in the development of English, and generally, European social and political speculations, could hardly be over-estimated. Schoolmen, theologians, statesmen, lawyers, revolutionists and poets based their reasoning and wove their imaginings on it, and even as late as in the first half of the nineteenth century… British socialists, poor law and social reformers were thinking in the terms of that system."[20]

What, then, was the theory of the Law of Nature? It might, perhaps, be defined as the apologetic for Roman Civil Law, being designed to give philosophic justification to its measures of practical expediency. The Civil Law, we saw, had made the attainment of order rather than the realisation of justice the object of its ambition. In consequence it had become in Rome an object of suspicion. We learn from Cicero that it was a common saying of the time that injustice was necessarily involved in the administration of the Commonwealth. The opinion prevailed that there was no such thing as justice, or else that justice is mere foolishness, since the only source of virtue is human agreement—an opinion probably deriving from Epicurus, who had said that "justice was nothing in itself, but merely a compact of expediency to prevent mutual injury." The Roman jurists, who apparently were of more liberal sentiments, do not appear to have been altogether happy about the prevailing opinion. For though they were well aware that the Civil Law was based entirely upon considerations of expediency, they yet felt in some way law should be related to the more general and universal principles of justice. And so it came about that they were led to borrow an idea from the philosophy of the Stoics which postulated the existence of a natural condition of society anterior to the formation of States in which men were free and equal and the principles of justice obtained, and which they came to recognise as the Law of Nature in contradistinction to the Civil Law and the *jus gentium* or Law of Nations which, making order rather than justice their aim, legalised dominion and servitude.

The Law of Nature was never at any time a theory resting upon ascertained fact, but a hypothesis formulated for the purpose of distinguishing between the

[18] *Stephen's Commentaries of the Laws of England*, under the general editorship of Edward Jenks, M.A,, D.CX., seventeenth edition, 1922, vol. iv, pp. 491-2.

[19] The early part of this chapter is largely based upon the valuable material contained in Dr. A. J. Carlyle's* Mediaeval Political Theory in the West*, and the latter part on Herr M. Beer's* History of British Socialism*, to whom acknowledgments are due.

[20] *A History of British Socialism*, by M. Beer, vol. i, p. 11.

ideal and the actual, the primitive and the conventional, though the grounds of the distinction remained somewhat uncertain. Each writer gave his own interpretation as

to what constituted the Law of Nature, and because of this during the course of centuries it became a changing hypothesis, adapting itself to changing mental and social conditions. At the beginning the Law of Nature was combined with the Law of Nations; but later jurists realised the inconsistency. According to the Institutes of Justinian, the Law of Nature is that which nature teaches animals and men; from it originates the joining together of male and female, the procreation and education of the offspring. It is the law which makes air and water free, and public and religious buildings a common possession, while, as under it all men are born free and equal, it is incompatible with the institution of slavery.

Viewed in relation to the Law of Nature, which because of its universality was considered divine and eternal, the Civil Law was considered empirical and particular. The Civil Law, it was maintained, owed its existence to the corruption of human nature which, defeating the ends of justice, necessitated organised government to keep evil in check. Thus the State owed its existence to the depravity of human nature. It was adapted to the circumstances of life, and therefore justifiable under the actual conditions of society, and for the vices connected with those conditions it was the true remedy. Or, in other words, the Civil Law differed from the Law of Nature to the extent that conventional and civilised life in Rome differed from the natural life of barbarians, and as such it appears as a kind of Pagan version of the Fall of Man from the state of innocence he enjoyed in the Garden of Eden.

Instead of seeking to formulate a system of law in connection with a theory of sociology to render practicable the establishment of the Kingdom of God upon earth, the Christian Fathers continued in the traditions of the Roman jurists. They accepted the distinction the jurists had made between the ideal and the actual, whilst giving to it a Christian interpretation. They began by identifying the Law of Nature with the law of God. All men are by nature equal in the sense that whether a man be slave or free he is still capable of the same moral and spiritual life, capable of knowing God and serving Him. To the institution of slavery, which the jurists held was contrary to nature, they added the institution of private property. But that did not bring them into collision with the established social order of Rome, for they were no more prepared to condemn the institution of property or slavery as unlawful than were the jurists or the philosophers. On the contrary, it led them into an attitude of political determinism in which they came to acquiesce in such institutions because of the Fall; slavery and property had become a necessity because of the presence of sin in the world. At the same time, they sought to mitigate their incidence by the affirmation of the fundamental equality of human nature. If a man was a slave, he was to be treated fairly and reasonably by his master, who was no dearer to God than was the slave. If he was a slave-holder, he might be prevailed upon to

free his slaves. If he had wealth, he might be induced to use it in some public way. But that was as far as they went. In so far as the spirit of charity, the temper which teaches a man to put himself on an equality with his fellow-men, tended to modify existing institutions, the Fathers of the Church may claim to have been social reformers, but they discouraged all attempts to realise the Kingdom of God by action of a more positive and radical order.

Now it is not to be denied that, taking all the circumstances of the time into consideration, a very strong case can be made out for their attitude. Yet the question remains as to whether, by adopting the attitude they did, the Christian Fathers did not betray the spirit of the Gospel. It is a difficult question, and not to be easily answered. There were extenuating circumstances, and much authority for what they did. It is necessary in the first place to recognise that, however great were the evils in Roman society, experience had proved that they would not yield to a frontal attack. There had been a thousand slave revolts in antiquity, and one and all had failed. In the next place, we must remember that the problem of the relation of converts to the Roman Government was a very difficult one; for the Government not only viewed the advance of Christianity with distrust and suspicion, but from time to time adopted a policy of persecution towards it. In the face of such circumstances the only possible policy for the Fathers to adopt was one of circumspection. They were not unnaturally anxious to give the Government no cause for provocation, while it is certain that had the more impulsive and headstrong among the converts had their own way and embarked on a revolt that was premature, it would have been defeated and the success of Christianity might have been imperilled by its association with revolutionary activities that were foredoomed to failure. Remembering these things, the conservative attitude of the Fathers appears as common prudence. We may be assured that they were absolutely in the right in making it their first aim to change the temper of society by means of the spread of spiritual truth and in refusing to compromise themselves by supporting ill-considered revolts. In adopting this attitude there was, moreover, authority on their side. Our Lord's reply to those who asked whether it was lawful to pay tribute to Caesar clearly showed that He had no intention of becoming entangled in the difficult questions relating to Jewish nationality and the Roman Empire, while the fact that St. Paul sent a certain slave Onesimus back to his master Philemon, from whom he had escaped, leaves no room for doubt as to what St. Paul thought the attitude of the Church towards slavery should be. There is no doubt that he thought it should be dictated by considerations of expediency. "All things are lawful for me; but all things are not expedient,"[21] he wrote to the Corinthians on another occasion and in a different connection. It is important as testifying to the spirit in which he thought the practical problems of life should be faced. Idealism was to be tempered by commonsense.

If the Fathers of the Church had gone no further than to compromise with slavery, no exception could be taken to their attitude from the point of view

[21] 1 Corinthians 10:23.

of authority. But it is evident that they did go further. St. Paul compromised with slavery, but it cannot, I think, be said that he acquiesced in it. Yet this is what the Fathers did. They acquiesced in it and justified it. It had become a necessity because of the presence of sin in the world. And to this fact the decline of the moral power of Christianity in the fourth century, when it became the official religion of the Roman Empire, is perhaps to be attributed. A common explanation for this decline is to say that the moral level went down in the fourth century, because when Christianity became the official religion of the Empire it cost nothing to be a Christian, whereas in the days of persecution it had cost a great deal. No doubt this explanation is true as far as it goes. But I do not think it is the whole truth; for it would be a poor testimony to the life-giving powers of the Faith to say it can only flourish under persecution. I venture, therefore, this explanation: that, owing to the adoption of the Law of Nature by the Christian Fathers they had been led into a fatalistic attitude towards the social question, which resulted in the Church entirely neglecting to prepare itself by the formulation of a Christian sociology for the duties that were thrust upon it when at last Christianity obtained the mastery of government. Belief in the near approach of the Kingdom of God had been a chief driving force among the Early Christians. It had led to the most glorious anticipations of what Christianity would do when it attained supreme power. Yet when at last Christianity became acknowledged as the official religion of the Roman Empire the great expectations were not fulfilled. The Church had no new light to throw upon the problems that confronted society, and this led in the first instance to disappointment and disillusionment, and finally to reaction.

The Law of Nature became in the twelfth century an integral part of the Canon law of the Church. It embodied the definition given by St. Isidore of Seville in the seventh century. According to him, "the Law of Nature is common to all nations, and it contains everything that is known to man by natural instinct and not by constitutions, and man-made law, and that is: the joining together of man and woman, procreation and education of children, *communis omnium possessio et omnium una libertas*, the acquisition of things that may be captured in the air, on the earth, and in the water, restitution of loaned and entrusted goods, finally, self-defence by force against violence." The Law of Nature, having become a part of the Canon Law, came to play a part in the discussions of the schoolmen in the Middle Ages, who constantly refer to St. Isidore's definition. At this point an interesting development takes place. The Law of Nature, as it was handled by the jurists of the Roman Empire, was, as we saw, a purely academic proposition, while its influence on patristic thought was to dispose the Christian Fathers towards an attitude of political determinism. But when, after the lapse of centuries, interest in the Law of Nature was revived, it became an instrument of revolutionary potentialities. The reason for this transformation is to be found in the circumstances attending the revival of the Roman civil law in the Middle Ages. In Rome, the Civil Law was the traditional law of the Empire. It had gradually shaped itself in obedience to considerations of expediency. If it gave legal sanction to the institution of slavery and to property

rights divorced from duties, it followed custom and merely gave legal sanction to institutions already existing. But when the Roman civil law was revived in the Middle Ages, it was different. Slavery, though it still survived in places, had largely disappeared. Capitalism, the existence of which the Roman civil law presupposes, was almost non-existent, if not entirely so; while society did not suffer from a system of private property as private property was understood in Rome and as it is understood among us to-day. Hence it was that Roman civil law, which, in the first instance, gained a lodgment because it was convenient to monarchs in their quarrels with the Papacy, when given a wider application appeared as a challenge to mediaeval institutions and readily lent itself for the purposes of oppression. Armed with it, the kings found themselves able to encroach upon the functions of the feudal lords, while the feudal lords in turn found themselves able to encroach upon the common rights of the people. And so it came about that the land to which hitherto the peasantry had some share came to be claimed as private property by the lords, while the peasants began to lose their ancient status and to sink into a position of slavery. It was against such encroachments that the peasants rebelled in England in 1381, in Bohemia in 1521, and in Germany in 1525. And in each case their demand for the abolition of private property was associated with the Law of Nature. Thus we see the Peasants' Revolt and Peasant Wars were in a theoretical sense a rebellion of the *jus naturale* of the peasants and friars against the *jus civile* of the lawyers and lords.

With the discovery of America and her tribal organisation, the Law of Nature acquired an added strength and vigour. Its theory, which hitherto had appeared as little more than a useful hypothesis, now appeared to rest on a basis of solid fact. To Amerigo Vespucci, Sir Thomas More, Hugo Grotius and others the American tribes and communities appeared as striking demonstrations of the truth of the Law of Nature. From then onwards it exercised an influence on the development of political thought and speculation, both English and Continental, that it is difficult to over-estimate. In the shock of the struggle between Parliament and Monarchy in the Civil War, the Law of Nature in one form or another appeared as the main element in the flood of political and religious heresies that spread over the land. Men no longer appealed to tradition, to laws and customs, but to reason and the natural rights of man; to the unwritten law of the *jus naturale* against the written law of the *jus civile*. So full of peril did this rebellion against all constituted authority appear to many that attempts were made to reconcile the natural and civil state, and to this end Pope wrote his *Essay on Man*, in which he promulgated the view that the great aim and end of life did not depend on equality of goods and station, but on virtue, on the rule of reason over passion, on the harmony between self-love and society, on the identification of individual and social interests. But such attempts at reconciliation were in vain, for they became ipso facto apologies for the existing social order, and as the Civil Law remained in the hands of the landlords as an instrument for encroaching upon the common rights of the people, and as they kept on encroaching all attempts at reconciliation were finally impossible. Po-

litical thinkers continued to base their theories upon the supposed truth of the Law of Nature, until at last, in the French Revolution, the attempt was made on a truly heroic scale to establish a new civilisation on the basis of its principles. But the French Revolution failed, as was inevitable. For a civilisation based upon the principles of the Law of Nature is a contradiction in terms, inasmuch as the aim of civilisation is to escape from nature and not to return to it. Its failure was, among other things, followed by a decline of faith in the efficacy of the *jus naturale*, though as a part of the general political consciousness it still continues to exercise influence, as the survival of the belief in Free Trade and the demand of Socialists for the abolition of the private ownership of property bear witness.

Considering how the *jus naturale* was in the past associated with revolutionary activities, it might be supposed that it was the natural remedy for the injustices of the *jus civile*. Yet when we look into the matter more closely we begin to see that the Law of Nature and the Civil Law are but two aspects of the same disease, inasmuch as they bring to each other mutual support. Indignation and attempts to resist the encroachments of landlords armed with the Civil Law there were bound to be. At this point the Law of Nature comes to the rescue of the Civil Law, and by filling the minds of the people with impossible ideals safely steers the popular movements clear of concrete grievances, causing them to dissipate their energies in wild talk and popular demonstrations which accomplish nothing, for by leading the people to demand everything they end in getting nothing. In all the popular movements that have arisen to demonstrate against landlordism the demand has never been made to abrogate the Statute of Merton (1235) which is the foundation of the law on the subject, and which gave to the lords the right to "make their profit" of the "wastes, woods and pastures," notwithstanding the "complaints of knights and freeholders." It is because this law is still on the Statute Book that proprietors of manorial rights continue to encroach to this day. Yet, instead of the efforts of reformers being concentrated on such a concrete injustice, they take refuge in economic abstractions, and for this misdirection of reform activity we have to thank the attitude of mind fostered by the Law of Nature.

But this is not all that is to be said. Throughout history the Law of Nature has been responsible for concentrating the attention of reformers on the problem of property to the exclusion of the problem of currency; and in our day the problem of machinery. So it has happened that while in times of revolution the peasant has been able to improve his position by getting hold of the land, no such benefits have accrued to the town worker. For the problems of the town worker are more particularly those of currency and machinery, and on these problems reformers to-day, true to the traditions of the Law of Nature, have nothing to say.

XII. Currency and the Guilds

It is a commonly received opinion that gains some support from the theory of Roman law that civilisation owes its existence to the introduction of slavery. Such a view, however, is untenable. It receives no support from the actual facts, for we know that slavery existed long before civilisation came into existence. Not slavery, but the introduction of currency was the decisive factor in the situation; and it is the failure to understand this fact that is one of the root causes of confusion in social theory. It cannot fail to strike the impartial observer as an extraordinary thing that currency, to the introduction of which civilisation owes its very existence, should have no recognised place in social theory. Yet such is the case. Its problems, which are central in civilisation, are treated as the mere technical ones of bankers and financiers, and are only approached from their point of view. But the bankers' approach is most demonstrably a fundamentally false one; for it ignores the moral issue involved in the problem of usury, and it is because the moral factor is ignored in discussions of this problem that the whole subject is involved in such hopeless confusion. For currency, Uke every other social and economic problem, to be intelligible must be approached historically in the light of a definite moral standard, and not as being a purely technical question for men who are familiar with the intricacies of finance.

Currency was first introduced in the seventh century before Christ, when the Lydian kings introduced stamped bars of fixed weight to replace the metal bars of unfixed weight which hitherto had served as a medium of exchange. It was a simple device the consequences of which were entirely unforeseen; but the developments that followed upon it were simply stupendous. It created an economic revolution comparable only to that which followed the invention of the steam engine in more recent times. Civilisation—that is, the development of the material accessories of life—dates from that simple invention; for by facilitating exchange it made possible differentiation of occupation, specialisation in the crafts and arts, city-life and foreign trade. But along with the undoubted advantages which a fixed currency brought with it, there came an evil unknown to primitive society—the economic problem. For the introduction of currency not only undermined the common life of the Mediterranean communities, but it brought into existence the problem of capitalism. And with capitalism there came the division of society into two distinct and hostile classes—the prosperous landowners, merchants and money-lending class on the one hand, and the peasantry and debt slaves on the other, while incidentally it gave rise to the private ownership of land, which now for the first time could be bought and sold as a commodity.[22]

The reason for these developments is not far to seek. So long as the exchange was carried on by barter a natural limit was placed to the development of trade, because under such circumstances people would only exchange wares for their own personal use. Exchange would only be possible when each party to the

[22]See *The Greek Commonwealth*, by Alfred Zimraem, pp. 1

bargain possessed some article of which the other party was in need. But with the introduction of currency circumstances changed, and for the first time in history there came into existence a class of men who bought and sold entirely for the purposes of gain. These merchants or middlemen became specialists in finance. They knew better than the peasantry the market value of things, and so they found little difficulty in taking advantage of them. Little by little they became rich and the peasantry their debtors. It is the same story wherever men are at liberty to speculate in values and exchange is unregulated—the distributor enslaves the producer. It happened in Greece, it happened in Rome, and it has happened everywhere in the modern world, for speculation in exchange brings in its train the same evils.

Though the Greeks and Romans thought a great deal about the economic problems that had followed the introduction of currency, to the end the problem eluded them. The ideal of Plato of rebuilding society anew on the principles of justice gave way to the more immediately practical aim of the Roman jurists of maintaining order. For, as I have previously pointed out, the maintenance of order rather than justice was the aim of Roman law, and as such it was an instrument for holding together a society that had been rendered unstable by the growth of capitalism. Thus we see there is a definite connection between the development of Roman civil law and the inability of antiquity to find a solution for the problems of currency. Freedom of exchange having led to capitalism, and capitalism to social disorders, Roman law stepped into the breach, and by legalising injustices sought to preserve order. And because of this, because of the generally received opinion in Rome that injustice was necessarily involved in the administration of the commonwealth, the jurists of the Antonine period came to postulate the Law of Nature in order to provide a philosophic basis for their legal measures of practical necessity. And as reform activities have ever since the Middle Ages been influenced by the Law of Nature, we see that the vicious circle in which they move owes its existence to the general failure to give to the problem of currency its position of central importance.

Unregulated currency gradually disintegrated the civilisations of Greece and Rome, and mankind had to wait until the Middle Ages before a solution was -forthcoming, when it was provided by the Guilds in the light of the teaching of Christianity, though owing to the fact that the Guilds came into existence as spontaneous and instinctive creations of the people, their significance was entirely overlooked by Mediaeval thinkers, who, if orthodox, confined their social and political speculations to the range of issues covered by the Civil and Canon Laws, and, if revolutionary, to the issues raised by the Law of Nature, in neither of which systems Guilds found a place. This was one of the tragedies of the Middle Ages. For in organising the Guilds the townsmen of the Middle Ages unconsciously stumbled upon the solution of the problem of currency, but owing to the fact that the minds of thinkers and publicists of the time were engrossed with other things the social potentialities of this great discovery were lost to the world.

What, then, was the solution provided by the Guilds? It was to stabilise currency by the institution of a Just and Fixed Price. The Just Price had a central place in Mediaeval economic theory, though, strictly speaking, the Just Price is a moral rather than an economic idea. The Mediaevalists understood what we are only beginning to understand—that there is no such thing as a purely economic solution of the problems of society, since economics are not to be understood as a separate and detached science considered apart from morals. On the contrary, economic issues are primarily moral issues with economic equivalents. And for this reason Mediaevalists insisted upon things being bought and sold at a Just Price. They taught that to buy a thing for less or sell a thing for more than its real value was in itself unallowable and unjust, and therefore sinful, though exceptional circumstances might at times make it permissible. The institution of buying and selling was established for the common advantage of mankind, but the ends of justice and equality were defeated if one party to any transaction received a price that was more and the other less than an article was worth.

This doctrine—that wares should be sold at a Just Price—together with another—that the taking of interest was sinful—was insisted upon by the Church, and obedience was enforced from the pulpit, in the confessional, and in the ecclesiastical courts. So effectually were these doctrines impressed upon the consciences of men that their principles found their way into all the secular legislation of the period, whether of Parliament, Guild or Municipality. The differing fortunes that followed these legislative attempts to secure obedience to the principle of the Just Price is instructive, for it demonstrates the undoubted superiority of the Guild as an instrument for the performance of economic functions. Parliament could do nothing but enact laws against profiteering, and as such its action was negative and finally ineffective. But the Guilds were positive. They sought to give effect to the principle of the Just Price by making it at the same time a Fixed Price, and around this central idea there was gradually built up the wonderful system of corporate life of the cities. Thus, in order to perform their economic functions, the Guilds had to be privileged bodies, having a complete monopoly of their trades over the area of a particular town or city; for only through the exercise of authority over its individual members could a Guild enforce a discipline. Profiteering and other trade abuses were ruthlessly suppressed; for the first offence a member was fined; the most severe penalty was expulsion from the Guild, when a man lost the privilege of following his trade or craft in his native city.

But a Just and Fixed Price cannot be maintained by moral action alone. If prices are to be fixed throughout industry, it can only be on the assumption that a standard of quality can be upheld. As a standard of quality cannot be defined in the terms of law, it is necessary, for the maintenance of a standard, to place authority in the hands of craft-masters, a consensus of whose opinion constitutes the final court of appeal. In order to ensure a supply of masters it is necessary to train apprentices, to regulate the size of the workshop, the hours of labour, the volume of production, and so forth; for only when attention is given to such matters is it possible “to ensure the permanency of practice and continuity

of tradition, whereby alone the reputation of the Guild for honourable dealing and sound workmanship can be carried on from generation to generation," and conditions created favourable to the production of masters. Thus we see all the regulations–as, indeed, the whole hierarchy of the Guild—arising out of the primary object of maintaining the Just Price.

But it will be said: If the Mediaeval Guilds were such excellent institutions, why did they disappear? The immediate cause is to be found in the fact that they were not co-extensive with society. The Guilds existed in the towns, but they never came into existence in the rural areas. That was the weak place in the Mediaeval economic armour; for it is obvious that if a Fixed Price was finally to be maintained anywhere, it would have to be maintained everywhere, both in town and country. That Guilds were never organised in the rural areas is to be explained immediately by the fact that in the eleventh and twelfth centuries, when Guilds were organised in the towns, the agricultural population was organised under Feudalism, and money was only beginning to be used, so the problem was not pressing. But the ultimate reason is to be found in the fact that the impossibility of maintaining, in the long run, a Just Price that was not a Fixed Price was not at the time appreciated by the Church, which appears to have been blind to the need of Guild organisation for its maintenance. Churchmen then thought, as so many do to-day, that the world can be redeemed by moral action alone, never realising that a high standard of commercial morality can only be maintained if organisations exist to suppress a lower one. Hence it came about that, when in the thirteenth century the validity of the Just Price came to be challenged by the lawyers, who maintained the right of every man to make the best bargain he could for himself, the moral sanction on which the maintenance of the Just Price ultimately rested was undermined. Belief in it lost its hold on the country population, and then the Guild regulations came to be regarded as unnecessary restrictions on the freedom of the individual. Thus a way was opened in rural areas for the growth of capitalism and speculation, and this made it increasingly difficult for the Guilds to maintain fixed prices in the towns, until at last, in the sixteenth century, the whole system broke down amid the economic chaos that followed the suppression of the monasteries and the wholesale importation of gold from South America, which doubled prices all over Europe. It was because the Guilds were unable to perform any longer the functions that brought them into existence that they finally fell, and not because of the Chantries Act of 1547. This Act did not attack the Guilds as economic organisations, as is commonly supposed, nor did it seek to confiscate the whole of their property, but only such part of their revenues as had already been devoted to specified religious purposes.

The explanation I have given of the decline of the Guilds is, so far as the details are concerned, the history of the decline of the English Guilds only. On the Continent the decline pursued a different course, and as the factors in the situation were there much more complex, it is not so easy to generalise. Nevertheless, I think it is true to say that the ultimate cause of their decline is to be traced to the revival of Roman law. The Guilds went down not because they were unfitted

by their nature to grapple with the problems of a wider social intercourse, as historians have too hastily assumed, but because the moral sanctions on which they rested had been completely undermined by the revival of a system of law that gave legal sanction to usury and permitted speculation in prices. Unfortunately, the truth of the matter, which is extremely simple, has been concealed from the public by a mysterious habit of economic historians of always talking about the growth of national industry when what they really mean is the growth of capitalist industry. If they talked about the growth of capitalist industry, everyone would understand that the failure of the Guilds was a consequence of the moral failure of Mediaeval society, for the issues would be clear. But instead of talking about capitalist industry, they talk about national industry, and people are led to suppose that the Guilds declined because their type of organisation became obsolete, which is not the case, as we shall see later.

XIII. The Just and Fixed Price

The question of price is as central in the economic situation of to-day as it was in the Middle Ages, though its importance has been obscured by the Socialist and Labour movements, whose theories of late years have almost monopolised public interest. Yet if we turn from what reformers are talking about to what the business world is thinking about, we shall find that the problem of price is what engages their unceasing attention, as the perennial interest in the controversy between Free Trade and Protection bears witness. Though the economists of the Manchester School entirely repudiated the conclusions of the Mediaeval economists, they nevertheless agreed with them that the problem of price was a central issue. Adam Smith would have agreed with St. Thomas Aquinas that the attainment of the Just Price was the aim of economic justice, the difference between them would be on the issue as to how such a desideratum was to be brought about. Adam Smith, regarding economics as a detached service unrelated to morals, thought the advantage of buyer and seller would be best secured by allowing the prices to be determined by competition; that is, by allowing free play for the operation of economic forces more or less mechanical. To this end he advocated a policy of enlightened selfishness, whereas Aquinas, viewing the question from a Christian standpoint, saw the whole problem as that of relating economic practice to moral standards. From his point of view, the attainment of the Just Price was a thing that followed the determination to be honest and straightforward in business. Apart from exceptional cases, there was no difficulty about it. It would be arrived at whenever men were bent upon straightforward dealing.[23]

[23]During the War President Wilson gave a definition of the Just Price in connection with war contracts which is quite interesting. It runs: "By a Just Price I mean a price which will sustain the industries concerned in a high state of efficiency, provide a living for those who conduct them, enable them to pay good wages, and make possible the expansion of their enterprises which will, from time to time, become necessary, as the stupendous undertaking of this Great War develops."—Quoted in *Agricultural Prices*, by Henry A. Wallace, p. 26.

I have contrasted Aquinas with Adam Smith because they represent respectively the extreme attitudes of Mediaevalism and modernism towards the problem of the Just Price. And yet, though Aquinas is infinitely nearer the truth than Adam Smith, he does not express the whole truth. For though we may agree with him in maintaining the attainment of the Just Price to be primarily a moral question, we yet cannot agree with him in regarding it as entirely a moral issue. For if the individual is to maintain a perfectly moral attitude in his business relationships, it can finally only be on the assumption that he and others who would follow the path of rectitude are armed with power to suppress the actions of those who have regard only to their own immediate advantage. For just as bad money drives good out of the market, so a low standard of commercial morality will in the long run render impossible the maintenance of a higher one unless organisations exist to suppress the lower one. This truth, which modern experience has brought home to almost everyone, Aquinas did not understand; for not only is there not to be found in his writings any suggestion of the need of organisation to uphold the Just Price, but it is clear that he regards the issue as one with which law is not qualified to deal; for he actually says in this connection: "Human law cannot prohibit all that is against virtue, it can only prohibit what would break up society. Other wrong acts it treats as quasi-lawful, in the sense that while not approving them it does not punish them." However he came to make this statement I do not understand; for not only are we to-day finding out that speculation in prices by creating economic instability must in the long run break up society, but all through the Middle Ages profiteering was ruthlessly suppressed; and it is impossible to suppose that Aquinas had never heard of the Guilds.

But if Aquinas did not understand that organisation was necessary to the maintenance of the Just Price, such was not the case with the men who organised the Guilds. They clearly understood that a high standard of commercial morality could only be upheld on the assumption that organisations existed to suppress a lower one, and that the Just Price could not be maintained unless it were at the same time a fixed price. And it is because of this that the revival of the Guilds is a question of such fundamental importance to us. Reformers have come to see the importance of reviving the Guilds, but they do not yet fully appreciate the still greater importance of their corollary—the Just and Fixed Price. And because of this, it is desirable for us to go more deeply into this matter. It will be necessary for us to reinforce the moral arguments in favour of the Just Price by arguments in favour of the fixed price deduced from purely economic considerations. For if the modern world is to be converted to a fixed price it will only be on the assumption that we can justify it economically as well as morally.

On what grounds, then, is a fixed price to be justified? Because in no other way is it possible to ensure that currency shall bear a close and definite relationship to the real values it is supposed to represent, or, in other words, because in no other way can currency become a common measure of value. The principle underlying the fixed price is a simple one—so simple, in fact, that one wonders

however it came to be overlooked. Currency, or in other words money, is a medium of exchange. The problem is how to restrict its use to the legitimate one of a common measure of value. So long as money is fairly and honourably used to give value for value; so long, in fact, as money is used merely as a token for the exchange of goods, then it will remain in a close and definite relationship to the real values it is supposed to represent, a practical economic equality will obtain between individuals, while society will continue economically stable and healthy; for it will be free from those alternating periods of boom and depression in trade that are the inevitable corollary of speculation in prices. But unfortunately such a desideratum does not follow naturally from the unrestricted freedom of exchange—that is, by allowing prices to be determined by the higgling of the market; because under such conditions there is no equality of bargain power. The merchants and middlemen, because they specialise in market conditions and are possessed of a reserve of capital, find themselves in a position to exploit the community by speculating in values, For though there are many merchants who are scrupulously honest, market conditions are nevertheless apt to be determined by those who use their position of vantage to the utmost and do not disdain to indulge in smart practices. Standing between producer and consumer, they are in a position to levy tribute from each of them. By refusing to buy, they can compel producers to sell things to them at less than their real value; while by refusing to sell they can compel consumers to buy things from them at more than their real value; and by pocketing the difference they become rich. The principle remains the same when the middleman becomes a manufacturer, the only difference being that the exploitation becomes then more direct. For whereas in his capacity of merchant the middleman exploits the producer indirectly by buying the produce of his labour at too low a price, in his capacity as manufacturer he does it directly by paying the labourer too low a wage. Most commercial operations partake of this nature. Their aim is to defeat the ends of fair exchange by manipulating values. By so doing money is *made*, as we say, and the problem of riches and poverty created. It is a byproduct of this abuse of exchange. And for this evil there is but one remedy—the remedy provided by the Guilds—to fix the price of everything; for if all prices were fixed there would be no room for the speculator. There would be nothing left to speculate in.

I said that if prices were fixed society would be free from the alternating periods of boom and depression in trade that are the inevitable corollary of speculation in prices. But we shall be told that speculation is the soul of business, and do we propose to rob business of its soul? In so far as that is true, we most emphatically do; for speculation is precisely what we do want to get rid of: in the first place because so long as speculation is considered legitimate and practised industry must remain unstable, and the working class will be required to bear the consequences—to suffer privations because of chronic under-payment and periodic unemployment; in the next because so long as speculation is the soul of business it is impossible to see how production for service, use and beauty can ever supplant production for profit; then so long as speculation is

the soul of business the direction of industry will remain in the hands of the financier instead of those of the craft-master, which is contrary to the principle of function: and finally, because unfixed prices and speculation inevitably lead to class warfare, because they involve social and economic injustice. In the event of a shortage, the producer exploits the consumer; in the event of a surplus, the consumer exploits the producer. And as production and consumption rarely balance, such a condition of affairs gives rise to disaffection all round ; for the producer has a grievance when there is a surplus, and the consumer has a grievance when there is a shortage. Thus the inevitable accompaniment of speculation and unfixed prices is unrest and dissatisfaction, the creation of a temper of mutual distrust and suspicion, which leads finally to class warfare.

Such then is the case for fixed prices. They are as necessary to-day as they were in the Middle Ages, because the same evil demands the same remedy. Let us try to be clear in our minds about that; for there is nothing that stands in the way of clear thinking on social questions, or any other question for that matter, so much as the fatal habit of assuming that what was true in one age can have no relevance in another. We do not apply such reasoning to the principles of Christianity. We recognise that if Christianity was true in the Middle Ages it is true to-day and *vice versa*. And if the truths of Christianity are independent of time, surely their economic corollaries are in the same way equally so independent, while it is to be affirmed that no more difficulty stands in the way of their practical application than stands in the way of the practical application of any other principle of Christianity. I said no more difficulty, I should have said the same difficulty; for in each case it is selfishness where it is not intellectual confusion or sheer stupidity that blocks the way. The difficulty is finally moral rather than technical, as is demonstrated by the fact that during the War, when the desire and will were forthcoming, the fixation of prices was found to be a perfectly practicable proposition. That any such fixation should be unpopular in certain quarters was inevitable, for profiteers have no desire to see their profits curtailed. But that they were effective in that they succeeded in preventing prices rising higher cannot be denied. A recent writer who has some qualifications to speak with authority on the matter asserts "that if taxation had been increased and Government control of prices and distribution enforced earlier, the expansion of credit and currency and the general rise of prices would have been far less."[24] And he goes on to say that "at the time of the Armistice there were many responsible statesmen and men of affairs who advocated the retention of much of the price-fixing machinery, at any rate for so long as economic conditions were unsettled by the after-effects of war. These plans were frustrated, not merely by the general dislike of State interference, but by a still more formidable obstacle—the canons of orthodox

[24] *Stabilisation: an Economic Policy for Producers and Consumers*, by E. M. H. Lloyd (formerly Assistant Secretary to the Ministry of Food and Member of the Economic and Financial Section of the League of Nations Secretariat), p. 24 (Allen & Unwin.) It is an important book, and should be studied in conjunction with the theory enunciated in this chapter.

finance."[25]

Before the War the idea of fixing prices was regarded as impracticable and chimerical. But that is no longer the case, for the War demonstrated that where there is a will there is a way; it demonstrated moreover that in a time of crisis, when our national existence was at stake, we instinctively threw overboard the canons of orthodox finance, and it was reasonable that we should, for the canons of orthodox finance have come into existence to subserve the interests of private gain, and for that very reason conflict with the interests of the community. That during the War fixed prices were accompanied by irritating regulations is not to be denied. But that does not invalidate the principle of fixed prices. What it does invalidate is the instrument that was used for enforcing them. That instrument was the bureaucratic machine—the system of control from without. It is clumsy and irritating, but the Government had no option but to use it, for the Guild—the system of control from within—which is the natural instrument for the maintenance of fixed prices, was non-existent. So when we demand a system of fixed prices, we must at the same time demand a restoration of Guilds, for when we associate the ideas of Guilds and fixed prices many of the problems which we find so perplexing to-day will begin to straighten themselves out. But until we can get Guilds we must put up with bureaucracy as the lesser of two evils. Indeed, I incline to the opinion that the fixation of prices of the staples of industry by the bureaucracy will pave the way for a restoration of the Guilds.

At the moment, then, bureaucracy is inevitable. As the problem of price is to-day an international one and, as Mr. Lloyd has shown, is intimately connected with the stabilisation of currencies, it follows that any immediate effort to cope with the problem demands international co-operation, and only a bureaucracy could undertake such a task. Yet though fixation of prices by such means would help to stabilise the currency, there is a limit to the number of commodities whose price could be fixed by such means; for experience proves that a definite limit is set to the successful operations of any bureaucracy, since in proportion as it tends to expand its machinery gets clogged. The end of all bureaucracies is to become strangled by red tape. If therefore we are to fix the price of everything—and nothing less will be finally effective, if capitalistic influences are to be entirely eliminated—it follows that we must set to work in a systematic way and build up a system of Guilds to enforce them. Moreover, it is important that prices should be fixed as part of a methodical plan, beginning with the price of food and raw materials and then gradually extending the system. That a precedent condition of agricultural reconstruction is dependent upon the fixation of the prices of agricultural produce has been recognised for some time. As far back as the year 1908 Mr. Montagu Fordham, the well-known authority on agricultural history and economics, who has had wide practical knowledge of his subject, outlined a scheme[26] which was widely discussed at numerous public meetings in the villages and in that section of the Press which circulates in rural areas.

[25] *Stabilisaiion*, pp. 25-6.

[26] *Mother Earth,* by Montagu Fordham, ch. iii, "The Regulation of Markets."

At the time of writing the Government Committee, to whom the question of prices in agriculture has been referred, is taking evidence as to the possibility of fixing agricultural prices. As to whether they will endorse such an idea it is impossible to say. But it may be assumed that a proposal so revolutionary will not go through without opposition, for it challenges vested interests and prejudices at too many points to be acceptable to "practical men" before a national propaganda has been undertaken on its behalf.

Of the obstacles in the path of any systematic fixation of prices, the Socialist prejudice is by far the most serious; for as most active reformers at the present day are affected by Socialist economics, it is to be feared that until this prejudice can be removed the force necessary to effect change will not be forthcoming. Their prejudice has its roots in the fact that as Socialist theory traces all the evils of existing society to the institution of private property and demands its abolition, Socialists are apt to look with suspicion upon any proposal for dealing with the economic problem which conflicts with their theory—the fixation of prices presenting itself as a device for postponing the day of substantial reform. And indeed from their point of view the suspicion is well founded, for if Just and Fixed prices were established the case for the abolition of private property would be gone, for most of the evils which proceed from the institution of property would automatically disappear, while such as remained, as, for instance, those deriving from the laws of inheritance and transfer and its present inequality of distribution, could be removed by legislation if the complications due to industrialism, of which we shall have something to say later, were dealt with.

Looked at from this point of view, the fixation of prices presents itself as an alternative approach to the economic problem to that assumed by Socialists, for we see the attitude we adopt towards the problem of price will determine our attitude towards the problem of property and *vice versa*. If the evils which at the present time we associate with the institution of property are to be removed, either private ownership must be abolished or we must surround private ownership by a series of restrictions that will prevent its abuse, and of these the fixation of prices is by far the most important. To the former of these alternative schemes almost all reform activity has been devoted. But not only are we assured that the abolition of private ownership of property is impossible in a highly industrialised society such as ours, but where, as in Russia under the Bolshevik regime, private ownership was abolished, experience proved that it undermined the springs of economic activity and it was found necessary to reinstate it, as Lenin himself had to admit.[27] Are we not justified therefore in affirming that in attempting to abolish private property Socialists are at war with the very nature of things, considering men as they are? But if the abolition of private property undermines the springs of economic activity, the fixation of prices would actually stimulate it, for it is safe to say that the farmer, the craftsman, in fact everyone who actually produces (as distinguished from those who exploit production) would welcome fixed prices as everyone in touch with them

[27] *Labour Monthly*, December 192 1.

is well aware, for it would free them from uncertainty and anxiety which are to-day undermining the very morale of production.[28]

I confess I find it difficult to understand how in the light of the Russian experience Socialists find it possible still to believe that the abolition of private property is a remedy for our economic troubles. At every step in the reconstruction of society it will be necessary to interfere with property, yet all the same the centre of economic gravity is to be found in price and currency rather than in property, for currency is the vital thing, the thing of movement; it is the active principle in economic development, while property is the passive. It is true that profits that are made by manipulating currency sooner or later assume the form of property, but the root mischief is not to be found in the institution of private property but in the abuse of currency, in speculation in prices. To solve the problem of currency by the institution of Just and Fixed Prices under a system of Guilds is to introduce order into the economic problem at its active vital centre. Once having dealt with the problem of currency which lies at the centre, it would be a comparatively easy matter to handle the problem of property which lies at the circumference. But to begin as Socialists do with the problem of property is to reverse the natural order of things; for it is to proceed from the circumference to the centre, which is contrary to the law of growth. It is to precipitate economic confusion by dragging up society by its roots, and this defeats the ends of revolution by strengthening the hands of the profiteer, for the profiteer thrives on economic confusion, as is proved by the experience of the French and Russian revolutions. Of what use is it therefore to seek a redistribution of wealth before the profiteer has been got under control? The effort is foredoomed to failure, since so long as men are at liberty to manipulate exchange they will manage somehow to get the wealth of the community into their hands. Not until Socialists come to_see this will they be able to do anything in a practical way to change the existing order of society. Here, incidentally, it is to be observed that the reason why Socialists think in the terms of property is due to the fact that for centuries reformers were accustomed to get their political theories from lawyers, and property was the only economic concept with which lawyers were acquainted.

But we are not out of the wood yet. For experience has taught us that when we manage to persuade Socialists that the centre of economic gravity is to be found in currency rather than property, it not infrequently happens that they degenerate into currency cranks, when, far from making themselves intelligible

[28]"The *laissez-faire*, supply and demand, speculative, or market price system, is condemned by nearly everyone except the business men who run it and believe they understand its beneficent workings… The common man prefers to approach the question of price not from the standpoint of supply and demand, but from the standpoint of cost of production… The fluctuating price system, which means great profits to a wealthy few, serious losses and wrecked lives for a few, and a bare livelihood for many, is the natural result of the laissez-faire policy of the old classical economists… The common people and the lofty idealists in America were greatly elated during 191 7 and 1918 at the apparently successful working of fixed prices established more or less in defiance of the speculative or laissez-faire price system."—*Agricultural Prices*, by Henry A. Wallace, pp. 26-27.

to others, they become entirely lost to the world. The reason for this is because, as I pointed out in the last chapter, they fall into the common error of identifying the general problem of currency, which is extremely simple, with the highly specialised problem of banking, it never occurring to them that the problems of banking have their origin in the fact that usury and speculation in prices are permitted, but would disappear with the fixation of prices under a system of Guilds. At any rate, it is interesting to read that Mr. Lloyd, in the book to which I have already referred, who approaches the economic problem entirely from the point of view of providing a sound currency system, comes to the conclusion that the stabilisation of currency involves the fixation of prices. Thus, after sketching a plan for international currency regulation, he says: "It is doubtful, however, whether this object (the stabilisation of currency) can be effectively achieved by manipulating the bank-rate and co-operation between the Central Banks, so long as the marketing of the staple commodities, which enter into the general index number of prices, is carried on under competitive conditions. It might even happen that serious disharmony in the adjustment of supply and demand in !:he case of particular commodities might show no influence on the general level of prices; for a sharp rise in one commodity might be offset by a general fall in the remainder. The essence of a wider plan of stabilisation is that the price of a fairly wide range of staple commodities should be regulated by a similar method of international cooperation and control. Just as under the currency reorganisation adopted by the Genoa Conference it was proposed to stabilise the value of gold, so under this plan stabilisation would be applied to certain basic raw materials and foodstuffs, such as coal, petroleum, wheat, sugar, wool, cotton, rubber, nitrates and other similar commodities in universal and fairly constant demand. This idea should not be dismissed offhand as impracticable. It is put forward, not indeed as an immediately practical programme, but as an intelligent policy in keeping with modern tendencies."[29]

Mr. Lloyd, to use his own words, is working at one end of the tunnel and we at the other, and it looks as if we are about to meet in the middle. Meanwhile I am persuaded it is unprofitable for any but those with the necessary experience of finance and banking to worry about the technical side of the problem of currency, in the stabilisation of which bankers are as much interested as we are, and if it should finally elude them who have the knowledge, it will certainly elude us who have not. What we must do is to insist upon the moral aspect of the fixation of prices, the desirability of which every man engaged in production can understand, for it is a necessary condition of ensuring that currency shall be used only as a common measure of value. All the problems of currency that lead people to believe in the existence of a kind of economic witchcraft arise from the fact that people who specialise in finance have no intention of using money as a common measure of value. On the contrary, they want to use money for the purpose of making more money. And the man in the street, failing to see that all the technical difficulties of finance arise from its anti-social intention, comes to look upon the whole subject of finance as a mystery, and we witness

[29] *Stabilisation*, by E. M. H. Lloyd, pp. 79-80.

the extraordinary spectacle of people who lead Christian lives deferring in matters of finance and industry to those whose opinions they would indignantly repudiate if they knew the anti-social principles on which their reasoning was based. This anomaly of the condonation of usury that has taken place since the Reformation is partly the consequence of the complexity of modern industry. In the Middle Ages people knew that speculation and usury were sinful because their consequences were obvious. But in these days usury and speculation have become so interwoven with business that they have all the appearance of a law of nature, and so it comes about that people hesitate to condemn practices on a large scale that they would not hesitate to condemn on a small one. And it is because a system of fixed prices challenges the principles of *laissez-faire* as nothing else does that it naturally meets with the opposition of all who still believe that *laissez-faire* is the last word of economic wisdom.

That there are difficulties in the way of price-fixing is not to be denied. It will be objected that it is impossible to base price upon the cost of production, which a Just and Fixed Price assumes, because the cost of production itself is variable rather than constant, varying according to circumstances. It is not necessary to deny the truth in this objection, but to point out that the difficulty is not an insuperable one. There is a rough-and-ready method of determining what constitutes a Just Price as distinguished from the *laissez-faire* price of competitive conditions. For instance, there is the method of price-fixing adopted during the War by the Food Administration Department of the United States Government. It was based upon a method of price-fixing known as the "ratio method of price determination," worked out by Mr. Henry A. Wallace (to whose book on Agricultural Prices I have already referred in the footnotes), and is advocated as a permanent remedy for price fluctuation in his organ the *Wallace's Farmer*. By means of carefully prepared statistical tables, Mr. Wallace was able to show that the average market price of agricultural produce taken over a long period of years was almost identical with a Just Price based upon the cost of production averaged over a corresponding number of years. And what is still more interesting is that the fixation of such a Just Price would not only give security to the producer, but that, by reason of the fact that producers under such circumstances would not need such a reserve of capital and could work on a smaller margin of profit, the prices paid by the consuming public could be enormously reduced. "In its simplest form," says Mr. Wallace, "the hog producer of fifty years ago grasped the ratio idea. Without any statistical investigation, the swine-growers of those days came to the conclusion that they could make money when they sold their hogs for a value per hundredweight of more than the value of ten bushels of corn. For a generation or two hog men looked on a ratio of ten bushels of corn to one hundred pounds of hog flesh as about right, although they felt that such a ratio might not cover risk. How uniform is this ratio between corn and hogs from decade to decade may be judged from the ratios as they have prevailed year by year for the last sixty years, and the average by decades."[30] It will be seen therefore that by a fixed

[30] *Agricultural Prices*, by Henry A. Wallace, p. 30 (Wallace Publishing Company, Des Moines,

price we do not mean a price that is unalterable for all time, but a price that is periodically adjusted as may be necessary to bring the selling price into a definite relationship with the costs of production.

Anyone who has read Mr. Wallace's book, with its hundred pages of statistics on the subject, must, I think, be convinced that any technical difficulties there are in the way of determining what is a Just Price can be overcome by patient study. For of all industries agriculture, because of its dependence on changing climatic conditions, is the most difficult to handle from the point of view of price fixing. And if, as Mr. Wallace has demonstrated, the difficulty is capable of being overcome in respect to agriculture, there is no reason why it should not be overcome in every other industry. The other difficulty that stands in the way of the adoption of fixed prices is due to the opposition of the business world, which is interested in the maintenance of the *status quo*. Their objection that we have to compete in foreign markets and therefore must be at liberty to adjust prices to circumstances would be valid if we proposed to fix the prices of all commodities simultaneously. We do not need to be told by business men that such a policy would be impracticable, for it is not what we propose. On the contrary, as we have pointed out, any fixation of prices must be part of a methodical plan, beginning of course with agriculture and commodities made for the home market and extending it as circumstances and international agreements permitted. So far from such a policy increasing our difficulties in foreign markets it would decrease them; for the fixation of prices by eliminating middlemen's profit and insurance risk would, by bringing down the cost of living at home, place us in a more favourable position to compete until fixed prices become universal. Such being the case I do not believe the opposition of business men will be able to frustrate permanently the movement for fixed prices. Moreover, once social reformers come to see its centrality and realise that the fixation of prices is a precedent condition of stabilising wages, the battle will be won. I dislike all appeals to social evolution, but as Socialists chose to take their stand on the supposed truth of the principles of social evolution, when the trend of economic development gave a certain plausibility to their measures, they cannot object to me drawing attention to the fact that the tide has begun to turn in our favour. All over the world, in the United States, in Canada, Australia, New Zealand, the Argentine, Russia, and indeed most European countries, and to a lesser extent in Great Britain, there is a tendency for farmers to realise the principle of collective sale, either through co-operative associations or through State intervention, thereby acknowledging *ipso facto* the principle of fixed prices. It is a world-wide phenomena which, taken in conjunction with the fact that the trend of industrial development is towards the fixation of prices by trusts, rings, and combines, leaves no room for doubt as to what direction in the future things are going to move. What is more interesting is that this movement back to Mediaevalism (f or rightly interpreted it is nothing less) has come about as a result of the desire to escape from the consequences of that economic deadlock in which Marx foresaw the policy of maximum production was bound to culminate.

Iowa, U.S.A.).

In the face of such facts it is vain to say that fixed prices are impracticable or that they are against social evolution or any of that kind of nonsense; for there can be no doubt that they have come to stay. The only point is, who is going to fix them? Are they going to be fixed by rings and combines in the private interest, or by Guilds and the State in the public interest? Seen clearly, the issue is no longer between fixed prices and unfixed ones, but between the Fixed and Just Price and the fixed and unjust one. When will Socialists awaken from the trance in which their theory of social evolution put them? Many things have happened since Socialist theory first took shape.

XIV. The Elimination of Usury

Closely allied to the problem of the Just Price is that of usury. The enforcement of the one and the prohibition of the other was at one time, as we saw, insisted upon by the Mediaeval Church. But this strict view was, in the case of usury, modified by later moralists and economists, who came to believe that to forbid the taking of interest under all circumstances was not expedient, inasmuch as it led to serious public inconvenience. Hence the question which agitated the minds of moralists and economists in the thirteenth, fourteenth, and fifteenth centuries was how to determine what was and what was not legitimate. Starting from the principle of Aristotle that money itself cannot beget money, they were puzzled as to how to justify the taking of interest. They were agreed that to seek to increase wealth in order to live on the labour of others was wrong; and to this extent the issue was a purely moral one. But, on the other hand, there was the question of public convenience, as in the case of travellers who would have to carry large sums of money about with them in the absence of bills of exchange, or the question of risk involved in a loan. To all such difficult and perplexing problems the Mediaeval moralists addressed themselves, not for theoretical, but for practical reasons. For as commerce tended to increase it became urgent to hammer out some principle whereby the necessities of trade could be related to some definite moral standard.

To the end the problem evaded them. In principle all were against usury, but public convenience demanded that exception be made under certain circumstances. These exceptions grew and grew in number, but no sure principle was forthcoming. And so things went on until the Reformation, when, in the latter half of the sixteenth century, a breach was effected with Mediaeval doctrine and practice. Not that the leaders of the Reformation were advocates of usury. On the contrary, they were even more opposed to any compromise with usury than Catholic theologians. But the effect of the Reformation had been to destroy the unity of the Church. And this, by undermining authority on the one hand and by causing Lutheran divines to lean upon territorial princes and the merchant class, opened the way for a change of attitude towards usury by accommodating morals to the practice of the rich. Calvin's attitude proved to be the turning point. He objected to the idea of regarding money as barren. He was prepared

to justify the taking of interest with certain qualifications, such as "that usury should not be demanded from men in need; nor is it lawful to force any man to pay usury who is oppressed by need or calamity"; and "he who receives a loan on usury should make at least as much for himself by his labour and care as he who obtains which gives the loan."[31] But "in after centuries Calvin's great authority was invoked for the wide proposition that to take reward for the loan of money was never sinful; and a couple of his sentences were taken from their context and quoted without regard to the conditions by which they were limited. His careful qualified approval of the claim for usury when it was made by one business man to another was wrested into an approval of every sort of contract concerning the loan of money."[32]

Henceforth business and usury became so closely identified that it became impossible to separate them. They have between them been the force behind the modern industrial development. Usury has become so much a part of our industrial activities that it is difficult for the individual to feel any sense of personal responsibility in the matter. We are all so much involved that acquiescence in it has come to partake more of the nature of a corporate than an individual sin. If a man in the Middle Ages was a usurer he knew it, and his neighbours knew it, and he was treated with the cold suspicion which was his fitting reward. But no one who receives a dividend from a limited liability company, or receives interest on War Loan stock, considers himself in any sense of the word a usurer, which term of opprobrium he reserves for the professional moneylender. And indeed in the moral sense there is a difference between the dividend receiver and the moneylender. It is the difference between the absentee landlord, who may in his personal relations be an excellent man, and his steward, who, perhaps unknown to him, screws money out of his tenants. For the great evil connected with limited liability companies is that they have fastened the evil of absenteeism upon industry, and as such have been the root of endless mischief; for under them responsibility is divided among so many people that nobody feels himself personally to blame for their shortcomings. Yet though there may be a moral difference between the dividend receiver and the moneylender, the economic consequences, so far as the general well-being is concerned, is the same. For the law of compound interest is to accumulate, whether the increment be the work of moneylenders or dividend receivers. And it stands to reason that this process of accumulation cannot go on indefinitely, as the famous arithmetical calculation that a halfpenny put out to five per cent, compound interest on the first day of the Christian era would by now amount to more money than the earth contains clearly demonstrates. Yet what to-day is called "sound finance" proceeds upon the assumption that there is no limit to compound interest. The consequence is that industry has become burdened with a load it can no longer bear. Meanwhile the usurers, in their anxiety to increase dividends, have so impoverished the people that they cannot afford to buy the goods which industry produces, and the only remedy they can think of is to produce goods cheaper by

[31] Ibid., p. 460.
[32] Ibid., p. 460.

lowering wages, entirely losing sight of the fact that to lower wages is to reduce purchasing power still further. The crisis that nowadays has overtaken industry was making its appearance before the War. But the £7,000,000,000 War Debt, bearing interest at the rate of £350,000,000 a year, has "put the lid on," as we say. It has precipitated an economic deadlock, resulting in widespread unemployment, that must remain insoluble until the problem of usury among others is faced.

This is the dilemma of civilisation. What is to be done about it? There are times when one feels as if nothing would get done, and that the usurers will go on demanding their pound of flesh regardless of consequences to themselves as much as to others until finally the end comes, suggesting that a civilisation that takes to usury perishes by usury. There is the Douglas Credit scheme, which proposes to resolve the deadlock by the redistribution of purchasing power in the form of dividends for all. It sounds plausible, yet not only does one feel that it is utterly impracticable, but that it is a skilful evasion of the whole difficulty; for the evil is surely primarily moral rather than technical, and it has personal roots. If men sin, we may be assured that there is no remedy apart from repentance, and that the consequences of sin are not to be cancelled by a chartered accountant. Hence, we may be assured, a solution of the problem of usury will not follow a new system of book-keeping, which is what the Douglas Credit scheme amounts to, but a change in the heart and mind of men. And it is for this reason that we entirely repudiate the idea which advocates of the scheme affirm, that the "problem of finance is as technical as a main drainage scheme."

When people do come to see that the economic problem has personal roots, it not infrequently happens that when they take the thing seriously they go off at a tangent, hoping to do something towards the solution of the problem by refusing to take any interest on money themselves. Apart from exceptional cases, where the refusal to take interest means that individual cases of hardship are relieved, action of this kind avails nothing; for its only effect is to swell still more the pockets of those who have no misgivings about usury; while, moreover, it is impossible to expect many people to act in this way; for, in the case of an enormous mass of people, it would mean a complete loss of income; in others it would mean constant anxiety; while in others, again, the decision to forgo all interest on money would mean that work, which at the present juncture is of fundamental importance to society, would never get done, because it has nO immediate economic value, for such work can only be done to-day by people possessed of private means. For a variety of reasons, therefore, there is no reason to suppose that any considerable number of people will act in such an heroic way. And there is no reason why they should; for the way to replace the present system of industry based upon usury by one that is not, is not to advise people to forgo their dividends, but to advise them to spend their spare money in a way beneficial to the community, instead of reinvesting it for the purposes of further increase. If the rich could be persuaded to use their money in this way the pressure of competition would be so much relieved that it would be possible

in the course of a generation for people to refuse altogether to have anything to do with usury without having to face the fear of poverty, which most people would have to face to-day if they refused to take any more dividends. And if we cannot persuade the rich to do this, there is no reason to suppose they could be persuaded to forgo interest entirely.

The custom of investing spare money for further increase is so general to-day that we are apt to forget that the custom is a comparatively recent one. In former times it was the custom for the wealthy to spend their yearly surplus upon such things as architecture, the patronage of the arts and letters, the endowment of religion, educational and charitable institutions, and in suchlike ways. Such expenditure was good, because it kept money in circulation. It stimulated demand and created employment by maintaining a balance between demand and supply. Until a couple of generations ago this tradition of using money survived in the old Tory school, whose faith it was that the spending of money gave employment, while bridging the gulf between rich and poor. What destroyed this excellent tradition was the introduction of machinery and the coming of the limited liability company, which opened up so many more channels of profitable investment that the aristocratic tradition of spending was not only lost sight of, obscured, and forgotten, but people actually came to believe that they were doing a positive service to the community when they invested any spare money they might possess in some new industrial enterprise instead of spending it. Yet such is not the case; for the present deadlock that has overtaken industry is in no small measure due to this misdirection of surplus wealth. For whereas money that is spent does return into general circulation, the effect of investing and reinvesting surplus money is in the long run to withdraw it from circulation, much in the same way as if it were hoarded. Nay, it is actually worse than if it were hoarded. Hoarded money may undermine demand, but it does not increase supply, whereas when reinvestment proceeds beyond a certain point it increases supply and undermines demand at the same time. This upsets the balance between demand and supply, which in turn is productive of waste. For when more money is invested in any industry than is required for its proper conduct the pressure of com- petition is increased, and this increases the selling costs by encouraging the growth of the number of middlemen, who levy toll upon industry, while it increases the expenditure on advertisements and other overhead charges, bringing about over-capitalisation. That, in turn, gives rise to every kind of dirty trick and smart practice, which are resorted to in the attempt to produce dividends on the watered capital.

Viewing the problem in this light, it is evident that the first step to be taken to mitigate the evil of usury and to resolve the economic deadlock that has overtaken industry is to advise people to spend money in the way it was customary to spend it in the past rather than to be for ever reinvesting it for the purpose of further increase; for spending money increases demand. But it will make a great deal of difference the way it is spent. Merely to increase personal expenditure is not desirable, for it brings other evils in its train. Wise expenditure would result in it being spent in impersonal waj^s, and at the present time there

could be no wiser way than to spend it in building houses, to relieve the housing problem; while if such expenditure was generous and wise, ignoring entirely returns in rent, it would, do a great deal towards the revival of architecture, for architecture will never revive so long as people build for investment. In former times people did not expect building to pay. They looked upon it as a way of using spare money. When they come to look upon building again in this light conditions will be created favourable to the rebirth of architecture.

In other directions the problem of usury can only be solved by means of organisation. It seems to me that the reason why the Mediaeval moralists and economists could find no answer to the problems which usury presented was due to the fact that that problem is only partly a moral one. And in the same way that they failed to realise that the only way finally to give effect to the principle of the Just Price is to make it at the same time a Fixed Price to be maintained by Guilds, so they failed to realise that the difficulties in which they found themselves in their attempts to justify the taking of interest in certain cases in order that the public convenience might not suffer arose from the fact that the function that the usurer performed in such cases was essentially a public one, and should have been undertaken by men in some corporate capacity, and not left to the initiative of individuals. It could have been overcome by organisation; for it is safe to say that if, in the Middle Ages, the Guilds, instead of being confined to the towns, had been co-extensive with society, the problems of usury and currency would never have arisen. For while on the one hand, by the maintenance of Just and Fixed Prices, such Guilds would have operated to keep money in a close and definite relationship to the real values it is supposed to represent, on the other, by making provision for their members in times of sickness or adversity, little room would have remained for the snares of the usurer, and what little there was could doubtless have been overcome by organisation of one kind or another. Unfortunately, however, this most obvious solution of the problem of usury never appears to have occurred to the Mediaeval moralists and economists, who, envisaging the problem entirely as a moral one, were as blind to the need of organisation to enforce moral standards upon the recalcitrant minority as reformers to-day, envisaging the social problem as entirely one of organisation, are as a rule equally blind to the need of a moral basis to give vitality to their organisations. In the sixteenth century, however, the Franciscans do appear to have come to some such conclusion; for they founded the *monies pietatis*, or lending houses, which advanced loans to poor people either without interest or at a very low rate, and thus prevented many from falling into the hands of usurers. The change of attitude, however, came too late to stop the onrushing torrent.

XV. Regulative and Producing Guilds

If the centre of gravity of the economic problem is to be found in currency and price rather than in property, every other problem in society will assume

a different perspective—questions which nowadays are regarded as issues of primary and fundamental importance will be relegated to a secondary position, while issues that hitherto have been treated as secondary and unimportant will become matters of primary interest.

In this process of transformation our conception of the nature and purpose of the Guild will be completely changed, inasmuch as regulation rather than production will now become its primary aim. Producing Guilds have hitherto found favour among Socialists because they recommended themselves as instruments for the abolition of the private ownership of property, the substitution of workers' control for private management being considered a means towards this end. But once it is recognised that the centre of economic gravity is to be found in currency and price rather than in property, a different type of Guild will find favour, since from this point of view the primary aim of Guild activity is the regulation of prices, and the type of Guild best adapted to perform this function is not the Producing but the Mediaeval or Regulative type, which would superimpose over each industry an organisation to regulate its affairs much in the same way that professional societies enforce a discipline among their members, with the difference that, in addition to upholding a standard of professional conduct, such Guilds would be concerned to promote a certain measure of economic equality among their members, in the same way that trade unions do to-day. Such guilds would insist that all who were engaged in any industry should conform to its regulations, which would be concerned with such things as the maintenance of Just and Fixed Prices and rates of wages, the regulation of machinery and apprenticeship, the upholding of a standard of quality in production, the prevention of adulteration and bad workmanship, mutual aid, and other matters appertaining to the conduct of industry and the personal welfare of its members.

Though such Regulative Guilds are identical in principle with the Mediaeval Guilds, there is yet no technical difficulty that stands in the way of their establishment over industry to-day; for the principles to which it is proposed they should give practical application are finally nothing more than the enforcement of moral standards. For though modern industry differs from Mediaeval industry, the differences are technical, and no technical difference can involve a difference of moral principles. On the contrary, what is involved is a difference in application, inasmuch as whereas the Mediaeval Guilds only exercised control over employers and their assistants engaged in small workshops and owned by small masters, our proposed modern Regulative Guilds would exercise control over employers and workers engaged in both large and small factories and workshops owned by private individuals, joint-stock companies and self-governing groups of workers. To make such control effective, it would be necessary to depart from the rules of the Mediaeval Guilds to the extent that authority would have to be vested in the whole body of members—employers and workers—instead of being exclusively in the hands of the masters, as was the case in the Middle Ages. For the typical employer to-day is not a master of his craft, who is jealous for its honour, as was the Mediaeval employer, but a financier who is

only interested in the profit and loss account, and therefore is not to be trusted with final authority. Hence the conclusion that if any standards of honesty and fair dealing are to be upheld, prices and wages fixed on a basis of justice, machinery and other things necessary to the proper conduct of industry to be regulated, the final authority must be vested in the trade as a whole, for only those who suffer from the growth of abuses can be relied upon to take measures to suppress them.[33]

In comparison with the enforcement of such moral standards over industry, all other issues, such as whether the workers be engaged in co-operative production or Producing Guilds, whether they have small workshops of their own or are employed by others, are secondary. They are not matters of principle, but of expediency or personal preference. There is no greater mistake than to suppose that every man would prefer to work cooperatively with others. On the contrary, the majority—the vast majority, I believe—would, other things being equal, prefer to be employers or employed. Any number of men prefer to work as assistants because they don't like responsibility, while there are numbers of men of a masterful disposition who are too individualistic by temperament to love co-operation and who would be mere grit and friction inside any organisation on a co-operative basis, while again it is to be observed that there are many men who prefer to work under such men of a masterful disposition because they like to know just where they are, and others prefer to work alone. Preferences of this kind have nothing to do with indifference to or love of money. Men may be any of these things and be good or bad citizens; it is entirely a question of differences of temperament. For this reason a mixed economy which is flexible and contains different types of organisation is best adapted to differing human needs and the varied circumstances of industry. What is important is that these various types of men in any single industry—employers, employed, co-operators—should submit to the same statutes and regulations or suffer expulsion. If moral standards are enforced over industry by Regulative Guilds the particular way men preferred to work or organise could be left for themselves to decide, for their differences could have no harmful consequences; while it is to be observed the enforcement of the Guild discipline would tend to weed out undesirable forms of industrial organisation such as limited liability companies.

Such then is our conception of the primary purpose of Guild organisation. But it is not on this basis that the Guild idea has hitherto been promoted in this country. On the contrary, approaching the problem of Guild organisation from the point of view of property rather than currency and price regulation, the Guild idea became identified with that of co-operative production or Producing

[33]Such a conception of industrial reorganisation is not as remote from practical politics as many will assume, for the scheme of industrial reorganisation proposed in the Majority Report of the Industrial Council of the Building Industry (better known as the Building Trades' Parliament) proceeds upon such a basis. It is a remarkable testimony to the truth and universality of Mediaeval principles that its promoters were unaware of its likeness to Mediaeval organisation.

An account of it is to be found in my *Post-Industrialism* (Allen & Unwin, 6s.).

Guilds; for National Guilds was an attempt to give universal application to a principle of organisation that on a small scale was practised with success under the auspices of the co-operative movement by giving it a base in the Trade Unions, and it would have cleared the air of a great deal of discussion at cross purposes if from the first they had been called Producing Guilds instead of National Guilds ; for it is not the Guild idea in the larger sense as expressed in the Regulative Guild or even the Producing Guilds that is finally called in question by the failure of the Building Guilds, but the particular policy and form of organisation popularised by the National Guilds League, as nowadays its members are prepared to admit. National Guilds, as we have always insisted, was a compromise, and a compromise that could not last, for it was compounded of incompatibilities. So far, therefore, from the failure of the Building Guilds heralding the defeat of the Guild idea, it should, by exposing the inconsistency of the National Guild position, prepare the way for its acceptance. For it has not been the Mediaeval elements in Guild theory that have been found wanting in practice, but the modernist ones that it borrowed from Collectivism.

Meanwhile it will be interesting to compare the Building Guild experiment with the Italian Producing Guilds[34] for the failure of the one and the success of the other may suggest to us the lines upon which a new policy for Producing Guilds should be based. In this connection the first great difference that we notice is that, compared with the Italian Guilds, our Building Guilds were exotic. They were created artificially from above to execute the housing schemes and developed with such rapidity as to engender all the defects and shortcomings which everywhere accompany organisations of mushroom growth. For their difficulty of obtaining credit, which was the immediate cause of failure, and the internal problems of organisation which, apart from the problem of credit, must eventually have resulted in failure, were both largely the result of a too rapid growth; for when growth is too rapid, organisations do not grow up in an organic way, and suffer in consequence from a multitude of maladjustments which, leading to confusion and dissensions, are apt to prove disruptive.

In Italy the development was different. The Producing Guilds there originated, as did the smaller Producing Guilds in this country which came into existence as a result of the boom of the Building Guilds, to provide work for the unemployed, and their development in the early stages was very slow indeed, for it should be known the Italian Building Guilds are already sixty years old. Thus it was, instead of being promoted from above, they began at the very bottom of things—often as mere organisations of labour undertaking simple works such as nav vying, where "labour" is the most expensive "raw material." From such humble beginnings they gradually advanced step by step, consolidating their position as they went on, until they could undertake works of importance where more plant

[34] *Stabilisation: an Economic Policy for Producers and Consumers*, by E. M. H. Lloyd (formerly Assistant Secretary to the Ministry of Food and Member of the Economic and Financial Section of the League of Nations Secretariat), p. 24 (Allen & Unwin.) It is an important book, and should be studied in conjunction with the theory enunciated in this chapter.

and capital was required. And because they grew up slowly in this unobtrusive way they were never seriously perplexed by the problem of credit on the one hand nor with difficulties of internal organisation on the other, while the fact that at the beginning they had no idea of creating a new social order, no other aim in fact than to provide work for the unemployed, any working theory that they have come to possess has been the result of experience and not the result of any *a priori* reasonings, for any other "ism"—Socialism, Syndicalism, or Fascism—with which any of the Guilds may be identified to-day has been grafted on to them since and had nothing to do with their origin.

To understand this is important. For the immunity of the Italian Guilds in their early stages of development from the disruptive influence of Socialist theories led them to adopt a common-sense attitude towards the problems confronting them which might otherwise have been impossible. The Italian Guildsmen began by accepting the fact that the Guilds they organised had to function within the capitalist system and be as businesslike as any private firm, and did not therefore attempt to push the principles of democratic control so far as to make such functioning impossible. For when such principles are pushed too far, as it is in National Guild theory, the rank and file inevitably come into collision with the administrative staff, into whose hands decision as to details inevitably falls, for there is a limit to the number of things to which committees can attend. The non-recognition of this fact was a constant source of friction in the Building Guilds. Their ideal was to be democratic from the top to the bottom, and this led to an extraordinary multiplicity of committees, which made the organisation of the whole of industry upon such a basis a proposition entirely unthinkable.[35] Experience was to prove that on the ultra-democratic basis upon which they were organised there was no discoverable basis of co-operation between the administrative staff and the rank and file; a fact which came very much in evidence every time a new appointment was to be made. And this difficulty inherent in National Guild theory was further complicated by the fact that the rapid growth of the Building Guilds necessitated the recruitment of their administrative staffs from the middle class instead of from the rank and file as was possible in Italy because of their slower growth, and this, because it involved differences in economic status, naturally led to dissatisfaction in an organisation that came into existence to promote economic equality.

The different standards of living of the working and middle classes is a real obstacle in the path of their close co-operation in any organisation that is democratically controlled. For though the middle-class Socialist when he preaches economic equality means that with a better distribution of wealth the working class would be raised up to his own standard of living, the idea is interpreted by the working-class man as meaning that the middle-class man should be prepared to accept the same wage or salary as himself. And this constitutes a real difficulty that should be faced. It is to be traced to the fatal habit of reformers

[35] In *Psychology and Politics* Dr. W. H. R. Rivers argues that committees should be consultative rather than executive. He maintains that the successful committees he has known have been consultative and the failures executive.

of exalting a standard of idealism which they personally are not prepared to act upon. It borders on insincerity, for I do not think the middle-class Socialist has any right to ask the working class to live up to a standard of social idealism that he is not prepared to live up to himself. Yet it seems to me that this is what happened under the Building Guilds; for while the working-class member was asked to work at a standard rate and forgo any share in any profits that he might help to produce, the middle-class man expected to take his share out in the form of a higher salary. Much of the demoralisation that overtook the Building Guild was, I am persuaded, traceable to this fact, for it was much talked about. It seems to me if wages and salaries are not to be equal, it would be wiser to allow the workers to have a share in the profits, as is the case with Producers, Co-operatives. I say it is the wiser thing—I should say, I think it is the only thing—to do, if disaster is not going to follow disaster. And I can see no objection to it. For if we had Regulative Guilds that would maintain just and fixed prices and wages and other matters relating to the conduct of industry, such Producing Guilds could not degenerate into capitalist concerns, for all the distribution of such profits would mean would be that men were rewarded for any extra exertion they might put into their work, and this would provide the incentive that is required to keep up the morale of the Guild. This, I submit, is only common sense. The men in the Building Guild worked hard at the beginning. But after a twelvemonth, when the wave of enthusiasm had spent itself, there came the inevitable reaction which always follows the attempt to live up to an idealism pitched in too high a key. Of course Socialists are led into this error by their belief in the natural perfection of mankind, whereas the fact is most demonstrable that all men are sinners.

I do not know if a time will ever come when the whole of industry will be organised in local Producing Guilds under the control of National Regulative Guilds, but if it did it might prove to be a misfortune, the prelude of decline, for if private management were entirely to disappear I cannot help feeling that initiative would disappear with it. It would disappear under Producing Guilds as it is disappearing under limited liability companies, and for precisely the same reason—that as the majority of men lack imagination, they are only willing to adopt any new idea when it has been proved to them by demonstration, and as it is for this reason invariably impossible to get any committee to back any new idea from the start, it follows that new developments are only possible on the assumption that private industry is not entirely extinguished. The entire disappearance of private industry would certainly place an insuperable obstacle in the path of the revival of the crafts and arts. "Economic co-operation," says Dr. Jacks, "runs to quantity, because quantity is something that can be proved to everybody's satisfaction; meanwhile quality, which is incapable of proof, is apt to suffer."[36] I am not quite sure whether this will always be true, but it is certainly true to-day –at any rate so far as the crafts and arts are concerned –for it seems to be absolutely impossible to forge any permanent link between them and any form of collective activity at the present time, in spite of ^the

[36] *From the Human End*, by L. P. Jacks.

constant efforts that are made to overcome the difficulty. It may be argued that if Regulative Guilds were established and prices fixed, the difficulty would disappear. But I am not quite sure whether such would be the case, for the difficulty is psychological as well as economic, and it is possible that if the economic difficulty were removed the psychological difficulty would remain, because in the absence of private industry the more enlightened minority would be powerless against the blind majority into whose hands the control of administrative machinery would fall. Viewed in this light, the problem of the arts presents itself finally not as a problem of taste but of power. It is the problem of keeping open an avenue for their revival, and my fear is that if Producing Guilds become too widely established before the arts are revived all such avenues would be finally closed. For if bad traditions of design and workmanship once get into such guilds, as seems inevitable to-day, there will be no getting them out again apart from outside influence. This is one of the many reasons why I feel that Regulative Guilds should come first.

XVI. Property and Function

A consideration of the problems of management and control naturally leads to a consideration of those of property, for the two are so inseparably bound up together that any attitude we adopt towards the one inevitably affects our attitude towards the other. Socialists have been perfectly consistent in maintaining that the abolition of the private ownership of property involves the abolition of private management of industry. In the same way an acceptance of the private management of industry involves an acceptance of the institution of private property.

The reason for this is not far to seek. The private management of industry involves the recognition of the principle of private property, because in the long run it is impossible rightly to perform any function apart from the personal independence that the possession of property gives. The truth of this is illustrated by the changes that have taken place in the spirit and conduct of industry since the spread of limited liability companies. Prior to their getting possession of industry, the financier without technical experience had little or no footing in production. On the contrary, the control and ownership of industry was in the hands of men who invariably understood the practical and technical side of industry in addition to its business side; for most capitalists were men who had risen from the ranks. But with the spread of limited liability companies, the ownership of industry was taken out of the hands of the men who had technical knowledge of it and placed in the hands of shareholders who had no such knowledge. Thus the spirit and conduct of industry was completely changed. It is true that before the days of limited companies there was plenty of profiteering in industry. But side by side with profiteering there existed a certain pride in the work produced, a certain craft spirit prevailed, for everything was not sacrificed to profits. If men loved profits, most of them also valued their reputation for

producing a good article and for fair dealing. And, where they did not suffer from foreign competition, whether or not a man lived up to a standard was largely optional with him. But limited companies have changed all this. The shareholders in whose hands control is finally vested do not share the craft traditions of the manufacturer who rose from the ranks. They are only interested in extracting out of an industry as much profit as possible for themselves. This has been followed by a transfer of the control of industry from the hands of men with technical experience into the hands of financiers, touts, and salesmen, who have subordinated technical men to themselves. The change has exercised a most demoralising influence upon industry, for experience proves that such men cannot manage industry. On the contrary, all they can do is to exploit it, which is a very different thing. For good management means, among other things, the prevention of waste. But since financiers and salesmen have come into control, waste has been constantly increasing. In the long run this must bring disaster to limited liability companies. though in the meantime they manage to put off the evil day by rings and combines of all kinds, which keep up the prices.

The reason for this constant increase of waste is to be found partly in the fact that limited companies, by their control of capital, have brought into existence organisations so large as to become almost unmanageable, and partly because the managers, who, as a rule, are financial men without any technical training, do not know how to make appointments on the technical side. Being without the inside knowledge that comes with technical experience, the managers can only judge men by appearances. In consequence, promotion in large commercial organisations no longer goes with doing good and valuable work, for that is hidden from the eyes of the managers; but with toadying to men in position; with maintaining a certain bluff, an appearance of doing things, but not with actually doing them, which is much more likely to lead to trouble by incurring the jealousy of "duds" in high places; with managing things in such a way so as to secure the credit for oneself for things that are successful and to shuffle off responsibility for failure on to the shoulders of others. This is not difficult in large organisations, for it is generally impossible except for those actually on the job to know exactly for what work any particular individual is responsible. There are, of course, exceptions to this rule, but then there are exceptional circumstances, and an institution is to be judged by its norm and not by its exceptions. No one who has ever worked inside a large commercial organisation will deny that success goes to the bounder, to the man who studies the game rather than the work. And it is because of this that limited companies have demoralised industry; for when men began to find that competence was not rewarded and honour not appreciated, all the old incentives that gave a morale to industry were gone. There was no one left to set a standard.

For these evils nationalisation is no remedy; for though the element of profit-making would be removed if the Government took over industry and property, yet the divorce of function from ownership, which is the central evil of limited companies, would remain, while certain other evils which are peculiar to State activities would be added. Such being the case, it is apparent that the remedy

demands among other things the restriction, if not the abolition, of limited companies, and such a redistribution of property as would unite again function and ownership. And here it is necessary to observe that the remedy proposed by the Douglas Credit scheme, which professes to be a form of Distributivism, would be no remedy at all, even if it were practicable, which I am assured it is not, since a scheme that provides "dividends for all" would perpetuate the divorce between function and ownership. And so long as that remains there can be no restoration of the morale of industry.

But to reunite function and ownership involves the acceptance of the principle of private property. And as we found in the case of private management that the wise course was to accept the institution whilst protecting society against its abuse by superimposing over industry a system of Guilds, so I am persuaded that the right treatment of the problem of property is not to be found in the abolition of private ownership, but in taking measures to safeguard society against its abuse. In this connection I feel that a limit should be placed to the rights of property in two directions. There should, in the first place, be no private property in land in the sense that land should not be treated as a commodity to be bought and sold. On the contrary, it should be owned by the community as a whole, or by the parish, who would lease it out to individuals or groups of workers on a moderate rental. An arrangement incidentally, it is to be observed, which was advocated in the eighteenth century and from which the idea of the single tax derives. For, according to Thomas Spence, who originally made this proposal, the revenues from the rents would form the only tax from which the expenses of local and central government would be defrayed.[37] This restriction of private property is necessary because there is no doubt that the growth of economic tyrannies follows trafficking in land. And as under a system of Guilds the producer would be compelled to sell his produce at a Just and Fixed Price and to pay just wages, it appears to me that under such conditions the Socialist case against private property entirely disappears. For under such conditions the Socialist ideal would be fulfilled, inasmuch as, while the individual would be secure in the fruits of his labour, he would not be in a position to abuse his position by trespassing on the rights of others. It would, moreover, be a return to the Mediaeval principle of reciprocal rights and duties; for as no one under such conditions could hold property for any other purpose than for the performance of function, all idea of absolute property rights would disappear.[38]

The application of these principles would solve the problem of property in rural areas and in so far as small industries are concerned. It would also mitigate the evils of private ownership where large-scale production obtains to the extent of guarding the community against the abuses of property. But it would not solve the problem of how the individual worker in a large industry is to secure his share of the wealth he helps to create. Before the introduction of machinery

[37]See Beer's *History of British Socialism*, vol. i, pp. 107-8.

[38]See *The Acquisitive Society*, by R. H. Tawney, where the relation of property to function is discussed in some detail.

the problem of property was theoretically a simple one. The instruments of production were such as to interpose no obstacle to the organisation of society on a basis of equity; for when the only instruments of production were the tools of the handicraftsman, there was no technical difficulty to stand in the way of a reasonable distribution of property. On the contrary, the problem that did exist was entirely a moral one. It was the problem of inducing men to obey the moral law in the sphere of economics, of preventing men from obtaining more than their share of property. But once machinery was invented and large-scale production came into existence, the terms of the problem were changed, and the moral problem became complicated by a technical problem of ownership that has so far proved to be entirely insoluble from the point of view of the general well-being of society. It was the apparent impossibility of finding a satisfactory solution for this problem that led Socialists in the past to attempt to escape from the dilemma in which the unrestricted use of machinery involves the problem of property and ownership by demanding the abolition of all private property whatsoever. At the time this solution was first promulgated, it recommended itself as the line of least resistance. But experience is proving that to attempt the abolition of private property is to follow the line of maximum resistance; for there is no reason to suppose that the problem of industrial property will ever be solved by direct action. And as experience proves that Producing Guilds can only be successful under industrialism within very narrow limits, the problem would be entirely insoluble but for one consideration—that the unrestricted use of machinery that stands in the way of any solution of the problem of property stands also in the way of the solution of every other problem of society—of religion, law, politics, arts, crafts, organisation, currency, the family, and other social traditions. This consideration leads us to the conclusion that a precedent condition of finding a solution to the problem of property or any other social problem is to make up our minds about the place of machinery in society, for the attitude which we adopt towards it finally determines our attitude towards every other problem of society.

XVII. The Break-Up of Industrialism

In the preceding chapters we defined the principles upon which a reconstituted society should rest. While we saw that some of them were capable of immediate application, we found the problem of property an obstacle in our path, inasmuch as any solution that would relate property to personal needs cannot be harmonised with the circumstances of industrial production and *vice versa*. In these circumstances we are led to inquire whether industrialism, as we understand it, is a natural and normal development of industry with a future before it, or whether it is not a thing altogether abnormal, a blind alley from which we must retrace our steps or perish.

To this question I can find but one answer. Industrialism is a thing altogether abnormal, and for that reason has no future. Evidence in support of this con-

tention is to be found in the political and economic confusion that has overtaken the world. Modern civilisation is the creation of our industrial methods of production in the sense that apart from their invention it could never have come into existence nor be maintained. Before the War, the comfortable theory obtained that the confusion, which it was admitted had followed the introduction of steam power and machinery, was the inevitable accompaniment of an age of transition. It was analogous to the confusion of youth and would disappear before the growth of maturity. Meanwhile the increase of productive capacity was laying a foundation of material well-being in which every member of society would eventually share. The War knocked the bottom out of that breezy optimism by revealing industrialism in a different light. Confronted by the world catastrophe, the theory that industrialism and militarism were opposed in principle and that militarism, which was the mark of a lower stage of social evolution, would disappear before the growth of industrialism, which was the mark of a higher stage of social evolution, was rendered altogether untenable, since industrialism and militarism as they exist in Europe to-day are too obviously parts of the same disease, inasmuch as both are expressions of the bent given to the human mind by the worship of wealth and the cult of mechanism; while so far from industrialism making for peace and militarism for war, they give each other mutual support. For while, on the one hand, the need of industrial nations for ever-widening markets and new sources of raw material is a constant source of international friction and creates an atmosphere favourable to war, on the other it is demonstrable that war on such a prodigious scale as the late one would have been impossible apart from the whole industrial apparatus of mechanical transport, telegraphs, tinned foods, and the thousand and one other devices indispensable to modern warfare.

For a century industrialism and militarism pressed forward together towards a common disaster. Yet mechanism of itself cannot produce war. To do that it must be allied with passion. If men were to be induced to fight, if they were to be preached into the trenches, war had to be idealised. And so it came about that the sordid realities behind the War were carefully concealed from the popular eye, while it was loudly proclaimed that the War was a war to end wars, it was to make the world safe for democracy. But figs do not grow on thistles in spite of journalistic enterprise. Once the War was well on the way, rampant profiteering broke loose, and the suspicion gained ground that the War was not being fought to make the world safe for democracy, but to make it safe for plutocracy. At any rate, by the time the War came to an end, idealism was as good as dead. The Treaty of Versailles, instead of exhibiting that spirit of magnanimity which might have paved the way to universal peace, provided only another illustration of the dictum of Herodotus that "revenge is the one law of history," since so far from measures being taken to prevent another catastrophe, it sowed the seeds of further trouble. The League of Nations was instituted to keep up appearances, but the passions that the War had let loose craved satisfaction, and they found it in a peace that has proved to be no less disastrous than the War, to victors as to vanquished.

It is easy to see how all this came about. There were tv/o, and only two, possible post-war policies to be pursued. Either the economic problem that had led to the War was to be faced or it was not. If it was, then the whole problem of industrialism, of the unrestricted use of machinery, of usury, and the speculation in prices would have to be dealt with and the social and economic reconstruction of Europe undertaken from its very basis; for nothing short of this would have sufficed to lay the foundations of universal peace. But it was not to be expected that the statesmen, politicians, financiers, and others into whose hands the arrangement of peace terms fell would voluntarily undertake such a task. To have done so would have demanded of them a measure of self-sacrifice that we associate with the lives of the saints and is altogether incompatible with the struggle for power which is the central motive of their lives. It was not therefore surprising that they chose the other alternative, which at the time appeared to them the line of least resistance, and attempted to prop up the credit of the Governments and industries of the Allied nations by making Germany pay. But experience has proved that in spite of the Treaty of Versailles it is easier said than done; for while on the one hand the only way by which Germany could possibly pay the indemnity is by increasing her export trade-the one thing which we at any rate don't want; on the other, it has become apparent to even statesmen and financiers that a solution of the economic problems of the world cannot be postponed indefinitely. Hence it has been that one international conference after another—at Washington, Genoa, and the Hague—has been held in attempts to undo the mischief that was done at Versailles and to get at grips with the economic situation. Each in turn has been hailed as the liberator, yet each and all have ended in disappointment, for each in turn has found itself at the mercy of circumstances too powerful for it. Exactly how it will all work out it is impossible to foresee. But at the time of writing France has played her last card and seized the Ruhr, and having played it she is somewhat perplexed as to what to do next; for it is already evident that she is going to lose rather than gain by the adventure. The failure of this policy must end in the defeat of the Conservatives, who since the War have governed France, and if reports are to be trusted it will in all probability be followed by a violent reaction towards the Left, which would seem to be the logical outcome of the situation; for the disillusionment will be absolute.

Should such prove to be the case, and a Communist or democratic rising take place, the cause of peace will be enormously strengthened, for France, which since the War has been the storm centre of Europe, will have come into line with the rest of the Continent. It will complete the movement against all constituted power and authority that has taken place in nations that before the War had adopted conscription, which began in March 1917 with the successful Revolution in Russia, and led to the assumption of power by the Bolsheviks. The Bolsheviks, as all the world knows to-day, were followers of Marx, and they attempted to reorganise Russian society on a communist basis according to the social theory that Marx had enunciated. According to that theory, the social revolution, when it did come, would be the culmination of a long process of

industrial evolution when the mass of the people having become separated from any ownership of the means of production would become class-conscious and, suffering from increasing privations and unemployment, would rise and overthrow the capitalist and ruling class, take possession of land, capital, and the means of production and exchange, and organise society for the benefit of all, instead of for the few. But Russia, where the flames of revolt were first kindled, is not a highly industrialised country, while the immediate cause of the revolution was military defeat rather than any issue connected with the economics of industry. The consequence was, though the Bolsheviks found themselves in power because they were the only people in the crisis who were prepared to act with energy and determination, the social theory in which they put their trust had no relevance whatsoever to the actual situation with which they were confronted; but being persuaded that communism was impossible apart from a highly developed industrialism, they set to work to industrialise Russia, in order, as they imagined, to render stable the communist organisation which simultaneously they sought to establish. But instead of rendering communism stable as they had intended, their activities resulted in provoking a reaction against both industrialism and communism which ended in a complete defeat of their policy.

The immediate cause of the defeat of the Bolshevik policy, as all are well aware, was the famine of 1921. But the ultimate cause lay much deeper and is connected with the failure of the Bolsheviks to understand the psychology or to enter into the point of view of the Russian peasantry. The Russian peasant is Mediaeval, he is religious and traditional, he has the sense of the soil, he shared in a common life. In fact, he enjoyed in some degree the very things that Socialists are supposed to be after. But the Bolsheviks, with their eyes on the future, and their misunderstanding and contempt of the past, with their belief in industrialism, their materialist philosophy, and their anti-religious spirit, failed to see that the foundation was there for them to build upon. Being orthodox followers of Marx, they believed that the small farmer and peasant proprietor were doomed to disappear in obedience to some law of social evolution which never works out as expected; and so, instead of seeking to shape the traditions of the peasants to more communal ends by the organisation of agricultural Guilds to maintain Just and Fixed Prices, they set themselves against the peasantry from the first. They attacked their religion, while they sought to effect an immediate transition to complete communism by demanding that the peasants should relinquish any claim to benefit individually by the results of their labour. The result of it was that the peasants, finding their surplus produce requisitioned, while all they got in exchange for it was paper money which would not buy for them any of the things they needed, curtailed their production. They began to produce no more food than was necessary to satisfy their own personal needs, with the result that when in 1921 the drought came upon them they had no reserves to fall back upon and famine overtook them. It was this that led to the defeat of the economic policy of the Bolsheviks.

In a speech delivered to the Russian Congress of Local Organisations for Polit-

ical Enlightenment in October 1921,[39] Lenin frankly admitted the failure and defeat of the economic policy of the Bolsheviks, which he attributed to their mishandling of the peasants and failure to create personal interest. So far from having abolished capitalism and established communism in its place, he confessed that they had been driven by the force of circumstances to reinstitute private property except in land and to open the door for the re-entry of foreign capitalists into Russia, without whose aid they could not get along. The whole future of Russia resolved itself, in Lenin's opinion at the time, into the question as to which party would get the upper hand; whether the capitalists would succeed in organising themselves, in which event they would drive out the Bolsheviks, or whether the Bolsheviks, with the support » of the peasants, would succeed in holding the capitalists in check.

Events, however, were to prove that Lenin was again mistaken, for the thing that has happened is a thing that he never even remotely suspected. For the upshot of it all is that, having broken the power of the Bolshevik regime, the peasants have conquered. All over Eastern Europe the Red International is being succeeded by a Green International. Political parties are outbidding each other for the support of the peasantry. The large estates have been broken up and the peasants have got hold of the land, with the result that while urban populations are being reduced to starvation the rural populations are becoming prosperous. And this shifting of the centre of political and economic gravity is being accompanied by the emergence of the peasants' point of view, which is manifesting itself as hostile to industrialism. The peasants, we are told, express their abhorrence of it by crossing themselves three times whenever they speak of the town or the factory.

This attitude of the peasants towards industrialism I believe to be a perfectly healthy, natural human instinct, and full of promise for the future. But to most of the writers in the *Manchester Guardian* Special Supplement on "Reconstruction in Europe," to whom I am largely indebted for my information on this subject, it is different. They can see nothing in the rise to power of the peasants but the complete destruction of all human culture, since to them, with their love of industrialism, it is the deluge. That immediately the rise to power of the peasants may exercise an influence detrimental to modernist culture is not, I think, to be denied; for it is not to be supposed that the peasants will be more discriminating in their hatred of modernist culture than our intellectuals have been in their hatred of the Mediaevalist culture of the peasants. But this does not mean that all culture will disappear, but that its centre of gravity will be changed from modernism to Mediaevalism. The modernists have no right to complain. They are being defeated by the peasants because the peasants have a grip on reality which they have not. Their defeat is the nemesis of their intellectual insincerity, of their contempt of reality, their denial of religion, and their persistent refusal to face the facts of our industrial system. And because of this the change in the centre of gravity from modernism to Mediaevalism is all

[39] *Labour Monthly*, December 1921.

to the good. Before any further human advance is possible it is urgent that the balance between town and country, between man and the machine, should be restored. As our intellectuals, in common with the vast majority of the modern world, are entirely blind to the necessity, deceiving themselves with fine phrases about progress and emancipation which mean nothing, it is in the nature of things that the initiative in society should be transferred to others.

XVIII. The Quantitative Stadard

In a sane and rational society, it may be assumed that the use to which a force of such unknown potentialities as that of steam power and machinery should be put would have been a subject of serious deliberation. Its discovery would have been followed by a patient and exhaustive inquiry into the probable social, political, and economic effects of its application, and if its use was permitted it would, in the first instance, have only been sanctioned for experimental purposes, while its reactions would have been carefully watched. For though the undoubted advantages of machinery would have been recognised, men would not have closed their eyes to the perils to society which might follow the liberation of such an unknown power. But though the advance of machinery in its early days appears to have been viewed with some suspicion and hostility by the workers, because it threatened to displace their labour, no such apprehensions of danger appear to have been felt by those in authority, who apparently from the start took the unrestricted use of machinery for granted. The eighteenth century was an age of economic individualism, and as there was plenty of money to be made by using machinery no other consideration was allowed to stand in the way of its unrestricted use. And so it was that society plunged light-heartedly into the perils of industrialism, with little thought as to the future. Owing to the fact that there was a big market demanding goods in America, the economic effects of machine production were not immediately felt. But about the year 1806 supply began to get ahead of demand, and the displacement and depreciation of labour by machinery began. This upset the wage system—that is, the distribution of purchasing power by means of payment for work done—precipitating an economic crisis. The rational thing to have done would have been to restrict the use of machinery so that it did not interfere with the wage system or any other of the social and economic traditions of society. But rational ideas had no particular appeal for that age of reason, and any hopes of a rational solution were destroyed by the action of the Government in suppressing the Luddite riots in the year 1811.

For what happened was this. *Henceforth the only way of keeping men in employment was to increase the volume of production with each new labour-saving invention.* This is the key to all subsequent economic development, frustrating all efforts to stabilise industrialism. For there is a limit to the possibilities of increased production. Increased production involves expanding markets. As capitalists refused to allow labour to share in the increased productivity that

machinery brought, they were compelled to be going ever farther and farther afield in their search for markets to dispose of their surplus goods, while at the same time they created competitors for themselves. For no nation can afford to be a consumer of machine-made goods indefinitely. The suction would drain its economic resources. Hence it was that one nation after another that was once our customer was drawn into the vicious circle of industrial production and became our competitor for markets. But such a process could not continue indefinitely. A time comes when there are no new markets left as dumping grounds. When that point was reached, as it was in the decade before the War, competition rapidly increased in intensity, until at length the breaking point was reached, and the economic crisis arrived in Germany that precipitated the War.

As always happens in times of great crisis, there are immediate causes as well as ultimate ones, and the world sees only the immediate cause and ignores the ultimate one. Thus the immediate cause of the economic crisis in Germany that precipitated the Great War can be traced to the Balkan War, which closed the Balkan markets to her, and to the fact that after the Agadir crisis of 191 1 the French capitalists withdrew their loans from Germany, and to the failure of the German system of credit banks. But the ultimate reason why the crisis made its appearance in Germany was that, more than any other nation, she had forced the pace of competition. In the fifteen years before the War Germany had quadrupled her output. She had increased her use of machinery to such an extent that production was no longer controlled by demand, but by plant. Excessive specialisation had brought into existence a state of things in which it was necessary for financial reasons to be working always at full pressure. No machine could be stopped nor any furnace damped down, or the overhead expenses, which could not be reduced proportionately, would eat up the profits and bring the whole industrial organisation crashing down, precipitating national bankruptcy. Thus it came about that production got ahead of demand, and a day came at last when all the markets accessible to Germany could absorb no more of her goods. Hence the War. Germany thought that by making herself militarily supreme she could, by means of indemnities, restore her finances, get access to new markets and supplies of raw materials, thereby relieving the pressure of competition that had brought bankruptcy to her industries. The same cause led to her demand for colonial expansion and to destroying the towns and industries of Belgium and Northern France. They had all one object in view—to get more elbow-room for German industries. And if Germany had succeeded, as she expected, in bringing the War to an early conclusion, there can be little doubt but that she would have gained a temporary respite from the economic troubles that the pursuit of a quantitative standard in production had brought upon her. But the respite could only have been temporary, for the central problem remained just where it was, and would have brought a new crisis in a decade or so later.

If discussion on economic questions had not been boycotted by the Press, it is possible that when, before the War, it became evident that the industrial

system had reached its limit of expansion because there were no new markets left to exploit, discussion on this issue would have engaged popular attention. But as all discussion on real issues had for some long time previously been suppressed as highbrow talk, there grew up that maze of false issues that created an atmosphere favourable to war. By creating a demand for munitions, the War relieved the pressure of competition that had followed the exhaustion of markets, and this postponed the reaction by giving the industrial system a new lease of life. Nowadays the reaction can no longer be postponed, because the exchanges are dislocated and the markets are shrinking. It is no longer possible for any country to recover economic prosperity of a kind when her industries begin to suffer from the competition of machine-made goods by embarking on an industrial career, and dumping her surplus goods upon other countries that are not yet industrialised, as was the custom throughout the nineteenth century. Hence the reaction against industrialism in India and Eastern Europe, and the various boycotts of European manufacturers in the East that from time to time are whispered in the Press. Such boycotts are inevitable. Insistence upon the purchase of native manufactures presents itself as the easiest way of providing a livelihood for men who are out of work and starving because of the competition of foreign manufactures. In countries where the handicrafts have not disappeared the issue of machine production is as clear as it was to the Luddites, and we are up against the consequences of the refusal of our forefathers to face that problem. The problem of machinery and unemployment that confronted the Luddites was not solved, as the school histories taught us and the average Englishman supposes, but evaded. The unemployment was transferred from Lancashire to India. And the means employed to effect this transference was to suppress the importation of Indian goods to England by the imposition of prohibitive duties, and to encourage the export of British goods to India by the imposition of an excise duty upon Indian goods. By such dodges industrialism was propped up, while the average Englishman, ignorant of how it was done, came to live in a fool's paradise, attributing our national prosperity to the blessings of Free Trade.

I said that the problem that confronted the Luddites was not solved. In those days it was small and manageable. Nowadays the problem is universal, as the fact that every country is perplexed by an unemployed problem bears witness. Nor is the working class the only class that nowadays is feeling the pinch, for unemployment is becoming almost as much dreaded by the upper classes as the lower. "What are we to do with our sons?" is the plaintive wail that recently went up in the columns of *The Times* from members of the class accustomed to send its sons to public schools. And no answer was forthcoming, nor will there be one until as a nation we repent for our misdoings and have the courage to face the problem of machinery. Meanwhile attempts are being made to evade the problem of unemployment by the advocacy of emigration. But to where? we may reasonably ask, for there is no country in the world that has not got an unemployed problem of its own. That in any reconstruction of society the emigration of a part of our population will be necessary may be true; for as

the world market is contracting, our industries will not in the future be able to provide so much employment as hitherto. But as an isolated proposition, as a means of escape from the problem caused by the displacement of labour by machinery, it is mere futility, since just to the extent that it relieves the burden of unemployment here, it will intensify it elsewhere.

The unemployed problem must remain insoluble until the problem of machinery is faced. Nowadays, when not only are there no more new markets available as dumping grounds, but boycotts are being organised against industrial wares in the East, it follows that each new labour-saving invention must tend increasingly to displace manual labour, and this reacts to overcrowd the professions by reducing the number of jobs at which it is possible to earn a living. And so the problem of machinery demands of us a solution, for the system of distributing purchasing power by means of payment for work done is clearly breaking down. But it is not the only thing that is breaking down as a result of the misapplication of machinery, for, as a matter of fact, every other institution in society is breaking down for the same reason. All our social and economic traditions are in a state of disintegration. And as all these problems are organically related to each other, it will remain impossible to effect a change or reform in one department of activity apart from the abolition of the subdivision of labour and a restriction of the use of machinery, which are at the root of the trouble.

Such considerations would be sufficient to convince us that industrialism is a blind alley from which we must retrace our steps or perish. But there is a further consideration which leaves no room for doubt that the days of industrialism are numbered; and that is the rapid exhaustion of easily accessible sources of supply of raw materials of all kinds. Before the age of machines the inroads made by man on irreplaceable material were moderate, and offered no menace to posterity. But the machine has an insatiable appetite for fuel and minerals of all kinds, the supply of which is limited, and which are being used up at an alarming rate.[40] And this fact, by necessitating new sources of supply to keep our machines running, has become a perpetual menace to peace. Hitherto our industrial wars were undertaken to open up new markets to dispose of our surplus production—itself a consequence of our refusal to regulate machinery. In the future, if the situation is not faced, we shall have wars for raw materials. Since the Armistice, oil has become of ever-increasing importance as a factor in world politics, determining the course of diplomacy, and, in the most literal sense of the word, making history. The industrialised nations, having become increasingly dependent upon oil as a motive power, must have sources of supply. As existing supplies are becoming exhausted, a titanic struggle is proceeding

[40]In an interview given to the *Daily News* (December 14, 1922) by Sir Edward M. Edgar on his return from America, he said: "In all the years I have known America I have never been so struck as during the past two months by her prodigality… The American demand for metals, cotton, and oil is so insatiable, and is so rapidly increasing, that a world-wide shortage of these commodities is inevitable… You can hardly name one of the big staples of industry that they are not literally devouring… There is bound to be a sharp halt in American progress; there may be something like a collapse."

behind the backs of the politicians between American and British interests for the possession of new oilfields, and Governments and peoples are being dragged into the quarrel.[41] But why? Because the modern world will not face the facts of industrialism, because men fail to see any connection (for example) between war and the increase of motor transit. The world, it would appear, is determined to use motor transit more than ever. Yet it is estimated that the known sources of the supply of oil will be exhausted in twenty-five years' time at the most. It is possible, of course, that new sources of supply or some other motive power may be discovered in the meantime. But supposing they are not, where shall we be then? There can be but one answer. Civilisation must collapse, for it will be impossible to breed horses so rapidly as to effect a speedy return to horse transit. Yet Socialists and other reformers are entirely uninterested in this question, on which the whole future of civilisation depends. On the contrary, all they can see in the great struggle for oil is a reason for abolishing capitalism, on the assumption, apparently, that if only Socialism were established oil would be as plentiful as water.

To anyone who will take the trouble to think, it must be apparent that this "rake's progress" which we dignify by the name of "industrial expansion" must come to an end, if not by one means then by another. If not by wisdom and forethought, by renunciation and repentance—then by the sword, by more wars and famine and pestilence. For there can, I think, be no doubt whatsoever that the proximate cause of the War and the troubles that have followed it are to be found in the quantitative standard of industrialism, which, obliging each nation that adopted machine production to pursue a policy of political and economic expansion, inevitably brought it into collision with other nations pursuing the same ends. If the world had any sense of political and economic reality it would long ago have frankly recognised this fact. It would have faced the fact that military warfare in these days has its roots in economic warfare, which, in turn, is the consequence of the quantitative standard of production, and that the restoration of peace to the world is finally dependent upon the abandonment of the quantitative standard and its replacement by a qualitative one. But unfortunately this lesson which the War should have taught us has been entirely disregarded, and instead of boldly facing the problem, all our Conservative politicians and industrial magnates can think about is how to stick to what they have got; and all the Socialist and Labour politicians can think about is how to dispossess the capitalists; for neither party exhibits any interest in the problem of industrialism which lies behind both Conservative and Socialist politics, and which determines the activities of both. And if we search for the cause of this extraordinary phenomenon, I think we shall find it in a certain separation of men from reality that has followed the pursuit of the quantitative standard. The quantitative standard results in over-specialisation, and this in turn results in a loss of adaptability. Among all the symptoms that point to the break-up of the modern world, .1 think that this loss of adaptability

[41] See *Oil: Its Influence on Politics*, by Francis Delaisi (George Allen & Unwin, Ltd., 2s. 6d.).

is the most ominous. It suggests that industrial civilisation is not the fittest to survive.

In a recently published book an American writer, Mr. R. A. Cram, has some interesting things to say about the consequences of the quantitative standard. "It is indeed," he says, "not only the nemesis of culture, but even of civilisation itself. Out of this gross scale of things come many other evils; great States subsisting on the subjugation and exploitation of small and alien peoples; great cities which, when they exceed more than 100,000 in population, are a menace, and when they exceed 1,000,000 are a crime; subdivision of labour and specialisation which degrade men to the level of machines; concentration and segregation of industries, the factory system, high finance and international finance, capitalism, and the international standardised education; metropolitan newspapers, pragmatic philosophy, and churches 'run on business methods' and recruited by advertising and 'publicity agents.'

"Greater than all, however, is the social poison that affects society with pernicious anaemia through cutting man off from his natural social group and making of him an indistinguishable particle in a sliding stream of grain. Man belongs to his family, 'his neighbourhood. his local trade or craft guild, and to his parish church; the essence of wholesome association is that a man should work with, through, and by those whom he knows personally—and preferably so well that he calls them all by their first names. As a matter of fact, to-day he works with, through, and by individuals whom he probably has never seen, and frequently would, as a matter of personal taste, hesitate to recognise if he did see them… The harsh and perilous division into classes and castes which is now universal, with its development of 'class consciousness,' is the direct and inevitable result of this imperial scale in life which has annihilated the social unit of human scale and brought in the gigantic aggregations of peoples, money, manufacture, and labourers, where man can no longer function either as a human unit or an essential factor in a workable society."[42]

That such things are evil is nowadays generally admitted. Yet it is not everyone who connects them with the quantitative standard of industrial production which has been the forerunner of the adoption of the quantitative standard in other departments of activity. On the contrary, the majority of reformers look upon these evils as incidental to a time of transition and capable of reform by external measures, and fail entirely to see that they are organic with the structure of modern society and are involved in its activities. Nor can there be a remedy for such evils so long as the quantitative standard is accepted. Quantity up to a certain point we must of course have, but we must break with the theory that exalts a standard of quantity as the final test of industrial righteousness and substitute for the idea of "maximum production" the conception of a "sufficient production," since so long as we accept the quantitative standard a time will never come when we have produced enough. Appearances will always be against a return to sanity, because when production proceeds beyond a certain point

[42] *Towards the Great Peace*, by R. A. Cram, pp. 59-61 (George G. Harrap & Co.).

it creates gluts which upsets distribution; and by upsetting distribution competition is increased and unemployment and poverty is created. The widespread existence of such poverty in turn lends colour to the demand for still more production on the assumption that our primary trouble is an insufficiency of productive power rather than the fact that by allowing production to run riot we have broken down the system of distribution. Our economic system is suffering from a kind of chronic indigestion consequent upon something that might aptly be called "industrial gluttony." For just as the glutton, because he eats too much and fails to profit by the food he consumes, comes to crave for more food, so we, because we produce too much, fail to profit by our vast production and call out for more production as the remedy.

Yet if more production is our need, the mystery is however in the past people managed to exist at all? For if, with productive power increased a hundredfold, the masses of people are still in poverty, the existence of human beings on this planet before the introduction of machinery is a fact impossible of explanation, while the further fact that all available evidence goes to prove that the mass of people in the fifteenth century were, as regards the necessaries of life, infinitely better off than they are to-day[43] suggests that we live in a madhouse, which is perhaps not far from the truth. There never was a civilisation in which appearances and reahty were so far apart, and where appearances count for so much and reahty for so httle. It is this central fact in our civilisation that makes cataclysms inevitable; for when men put their whole faith in appearances, the brutality of facts alone can secure a respect for reality.

Meanwhile, the real facts of the situation are concealed from us by statisticians, who, instead of giving an account of wages and prices from the Middle Ages onwards to the present day, which would effectually expose the fallacy of the maximum productionists, invariably make the end of the eighteenth century the starting point of their calculations and analyses. On this basis they are able, on the whole, to demonstrate a slight rise in the standard of comfort of the working class, continuing until the middle of the nineties, when, for some reason they cannot explain, it begins to fall. By such means they are able to evade the inconvenient question as to why the standard of comfort at the end of the eighteenth century had fallen, as compared with the fifteenth century, in spite of the largely increased productive power. The answer to this question gives the clue to the situation, viz. that the fall was due to the unjust policy which separated the people from the land and to the defeat of the Guilds, which left the people without protection against exploitation. From this point of view it would appear that the demand for increased production was, in the eighteenth

[43]The wages of the artisan during the period to which I refer (the fifteenth century) were generally, and through the year, about 6d. per day. Those of the agricultural labourers were about 4d. I am referring to ordinary artisans and workers… It is plain the day was one of eight hours… Sometimes the labourer is paid for every day in the year, though it is certain he did not work on Sundays and principal holidays. Very often the labourer is fed. In this case the cost of maintenance is put down at from 6d. to 8d, a week. Food was so abundant and cheap that it was sometimes thrown in with the wages (*Six Centuries of Work and Wages*, by J. E. Thorold Rogers, pp. 327-8).

century, advanced as a policy for evading the problems brought about by social injustice. Just as in our day for precisely the same reason the demand for increased production was revived during the War, and Socialists, misled as usual by appearances, fell into the trap; for being destitute of any such conception as that of "a sufficient production," which is the necessary corollary of the qualitative standard, they had no position from which to attack the heresy.

Among all Biblical incidents the displeasure of God which David incurred by numbering Israel is one of the most cryptic. But the modern world offers a most illuminating commentary on it, for we can see only too clearly to-day how manifold evils have their origin in a prepossession with numbers. When men are so prepossessed, statisticians get to work, and they rule out as imponderable everything that cannot be weighed or measured. And as everything that finally matters in life cannot be reduced to the terms of one or the other, it comes about attention is diverted from the things that matter to the things that don't, and all quality is thrust out of life. For the same reason the quantitative standard of production has proved itself to be destructive of all sense of quality. It is no accident that the arts are to-day being destroyed. They cannot live in a world of quantitative standards.

XIX. Machiner and the Subdivision of Labour

If we are agreed that the quantitative standard of production is incompatible with social and economic stability, it follows that everything that is most fundamental in our industrial system is called in question. If it will not be necessary to abolish entirely the use of machinery, it will at any rate be necessary to get it into subjection, and this involves among other things a considerable curtailment of its use. As to this necessity, Professor Lethaby has some interesting things to say which will bear quotation.

"The question of machinery," he says, "is one that troubles many minds, as well it may. At times I am drawn to the belief that machinery, gunpowder, electricity are too astounding powers for feeble-willed men to control; indeed, it is quite thinkable that machinery is the wrecking force in the world, which will, in fact, be shattered by it. But some will say, 'Machinery has come to stay.' That may be true. Drunkenness seems to have come to stay, but we have at least to try to control it. Machine production has, in fact, swiftly changed the character of our population; and whereas, not many generations ago they were mostly craftsmen—that is, little artists—they are now an aggregate of machine tenders, under gangers. These are the sort of facts which political economists never foresaw. Machinery is such a mighty power that it must be controlled. No single individual should fire off a powerful machine for his own profit, any more than he should work a cannon in Oxford Street to the terror of all well-doers. The owner of machinery must be licensed to shoot. In truth, machinery is the artillery of commerce, and it must be controlled by wise generalship. We have as much right to control any form of machinery as we have to protect

ourselves from firearms… No one should be allowed to pass into 'brain work,' such as stockbroking, without his year of manual drill; and others—Members of Parliament, architects, and all kinds of pastors and teachers—should, I think, be asked to have two years to show their good faith. If there were this basis of actual experience, then perhaps we might hope to control the machines before they tear civilisation to bits."[44]

Suggestive as are Professor Lethaby's words, they yet provide us with no definite standpoint from which the problem of machinery may be attacked. And the reason for this, I submit, is that the primary evil is not to be found in machinery qua machinery, but in the subdivision of labour, which conflicts with the claims of human personality. The subdivision of labour preceded the invention of the steam engine and determined the particular mode of the application of machinery. From this it follows that if the quantitative standard is to be replaced by a qualitative one, our attack must not be directed primarily at the use of machinery, but at the subdivision of labour. Abolish it, and most of the evils we associate with the use of machinery would automatically disappear, while such other evils as remained could be easily dealt with.

But what do we mean by the subdivision of labour? We mean measures taken to increase the volume of production by the splitting up of a craft into a number of separate processes which reduce the worker to the position of an automaton or living machine when his working life comes to consist in repeating, thousands of times a day, some simple mechanical movement, like turning a screw. It is this splitting up of a craft into a number of detailed processes that differentiates the subdivision of labour from the division of labour. The latter is a natural and legitimate development, for it increases the possibilities of human development, while apart from it no civilised society could exist, for in civilised society no man can supply all his own needs. The specialisation of men into different trades coincides with the emergence of civilisation. One man becomes a carpenter, another a weaver, a third a smith, and so forth. But the subdivision of labour is not called into existence by the desire of men to live a civilised life, but by the desire for profits. It dates from the seventeenth century, the classical example being that eulogised by Adam Smith in *The Wealth of Nation*s—namely, pin-making, in which industry it takes twenty men to make a pin, each man being specialised for a lifetime upon a single process.

In these days the subdivision of labour is associated with the idea of "mass production," and has received a further development in the idea of "scientific management," which is to be differentiated from the subdivision of labour by the fact that, whereas the latter seeks to increase the volume of production by splitting up a craft into a number of separate processes, the former attacks the man direct, endeavouring to secure a larger output by the elimination of such motions of the arms, legs, and fingers as do not contribute directly to the process of manufacture. As such it completes the dehumanisation and despiritualisation of labour begun by the subdivision of labour.

[44] *Form in Civilisation*, by W. R. Lethaby, pp. 220-4.

The evil inherent in such methods of production is not merely that they result in periodic gluts and unemployment, and lead inevitably to wars, but that such increased productivity is brought about entirely at the cost of the individual labourer. In the simpler days before the advent of the subdivision of labour and large-scale production, there was not the separation between the brain and the hand that there is to-day. The worker helped to plan and design the work which with his skill and strength he helped to carry into execution, even when he was not his own master and able to sell his productions direct to the public. Working under such conditions, a man found his work a means of expression; and because of this, work as a rule was the central interest in his life, providing him with a base for his culture; for craft culture may be as real a thing as book culture. But such a condition of work is a thing of the past. Under the factory system all sense of fine personal creation and fine craftsmanship, all art and ingenuity disappear. All that is left for the worker is the monotonous details that inventive genius has been unable to design a machine to do. As the process of manufacture is carried to a higher and higher degree of mechanical perfection, the task of the worker becomes increasingly that of a deadly routine against which all his subconscious instincts rebel; for the human organism is not adapted to work of this kind. The first step in this process of degradation was taken when the subdivision of labour was introduced. It broke the worker into a fragment of a man, turning him into a mere cog of a machine, and destroyed in him all interest and pleasure in work by condemning him to a life of drudgery that operated to stultify and atrophy his natural faculties. Thus the subdivision of labour came to mean barren monotony for millions of men, deadening their imagination and robbing them of all sense of creative joy. It cuts at the roots of human development, thwarting the creative impulse which is inherent in man, for under such conditions of labour culture can no longer come to a man through his work, as it came to the Mediaeval craftsman; and as culture through vocation is for the great mass of men the only means of approach, it follows that it is vain to attempt to build up by evening classes and free libraries what the day's work is for ever breaking down. Men who are degraded in their work have no taste or inclination for such a superimposed culture. For culture to be real must be a part of the life that a man lives, and the only culture that can be made a part of the life of the industrial worker is finally the culture of Bolshevism and the class war, for class warfare is the only activity that can have any appeal to men who are denied pleasure and interest in their work.

That mechanical work has such an effect on the faculties is nowadays being recognised by physiologists, psychologists, and educationalists. Writing on the effect of drills in manual education. Dr. P. B. Ballard says: "It is well to remember that no habit is got gratuitously. The price that has to be paid is a loss of adaptability. The nervous system becomes less plastic, less flexible. All habits are due to the establishment of new pathways of discharge in the central nervous system. There is almost certainly an actual growth in the neurones. Fibrils of communication extended in a specific direction drain off a previously diffused discharge and rob other parts of the possibility of exercise. These parts

tend to become atrophied and less ready to function. But a change of external conditions may render the functioning of these weaker parts desirable. It will thus be seen that the specialised nerve growth, by monopolising nutriment and exercise, has caused a deterioration in other elements, and renders more difficult the formation of new habits. In other words, there has been a loss of flexibility."[45]

If Dr. Ballard could say this merely of the effect of drills as a part of manual education, what could he have said of a system of production which consists of nothing else? I propose, therefore, to supplement what Dr. Ballard has said by some editorial comments of *American Medicine* on the effects of scientific management:

" Working along with his partner, the efficiency engineer, the speeder-up has managed to obtain from the factory worker a larger output in the same period of time. This is done by eliminating the so-called superfluous motions of the arms and fingers—i.e. those which do not contribute directly to the fashioning of the article under process of manufacture… The movements thought to be superfluous simply represent Nature's attempt to rest the strained and tired muscles. Whenever the muscles of the arms and fingers, or of any part of the body for that matter, undertake to do a definite piece of work, it is physiologically imperative that they do not accomplish it by the shortest mathematical route. A rigid to-and-fro movement is possible only to machinery; muscles necessarily move in curves, and that is why grace is characteristic of muscular movement and is absent from a machine. The more finished the technique of a workman and the greater his strength, the more graceful are his movements, and, what is more important in this connection, vice versa. A certain flourish, superfluous only to the untrained eye, is absolutely characteristic of the efficient workman's motions.

"Speeding-up eliminates grace and the curved movements of physiological repose, and thus induces an irresistible fatigue, first in small muscles, second in the trunk, ultimately in the brain and nervous system. The early result is a fagged and spiritless worker of the very sort that the speeder-up's partner—the efficiency engineer—will be anxious to replace by a younger and fresher candidate, who, in his turn, will soon follow his predecessor if the same relentless process is enforced."[46]

But the evil does not end with the mutilation of the workers. It spreads upwards, inducing a psychical and economic reflex that brings unspeakable confusion into every department of life and activity. Immediately it replaces the old vertical social divisions, which, based upon differences of function, were flexible in their nature, by horizontal class divisions, which, based upon differences of wealth, are rigid and accompanied by a confusion of function where they are not divorced from it. Then it invades the intellectual processes, replacing the

[45] *Handwork as an Educational Medium*, by P. B. Ballard, pp. 2II-I2 (George Allen & Unwin, Ltd.).

[46] *American Medicine*, April 191 3, quoted in *American Labour Unions*, by Helen Marot.

old categories based upon conceptions of quality by categories based upon conceptions of quantity, while it encourages the growth of specialisation in every department of activity. To such a degree had specialisation in the intellectual sphere proceeded in Germany before the War that it is said that every individual became a monomaniac on his own subject, while he was largely ignorant of every other, to the detriment of general culture. For the intellectual specialist, by developing one side of his mind at the expense of the other sides, tends to lose balance, and his judgments are apt to be anything but reliable. This was the Kultur that gave to the Germans their sense of superiority over other people and was a contributory cause of the War. It would not be true to ascribe the development of specialisation in the department of intellectual activity entirely to the institution of the subdivision of labour, for the tendency existed before the seventeenth century, and is to be traced ultimately to the intellectual forces set in motion by the Renaissance, which, by substituting universality for unity as the aim of education, promoted specialisation; for as it is impossible for any single individual to be universal, with such an aim the field of thought became inevitably divided among many specialists. All the same, there is no doubt that the subdivision of labour has, by its reactions, increased this tendency, for it has created mechanical problems that favour the growth of mechanics. It reacts also to create metallurgical, physical and chemical problems. Thus natural science flourishes, and the methods of science and the prestige of science lead to their application in other departments of activity, with results that are disastrous, as the present intellectual confusion bears witness.

The end of it all is social, moral, intellectual, and spiritual disintegration. All bonds are being sundered, for things which were once united are everywhere resolving themselves into their component parts. The labourer is divorced from the soil, the arts from the crafts, personality from industry, property from function, function from responsibility, money from values, power from knowledge, knowledge from opportunity, the material from the spiritual. Moreover, specialisation leads to complexity, complexity to confusion, and confusion leads to misunderstandings and suspicions, and suspicions harden into class hatred and warfare. Thus all sense of a common tradition, of a common mind and a common life knit together by personal and human ties is dissolved. Literature and art, instead of being vehicles of expression for common and universal ideas, become expressions of the idiosyncrasies of egoists, and instead of links joining people together, become barriers to separate them. Finally, the human personality itself begins to disintegrate, for a point is reached in the development of complexity when the human mind loses all grip on the basic facts of life. The individual can no longer respond to the demands that are made on his wits and sympathies. He becomes listless, indifferent, apathetic—the fate of the modern man. Thus we see all human development is arrested. Man, by his energy, his inventiveness, and his avarice, has brought into existence a system of production that can only function at the expense of the individual and in an environment so monstrous and complex that it baffles and masters him. It is the old story of the Frankenstein monster over again. Man has created an environment that

threatens to destroy him.

Once we realise that what is popularly known as Progress is nothing less than a process of internal disintegration in which all the things that God joined together have become fatally separated, it becomes evident that the most fundamental requisite of any scheme of social reconstruction is to bring together again the things that have become divided—to abolish the subdivision of labour and the use of machinery, in so far as it serves such quantitative ends. But if the current of economic development is to be reversed, it is essential that we take our stand on the truth of the principles of Christianity, for there is no other way of replacing the quantitative standard, which involves the subdivision of labour, by a qualitative one. It cannot be done so long as men accept the point of view of Socialist and materialist economics, because the Socialist qua Socialist thinks only of the distribution of wealth. He reasons in quantities, and as the subdivision of labour increases the volume of production there is not, from the point of view of Socialist economics, any valid objection to it—the assumption being that the more wealth there is produced the more there will be to divide. That, as a matter of fact, any increase of wealth obtained by such means defeats its own ends, inasmuch as it places the workers at the mercy of capitalists, who are in a position to prevent any such redistribution of wealth, is not admitted in Socialist theory. And it can never be admitted, because it is a conclusion that can be deduced from psychology, but not from economics. Such considerations lead us to the inevitable conclusion that the clue to the social problem is to be found in psychology rather than in economics, and it is for this reason that a revival of Christianity is necessary to any solution of the social problem; for it is only when we approach this question from the point of view of personality, only if we believe in the aboriginal and imperishable worth of the individual, that we can have any grounds for objecting to the subdivision of labour. The subdivision of labour can be condemned on Christian grounds, because it treats men as economic units of production instead of as individuals with souls to be saved, but it cannot be condemned on economic grounds because it does increase the volume of production. As Christians we can maintain that any increase of wealth obtained by such means carries with it a curse, because it violates the sanctity of personality, and therefore demand its abolition. But such an argument is invalid from the point of view of Socialist theory, which approaches social questions from the point of view of the quantity of goods produced rather than from that of the quality of the life to be lived.

XX. The Foundation in Labor

The attitude that reformers assume towards the subdivision of labour is ultimately the thing that divides them into different schools of thought; for it is the thing that determines their attitude towards everything else. It is the economic issue that separates the Mediaevalists from the modernists. The Fabian Essayists, following Adam Smith, accepted the subdivision of labour as a boon

to mankind, because it increased the volume of production, whilst ignoring its moral and psychological implications, to the evils of which they were apparently blind. Ruskin, on the contrary, condemned it in language that admits of no equivocation as an unmitigated curse, inasmuch as it dehumanised and despiritualised the workers. But the attitude which is the most significant and most perverse is that of Marx; for he welcomes it with his eyes wide open, because it encourages class warfare, which he persuaded himself was the dynamic law of history.

As in a previous chapter I have dealt with the fallacies of "maximum production," it will not be necessary for me to controvert the Fabian attitude, and we may proceed to consider that of Marx, which is of fundamental importance to us. In connection with the subdivision of labour he says:

"Within the capitalist system all methods for raising the social productiveness of labour are brought about at the cost of the individual labourer; all means for the development of production transform themselves into means of domination over, and exploitation of, the producers; they mutilate the labourer into a fragment of a man, degrade him to the level of an appendage of a machine, destroy every remnant of charm in his work, and turn it into hated toil; they estrange him from the intellectual potentialities of the labour-process in the same proportion as science is incorporated in it as an independent power; they distort the conditions under which he works, subject him during the labour-process to a despotism the more hateful for its meanness; they transform his life-time into working-time, and drag his wife and child beneath the wheels of the Juggernaut of Capital."[47]

I confess that when I first read this passage it took my breath away. Before reading it I had assumed that Marx, like the Fabians, was one of those mechanically minded people who are blind to the human degradation that the subdivision of labour involves. But such apparently was not the case. For his words, which might have been written by Ruskin, testify to the fact that he was fully alive to the essentially degrading nature of such a method of production. Yet instead of demanding its abolition like Ruskin, instead of facing the problem as a clear issue between right and wrong, he was so obsessed with the idea of evolution, according to which the subdivision of labour was to be regarded as a necessary stage in social and economic development, and with the idea of class warfare which it encouraged and which he persuaded himself was the dynamic law of history, that considerations of right and wrong, of humanity and inhumanity, became in his mind matters of quite secondary importance which could not be allowed to impede the path of progress.

But truth will out, if not in theory then in practice. For it is interesting to observe that one of the causes of the defeat of the Bolshevik regime in Russia is to be found in their essentially wrong attitude towards the subdivision of labour and scientific management; for, on Lenin's own confession, failure to create personal interest was the ultimate rock on which Communism foundered,

[47] *Capital*, by Karl Marx, pp. 660-1.

though the famine was the immediate cause of failure; and there is no room for doubt that this failure was as intimately connected with the introduction of scientific management and labour conscription into Russia by the Communists as with the abolition of private property to which Lenin ascribed it. That the introduction of such methods of production and organisation would have a demoralising effect was clearly foreseen by the Mensheviks. They saw in them something that was incompatible with the Communist ideal, as we know from a speech delivered by Lenin in 1918 to the plenary sitting of the Central Executive Committee of the Soviets, when he quotes them as saying: "The introduction of scientific management and labour conscription, except in connection with the re-establishment of capitalism, cannot increase the productivity of labour; on the contrary, it will lessen labour's self-reliance and organising activities; it threatens to enslave labour, and to arouse the dissatisfaction of the most backward classes." But Lenin maintained that such would not be the case. "If it were true," he said, "then our revolution with its Socialist ideals would be on the eve of collapse… I should consider the revolution as lost if it were not for the knowledge that those who reason thus belong to a small and uninfluential group, and that no assembly of class-conscious workers would endorse such opinions… What," he asks, "has made these people forsake reality for formulas?" Yet the predictions of the "small and uninfluential group" proved to be right, as Lenin himself subsequently found out. For the Mensheviks proved to be right in believing that scientific management and labour conscription were incompatible with a Communist society, or for that matter with any decent social order.

Now the whole issue between Mediaevalism and modernism, between a Christian sociology and Socialist economics, will be found to turn on the attitude we adopt towards the subdivision of labour. If out of timidity we acquiesce in it, then I contend that disaster will overtake any efforts we may make to establish a new social order, as it overtook the Bolsheviks in Russia. On the contrary, if as Christians we demand its abolition, because of its contempt of personality, we are inevitably committed to the Mediaevalist position. For once we make such a complete break with present-day methods of production there is no stopping until we get back to the Middle Ages—anti-Mediaeval prejudice notwithstanding; for in that case we break with the empirical attitude towards social questions and take our stand on the elemental needs of human nature.

Among such elemental needs none is more urgent than this, the reform of work. If ever again work is to be honoured and respected, it must be real, wholesome work in which men can find joy and expression, and this involves the abolition of the subdivision of labour and such machinery as conflicts with the claims of personality and art. "Work," says Professor Lethaby, "as the first necessity of life, has to be recognised as the centre of gravity of the whole social structure, for everything in a sound and developing society should be seen in relation to productive work. Brain work, sciences, fine arts, may all be noble and beneficial, but only in so far as they are functions of the common society and part of a

steady development of the great body of those who toil."[48] Or, as he put it another way: "As work is the first necessity of existence, the very centre of our moral system, so a proper recognition of work is the necessary basis for all right religion, art, and civilisation, since society became diseased in direct ratio to its neglect or contempt of labour."[49]

Failure to perceive this central truth in life is at the root of the failure of reform activities of all kinds. Reformers have invariably approached social questions from the point of view of leisure rather than work, the attainment of leisure being regarded by them as a precedent condition of the attainment of all the other good things of life. Art, culture, enjoyment, opportunity—everything, in fact, that makes life worth living—being supposed to be dependent upon leisure. Hence the attainment of leisure has been made one of the immediate objectives of reform activity; the assumption being that if only leisure could be secured for the masses an atmosphere would be created favourable to the revival of art and culture.

Now on first acquaintance it may seem impossible not to support such an aim. There is no doubt whatsoever that lack of leisure is for the masses one of their greatest handicaps. Yet when we look into the matter more closely we find that, so far as the majority is concerned, the trouble is not so much that they suffer from a lack of leisure as that under industrialism their work is of such a nature that it cannot be done in a leisurely way. It is not lack of leisure, but mechanical labour that is one of the great obstructions in the path of art and culture; and it will not be removed merely by increasing the amount of time in which people are not obliged to work at all. On the contrary, so long as work remains monotonous and hurried as it is to-day, there is no reason to suppose that if leisure were increased it would be followed, so far as the majority are concerned, by any revival of interest in art and culture. They would use it in the same way that they use their leisure to-day—in the pursuit of pleasure. If people had more money and more leisure they would demand more amusements and luxurious living, the women would waste more money on dress, and the men would provide the motor- cars. Vulgarity in every direction would be increased. There can be no doubt as to what would happen; for anyone who has been to America knows only too well how industrialised citizens prefer to spend their money and leisure. It is in the nature of things that this should be so. For culture, as I have before said, is not something added to life, but a necessary part of the life a man lives. It has its basis in work. If men are turned into machines, or are engaged in occupations that separate them from primary realities, then their life is corrupted at its roots, and it would matter little if the work was reduced to four or even two hours a day, the corruption would be there all the same, and it would corrupt the leisure that accompanies it. But, as a matter of fact, there is no prospect whatsoever of the leisure of the workers being increased under industrialism, except in the form of unemployment, because the practical effect

[48] *Form in Civilisation*, by W. R. Lethaby, p. 226.
[49] *Ibid.*, p. 233.

of every increase in the use of machinery is not to increase leisure but competitive waste, and competitive waste builds up powerful vested interests that benefit by its continuance; such, for instance, as railway companies, who profit by cross-distribution, and the advertising trades, which batten on overproduction. The tendency of vested interests of this type to increase stands in the way of any reduction of the hours of labour beyond that required to produce the maximum output, and explains why in spite of the enormous increase in production the mass of workers to-day are infinitely poorer than in the Middle Ages.

Sufficient has perhaps now been said to demonstrate the insufficiency of leisure as a reformist aim, and why the centre of gravity of reformist activities must be found in an ideal of work—of work that is of a real and wholesome nature. Yet, after all, it is not surprising that Socialists should have fallen into the error of supposing that salvation is to be found in an increase of leisure, when we remember that the ideal of leisure is a part of our cultural tradition. That tradition is derived from the Greeks, and, as Professor Lethaby has wisely remarked, the problems which the Greeks first propounded and which philosophers have ever since gone turning round and round were the problems that interested men of leisure in a civilisation based upon slavery; or, in other words, philosophy really was the thinking of those who had the necessaries of life provided for them.[50] It follows that such philosophies are in their nature limited. They can in no sense be regarded as adequate philosophies of life, for any philosophy that would attempt to grapple with the problem of life as a whole must be a philosophy that concerns the poor man as much as the rich. And for this reason it must have its foundation in work, because the necessity of labour lies at the basis of every society. Work, then, and not leisure, must be the starting point of any philosophy of life and society, and everything in a sound and developing society must be appraised according as to whether or not it increases the opportunities of man for expression through work. Only when normal and healthy conditions of work obtain will a society be stable and permanent, and art and culture function beneficially in its midst.

If this principle were accepted—and considering that throughout the Middle Ages work, and not wealth and leisure, was regarded as the bestower of all worth and dignity—there seems to be no reason why Christians to-day should not accept it, then it follows that we have no option but to renounce industrialism, for it is built upon a denial of the sanctity of work and personality, and to return to that conception of social economy and well-being which had its foundations in agriculture rather than in trade and commerce, of which we read:

"Among manual industries none stood higher in the estimation of the Canon law than agriculture. It was looked upon as the mother and producer of all social organisation, and culture, as the fosterer of all other industries, and consequently as the basis of material well-being. The Canon law exacted special consideration for agriculture, and, partly for this reason, that it tended in a higher degree than any other branch of labour to teach those who practised it godly fear and

[50] Form in Civilisation, pp. 218-19.

uprightness. 'The farmer,' so it is written in *A Christian Admonition*, 'must in all things be protected and encouraged, for all depends upon his labour, from the Emperor to the humblest of mankind, and his handiwork is in particular honourable and well-pleasing to God.' Therefore both the spiritual and secular law protect him.

"Next to agriculture came handiwork. 'This is praiseworthy in the sight of God, especially in so far as it represents necessary and useful things.' And when the articles are made with care and art, then both God and men take pleasure in them; and it is good and true work when artistic men, by the skill and cunning of their hands, in beautiful building and sculpture, spread the glory of God and make men gentle in their spirits, so that they find delight in beautiful things, and look reverently on all art and handicraft as a gift of God for use, enjoyment, and edification of mankind.

"Trade and commerce were held in lower esteem. 'An honourable merchant,' says Trithemius, 'who does not only think of large profits, and who is guided in all his dealings by the laws of God and man, and who gladly gives to the needy of his wealth and earnings, deserves the same esteem as any other worker. But it is no easy matter to be always honourable in mercantile dealings, and with the increase of gain not to become avaricious. Without commerce no community, of course, can exist, but immoderate commerce is rather hurtful than beneficial, because it fosters greed of gain and gold, and enervates and emasculates the nation through love of pleasure and luxury.'

"The Canonical writers did not think it was conducive to the well-being of the people that the merchants 'like spiders should everywhere collect together and draw everything into their webs.' With the ever-increasing growth and predominance of the mercantile spirit before their eyes, they were sufficiently justified in their condemnation of the tyranny and iniquity of trade, which, as St. Thomas Aquinas had already said, made all civic life corrupt, and by the casting aside of good faith and honesty opened the door wide to fraudulence; while each one thought only of his personal profit without regard to the public good."[51]

It was for such reasons that the Mediaeval economists deprecated any politico-economic movement that encouraged the people to give up the pursuit of agriculture for trade and commerce. Four centuries of activity, based upon the opposite assumption that wealth and leisure rather than useful and conscientious work should be the aim of industry, has done nothing more than to justify the suspicion and hostility with which in the Middle Ages such activities were regarded.

[51] *History of the German People at the Close of the Middle Ages*, by Johannes Janssen, vol. ii, pp. 97-8.

XXI. Science and Civilisation

We have insisted that in any sound and developing society it would be necessary for "work to be recognised as the first necessity of life, as the centre of gravity of the whole social structure." As opposed to the ideal of leisure, the ideal of work may be a valid one. Yet it is apparent that work in itself is insufficient as an ideal, since until we have defined for ourselves the final aims of life we have no guarantee that it will not be misdirected. In this connection it may be observed that the evils which we associate with industrialism could never have reached their present proportions but for much disinterested work, generously given by scientists and inventors; and what is still more serious is that the most serious perils that confront civilisation to-day, as, for instance, poison gas and bombing planes, not to mention the threatened release of sub-atomic energy, do not owe their existence to greed and avarice, which we justly condemn, but to the labours of scientists and inventors, often undertaken at great personal sacrifice.

There are scientists who are genuinely alarmed at the later developments of science. Unless society can find measures to control successfully the knowledge that science has placed at its disposal, unless there is sufficient moral and intellectual power in the community to ensure that scientific knowledge is used for the well-being of society instead of for the purposes of destruction, then the less we have to do with science the better. This point of view has recently been given dramatic expression by Miss Cicely Hamilton in a recent novel,[52] in which she predicts the destruction of modern civilisation as a result of the alliance of science with passion. She comes to the startling conclusion "that man, being by nature destructive, can only survive when his powers of destruction are limited," while she sees in the fear of knowledge and inquiry which in the past was associated with religious beliefs an essential need of the race, inasmuch as it expressed the instinct of self-preservation. The fear of knowledge was not due to mere prejudice and bigotry, but to a dim race memory of evils that in the past had overtaken society when the barrier between science and emotion had been removed and knowledge claimed as the right of the multitude. The perils that confronted society to-day were not new. They had been experienced in forgotten generations, and their memory was preserved for us in myth and folklore. To Theodore Savage, who had seen civilisation laid waste by the agency of science combined with human passion, myth and folklore had become real: "The dragon that wasted a country with its breath—how else could a race that knew naught of chemistry account for the devilry of gas? And he understood now why the legend of Icarus was a story of disaster, and why Prometheus, who stole the fire from heaven, was chained to eternity for his daring; he knew also why the angel with a flaming sword barred the gate of Eden to those who had tasted the tree of knowledge… The story of the Garden, of the Fall of Man, was no more the legend of his youth; he read it now, with his opened eyes, as a livid and absolute fact. A fact told plainly as symbol could tell it by a race that had

[52] *Theodore Savage*, by Cicely Hamilton.

put from it all memory of the science, whereby it was driven from its ancient paradise, its garden of civilisation… How many times since the world began had man mastered the knowledge that should make him like unto God, and turned, in agony of mind and body, from a power synonymous with death?"

Let us hope that Miss Hamilton's forecast of the future is an exaggeration. But that she probes a real issue and faces the peril that confronts us with courage is, I think, unquestionable and exhilarating in an age that hopes to survive by cultivating the arts of evasion. "Knowledge is evil," says an Eastern proverb, and we have yet to prove it to be untrue; for the spirit of evasion that characterises men to-day, reformers included, does not encourage us to hope that the evil will be mastered and turned into good. For whenever the issue of science and mechanical production is raised, as a rule all we can get from reformers are fine sentiments about "not being prepared to surrender all that science has brought to us or to regard it as merely the working of the powers of darkness," and about "capturing the astounding achievements of the human spirit," and that kind of thing, which in practical effect means that the powers of darkness are not to be interfered with, on the assumption, apparently, that evil will eventuate in good if it be allowed to proceed unchecked.

But will it? Evidence accumulates daily to prove that such will not be the case, for science allied with mechanism on one side and with passion on the other exhibits a spirit that is not only increasingly hostile to all the interests of mankind but to the very existence of civilisation. In former times a natural boundary was put to the possibilities of social and industrial development by man's ignorance of the powers and forces of nature. He was protected from the worst extremes of destructive nihilism by his very limitations. By the sweat of his brow he not only earned his bread, but he was kept in a close and sympathetic relationship with the primary facts of life and nature. But science, in unlocking the secrets of nature, removed the old limitations. It presented man with a gift that could have relieved him of his more arduous toil on two conditions—that he kept his head, and that his moral development kept step with his technical discoveries; for only on such terms could all the flames of emotion and selfish passion, which experience proves are so destructive when allied to science, be kept in a strict subjection. Unfortunately, however, the perils of science were not foreseen. The average man was so completely hypnotised by machinery that he entirely lost his head, while scientists were so enamoured of their own discoveries that they somehow seemed to imagine that science itself might become a substitute for morality, as would appear from the very naive way in which they were apt to assume that the only obstacle in the path of the millennium was the scantiness of nature. Thus it came about that science, instead of allying itself with religion and submitting to be controlled for the better service of mankind, became the instrument of power, avarice, and passion, while the majority, surrounded by the wonders of science and technology, of all sorts of complicated machines in daily use, living among changes which followed each other with such startling rapidity, lost their bearings completely, and became the easy victims of exploitation and oppression. Effective resistance to their growing enslavement and insecurity was

frustrated by a theory of Socialism which, by concentrating popular attention on the evils of capitalism, blinded men to the still more fundamental evils of which modern capitalism is but a symptom.

But these more fundamental evils must be attacked if civilisation is to survive. We must frankly recognise that knowledge may be just as easily an agent for evil as for good. Nay, more easily; since pursued as an end in itself, apart from any consideration of the higher interests of mankind it is supposed to serve, experience proves that it can only too readily be exploited for selfish ends. The reason for this is to be found in the fact that the man bent upon selfish ends can always get to work more quickly than the man who would serve a higher purpose or takes a longer view of things. We conclude therefore that unless science is subject to rigid control that will prevent its abuse it will continue to be used for evil purposes.

But if science is to be controlled, the question arises as to what authority is going to control it. Here we find ourselves in deep waters, for it raises a question which is urgent but to which there is no immediate answer. There is no answer to-day because the exercise of authority at any time depends upon the existence within the community of a certain consensus of opinion as to the kind of authority it is necessary to exercise. And as no such consensus of opinion as to the kind of control to which science should be subjected exists to-day, it is obviously impossible for any person or body to exercise any authority in the matter. In these circumstances it would appear that the only thing to be done is to educate public opinion, since until people can be brought to see the perils inherent in permitting certain forms of knowledge to be common property nothing can be done. And this enforces upon us the need of a changed ideal of life, for until people are in possession of some definite standard of values other than the material, they will not be able to see how the problem could be handled, while to forbid knowledge except in the interests of some higher truth or revelation would inevitably appear stupid and arbitrary.

Meanwhile it is possible that history may repeat itself and that the scientific knowledge that has become so perilous to civilisation may be lost in a new Dark Age, the near approach of which already appears as imminent. Or it may be that science will disappear from the modern world as it did from the ancient world, not because the knowledge of it was suppressed, but because with the spread of Christianity interest was diverted from the natural to the supernatural world, for when men become interested in values that are eternal they have not the same keen interest in things transitory. There are many signs that the world is about to move in some such direction. We must in the first place recognise that belief in materialism is on the decline; in the next that popular belief in the beneficence of science has been" largely dispelled by the fact that during the War it so readily lent itself for the purposes of destruction; then we have to reckon with the fact that the increasing complexity of science makes it every year more difficult to follow, and because of this it may fall into the same contempt as the speculations of the schoolmen fell in the Middle Ages; and again, that

scientists have already lost that confident belief in their mission—a sure presage of decline; and finally because there is abundant evidence that, as in the latter days of the Roman Empire, interest is to-day being diverted from the natural to the supernatural. It is impossible to read the story of the early centuries of Christianity without feeling that history is beginning again to repeat itself, for a process of spiritual and psychological change is taking place in the mind of the world to-day in all respects analogous to the change that took place in the latter days of the Roman Empire. The modern world, like the Pagan, is being disenchanted of materialism, it has been shaken by its perception of the inadequacy of a purely intellectual interpretation of the universe, and there has occurred a corresponding influx of Eastern ideas which has awakened an interest in the mystical, the psychic, and the occult, of which the East is the perennial source; for it is well to remember that all the modern cults and sects interested in these things, the Theosophists, the Spiritualists, and the Christian Scientists had their parallels in the Gnostics, the Neo-Platonists. and Manichaeans of ancient Rome. And what is still more interesting is that the fusion of Eastern and Western thought in Rome was followed by the triumph of Christianity. Does it not look as if the same thing is again about to happen, and that the spiritual movement on the one hand and the social movement on the other are preparing the way for the acceptance of Christianity, which, being both spiritual and material, can alone give coherence and definiteness to the vague spiritual and social impulses of our time?

XXII. The Practical Application

We have in the preceding chapters stated the principles upon which a Christian sociology should rest. It remains for us to suggest the lines of their practical application.

In this connection it is to be observed that a precedent condition of any really effective action must be a willingness to face the fact that our industrial system is doomed, that a process of disintegration is taking place which, unless it can be checked, sooner or later must result in collapse, since apart from such a frank recognition it is certain that the real issues will not be faced. This will especially be the case with the unemployed problem, for unless we realise that industrialism is doomed we shall be unwilling to recognise it as the inevitable consequence of the misapplication of machinery. This unwillingness to-day renders our handling of the unemployed problem not merely contradictory but idiotic. Hitherto the defence of the unrestricted use of machinery rested on the belief that in the long run it would emancipate mankind from the necessity of labour, since by reducing work to a minimum it would set men free to follow the higher pursuits of life. As to whether most of those who claim to have been so liberated show any disposition to follow such higher aims I do not for the moment inquire; but it is to be observed that nowadays when this prophecy that machinery is destined to liberate man from the necessity of toil shows some signs of being fulfilled,

when for the moment we have produced enough and to spare, we are panic-stricken at the army of unemployed in our streets, and straightway organise demonstrations to find them some work to do. The situation is grotesque in the extreme, and were it not so tragic it would be laughable; for the utterly idiotic attitude of mind it reveals is perhaps without parallel in history. The modern man has had his dreams fulfilled, and he awakens to find the fulfilment is a nightmare. Yet he goes on dreaming—it never occurring to most reformers to connect the problem of unemployment with the problem of machinery—and this, in spite of the fact that it was to find a solution of the problem created by the displacement of labour by machinery at the time of the Luddite riots that led to the speculations of Robert Owen, which laid the foundation of Socialist thought and brought the movement into existence.[53] In the course of a century the Socialist movement has not only entirely lost sight of the problem it originally set out to solve and around which its social theory originally took shape, but nowadays actually denies that any such problem of machinery exists.

Yet the problem must be faced. Apart from the larger problem of the destruction of our social and cultural traditions which we saw had followed the unrestricted use of machinery on a basis of the subdivision of labour, is it not apparent that apart from some restriction to its use it is impossible to keep men in employment? This fact was clearly recognised by Marx, who saw that the end of the industrial system would coincide with the appearance of a large and insoluble problem of unemployment. He saw in the unemployed the nucleus of the new world order, proposing to use them for the purpose of overthrowing the capitalist system by means of a proletarian revolution. But experience proves that class warfare is sterile. It is capable of destroying the existing order of society, but not of creating anything to take its place—an experience that should not surprise us considering that the principles of Marx conflict with those of the Gospel. But if we are of the opinion that Marx was mistaken in supposing that a new social system could be heralded by means of revolution, we nevertheless feel that he was instinctively right in recognising in the unemployed the nucleus of the new world order, and we are confirmed in our opinion by the experience of Guild development. Odon Por tells us that the outstanding feature of the Italian Producing Guilds is that they originated in the first instance to relieve unemployment[54]—an experience which has been repeated here, since apart from the Building Guild, which owed its creation to the housing shortage, all the other Producing Guilds have had the same origin.

But it is not sufficient merely to organise the unemployed in Producing Guilds, for it is apparent that it will be precisely where unemployment is greatest, as in the engineering trades, that it will be most difficult to organise such Guilds because of the slump in demand on the one hand and the enormous plant and capital required on the other. To grapple therefore with the problem it is neces-

[53] See my *Post-Industrialism* (Allen & Unwin, 6s.), where the bearing of the problem of machinery on Socialist theory is developed.

[54] *Guilds and Co-operatives in Italy*, by Odon Por.

sary to take a wider view—to train the unemployed in such ways that they may become citizens of the post-industrial society. In other words, believing that the industrial system is doomed and the day of universal markets is coming to an end, we propose to turn the unemployed into agriculturalists and handicraftsmen. There should be no more difficulty about this, if it were undertaken in a public way, than there was during the War of turning civilians into soldiers. It is entirely a question of will and determination. Attempts in the past to deal with the unemployed have invariably failed, and no wonder, for they have been the last word in futility. The only idea behind the various schemes for dealing with them has been to make work, to mark time, as it were, until trade revived. Such an aim inspires nobody. The unemployed themselves are conscious of the futility of the work upon which they are engaged, and this sense of futility is demoralising in the last degree. But if the fact that the industrial system is doomed was frankly faced, and the unemployed were given a craft or agricultural training to enable them to take their place in the new social order, a different spirit would come to prevail. Their work would come to have meaning for them, and this would make all the difference in the world, for men can only put their heart into their work when they are inspired by a real motive.

By such means the new commonwealth could be built up within the existing state and industrial system. As existing civilisation falls to pieces it would be gradually replaced by this new social order. There would be no real practical difficulty about this, if only people could free themselves of all the moribund social theories, Free Trade, principles of "sound finance," and all the other useless lumber that encumbers their minds; if only they could become again as little children and see the simple truth of things unalloyed by all the sophisticated nonsense that came into existence to bolster up the existing system, a great part of which has been incorporated in Socialist theory. For if they could only clear their minds of such impedimenta and look at facts as they exist, they would see that it would be a perfectly simple proposition to build up one society within another if it were frankly acknowledged that at every stage in its development the new society stood in need of protection. The foundations of such a society would rest, as all stable societies rest, upon agriculture, and to effect such a revival as we anticipate it would, in the first instance, be necessary to stabilise prices of agricultural produce by means of their fixation. Uncertainty as to price is the thing that stands in the way of a revival of agriculture, by placing the farmer very much at the mercy of circumstances over which he has no control, while it is particularly demoralising to the small-holder, who is without a sufficient reserve of capital and is too busy with the work of actual production to be able to follow the markets closely. Moreover, it puts them into the hands of dealers and middlemen, who absorb the larger part of the profits of agriculture. The only remedy for this evil is to put an end once for all to waste and speculation by the fixation of prices based upon the cost of production and maintained by Agricultural Guilds, which would, in addition, be centres of mutual aid, buy and sell, and do other work undertaken by agricultural organisation societies. They should, moreover, administer the land; and in this connection I would

suggest that the land should be owned, as well as administered, by the local Guilds. This suggestion is offered as an alternative to nationalisation, in order to avoid the evils of bureaucracy. But the land question is not so urgent as the fixation of prices, to effect which should be the immediate objective of reformers. For until prices are fixed, not only will it be difficult to allay those feelings of mutual suspicion that make wider co-operation so difficult, especially among agriculturalists, but it will be impossible to plan or arrange anything that may not be subsequently upset by fluctuations of the market.[55]

Upon this basis of agriculture, the new industries in which the subdivision of labour was abolished and machinery controlled would rest. Such industries would need to be protected in the early stages against the competition of industries in which existing abuses were retained. And the simplest way to do this would be to put a tax upon all goods produced by means of the subdivision of labour and the use of such machinery as conflicts with the claims of personality and art, which taxation should increase year by year until all such industry ceased to exist. As to where to draw the line there should be no difficulty, once the principle were recognised that production which served quantitative ends was degrading and that which served qualitative ends is not. Anyone of aesthetic sensibility, with practical experience of craft production, would know instinctively where to draw it, and the public could easily find out if they meant business. The difficulties are really imaginary, since, if the public were persuaded of the desirability of replacing the quantitative standard hy a qualitative one, they would trust the judgment of men with experience of craft production to give effect to their wishes, as they do in other matters where expert knowledge is required.

After a time, when this new society began to develop an organised life of its own, it would no longer stand in need of protection against the competition of outside industries, for the saving of cost that would be effected by the elimination of cross-distribution, of overhead charges, and of waste which would follow the resumption of the control of industry by craftsmen and technologists, would more than compensate for the increased cost of the actual production. Still, prices and wages should be fixed, and every industry be under the control of Guilds to prevent capitalism growing up again within the new society, which it certainly would do if freedom of bargaining were permitted. There would be no practical difficulty about reconstruction upon such lines once the idea was properly understood. The problem is emphatically one of order. Take issues in their natural order, and everything will straighten itself out beautifully. All the minor details or secondary parts will fall into their proper places. But approach these same issues in a wrong order, and confusion results. No subsequent adjustments can remedy the initial error. This principle is universally true. It is as true of rebuilding society as it is of writing a book or designing a building. The secret of success in each case will be found finally to rest upon the perception

[55]See the recently published tract *Agriculture and the Guild System,* with a preface by Montagu Fordham (P. S. King & Son, is.), which outlines a practical scheme on this basis.

of the order in which the various issues are taken. "They are called wise," says Aquinas, "who put things in their right order and control them well."

The scheme I have outlined is presented as one for the rebuilding of society on the assumption industrial civilisation will disintegrate. Yet, as a matter of fact, if the proposals here made were acted upon in the near future, there would be no sudden catastrophic change, but a gradual transition; for the proposals I have advanced might be likened to the underpinning of a house, the foundations of which were giving way, and which, when once done, rendered the structure stable. For the revival of agriculture, by providing a largely increased home market for industrial wares, would tend gradually to free industry from its dependence upon foreign markets. Of course, we cannot dispense with foreign trade altogether, but it cannot be denied that a condition of affairs in which we get wheat from America, beef from the Argentine, mutton from New Zealand, eggs from Egypt, and butter from Siberia, as we were doing before the War, while land at home remains idle and the unemployed are not allowed to do any useful work, is too idiotic for words, and cannot last for long. For a nation that has allowed its economic arrangements to drift into such a condition inevitably experiences the fleeting nature of prosperity that is built upon foreign trade, for it comes to be at the mercy of forces it is powerless to control. And what is true of the production of food is true of industrial production. It was an accidental and temporary, and not a permanent circumstance, that gave colour to the theory, so popular in the first half of the last century, that England was destined to become the workshop of the world, and its unreality is nowadays being brought home to us. The only rational society is one that is as self-contained as possible, for only such societies can bring order into their internal economic arrangements.

But it will be said: What about our population? The self-contained national unit may be an ideal, but such an ideal is an impossible one for a country like ours which has to support such a huge population on such a limited area. My answer is that so far from the policy I advocate increasing our difficulties in this direction it actually decreases them; for is it not apparent that if we produced our own food unemployment would be lessened, while the reaction of the revival of agriculture upon building and other industries would be to provide additional employment. To argue, as some Free Traders do, that because we cannot produce all the food we require, we need not therefore trouble to produce any, seems to me the last word in imbecility, for it is evident that every additional acre under cultivation reduces in size the problem that confronts us. Such imbecility comes of exalting a measure of temporary economic expediency, such as Free Trade, into a principle of economics. Still, in the long run it has to be admitted that we shall not be able to support our present population. But this will not be because we revive agriculture and the crafts, which can only increase employment, but because one by one we are losing our foreign markets. It is for this reason that emigration on a great scale is a necessary part of any scheme of social reorganisation. Apart from it, the choice as regards our surplus population must be one between actual starvation or semi-starvation by

doles; for the evidence is, so far as I can see, conclusive that in the future the general tendency will be for industrialism to contract rather than to expand. So, while it would be possible by reviving agriculture and craftsmanship to find a temporary solution for the unemployed problem, we may be assured that, apart from organised emigration, in a few years' time the existing problem would be back again.

When, however, we advocate the need of emigration, we find ourselves confronted by a deep-rooted prejudice in the Labour movement which is partly well founded, but which in the main derives from the utterly fallacious economic theories to which the movement is committed; for the Socialist theory in the Fabian form in which the Labour movement received it, ignores altogether the temporary and accidental circumstances which led to our enormous industrial expansion during the nineteenth century, and proceeds upon the assumption that industry may expand indefinitely. And yet, while every fact in the economic situation to-day demonstrates without a shadow of doubt that such an assumption is entirely unfounded, the Labour movement in its general outlook continues to act as if it were true. But the opposition of Labour to emigration is not entirely due to prejudice. Part of it at least is based upon the well-founded suspicion that emigration recommends itself to many imperially minded citizens rather as a means of evading the problem of social reconstruction than as a necessary part of a national (I should say international) scheme. The word "emigration" is apt to stink in the nostrils of men who, when they find themselves out of work and half starving, are airily told that their duty is to get out of the country as quickly as possible that they may starve elsewhere, as they certainly would, for emigration as an isolated proposition pursued by one country is useless, since, as the present unemployed problem is international, apart from concerted action on the part of other countries, it follows that, just to the extent that emigration would relieve the problem of unemployment here, it would intensify it somewhere else.

But that is not the only trouble. The unintelligent and unsympathetic attitude revealed in the recently proposed Government scheme of emigration was, apart from any other consideration, calculated to provoke opposition. In former times emigration was by groups.

When, as among the Greeks, a community came to the conclusion that it was over-populated, emigration was undertaken by groups. Such communities planted out new societies that consisted of groups of families in which there were agriculturalists, craftsmen, doctors, and others whose labour was necessary to fulfil the variety of needs that are called into existence by a civilised life. It was in some such way that the Pilgrim Fathers sailed out and began the colonisation of America. They founded societies that were comparatively stable, and not least of the things that enabled them to found such societies was that, in spite of their Puritanism, some of the old Mediaeval communal spirit survived among them, as it has survived among Italians and Eastern Europeans, who emigrated in groups until emigration was brought to an end by the War. But

among Western Europeans this tradition has died out. For some long time emigration has been largely left to individual initiative. The result is that the man who emigrates rarely settles down in the land of his adoption. As he is separated from his friends, he cherishes the hope of making a pile and returning home. It is this spirit that has corrupted colonial life, and has brought into existence in America and the colonies in less than a century social problems as bad, if not worse, than our own, which have taken centuries to develop. For the entire absence in the new countries of any of the old communal spirit has engendered a spirit of individualism much more ruthless and intense than anything in the older countries. It has brought into existence an atmosphere that is bad for men, but which is utterly demoralising in the case of boys. Yet the Government have so little sense of human psychology that, instead of proposing a scheme for the emigration of people in groups, of families capable of co-operating together, they actually proposed to take boys at the most impressionable period of their lives, between the ages of fourteen and seventeen, and tear them away from their families without proper provision for their moral and spiritual welfare. It is true that the scheme provided that the consent of the boy and his father had to be obtained. But, as a matter of fact, neither are free agents. The boys, broken by lack of work at home, have lost hope, while the parents, crushed down by economic pressure, consent to a scheme which completes the disintegration of the family. Is there any wonder that Labour should be opposed to emigration when it is conceived in such a purely matter-of-fact business-like spirit? It brings into a vivid light our false approach to the social question, of viewing men and boys as economic units rather than as human beings with souls to be saved. It is this point of view that penetrates the social theory, if it does not express the mind of reformers, that brings to naught their best intentions.

Could anything better illustrate the need of giving to spiritual values the primacy in our lives? For it is certain that until we do the human side of life will not be respected. There will remain that contempt of personality which not only degrades men in their work, but which finally dissolves all those personal and human ties which are necessary to the preservation of society in a sound and wholesome condition. It has been said that the world, like a ship, has a wonderful self-righting power. And that may be so when the weights are in the right place. But if they are not, as is the case to-day, then there are finally but two ways in which the balance may be restored. One of these is the path of revolution, by the violent destruction of false ideas and parasitic growths, as happened in Russia, when, after a period of anarchy, the new order begins to emerge. The other is the way of Christianity. It is the path of renunciation and repentance, of the determination to live new lives and willing sacrifice of such privileges and advantages, such comfort and convenience, as are to be got only by the degradation and enslavement of the workers and which conflict with the claims of a higher and nobler life. The choice before us is finally between these alternatives, and it is a choice that can no longer be postponed. For our civilisation becomes daily more unstable, and the end is in sight.